

European Autos: Key themes, views and ideas

1. What is in the price: **improved Risk- Reward**
2. Margin cycle timing: **bottoming in 2025-26, mild recovery from 2027**
3. Structural issues: **China share gain acceleration**
4. We prefer: **Premium vs Volume OEMs**
5. Company specific: **tariffs, product pipeline, JVs, valuation**
6. **How to Play it?**
 - European OEMs: 2026 getting darker
 - A. Parts: Execution Over Cycle
 - Tyres: No strong reason to be in Tyres
 - Trucks: PMIs to Power Multiple Inflection

MORGAN STANLEY RESEARCH
EUROPE

MORGAN STANLEY EUROPE S.E.+

Javier Martinez de Olcoz
EQUITY ANALYST
Javier.Martinez.Olcoz@morganstanley.com
+34 914 181 289

MORGAN STANLEY & CO. INTERNATIONAL
PLC+

Shaqeal A. Kirunda
EQUITY ANALYST
Shaqeal.Kirunda@morganstanley.com
+44 207 425 0736

Matias Rodriguez Florez-Estrada
RESEARCH ASSOCIATE
Matias.Rodriguez@morganstanley.com
+44 207 425-1091

Morgan Stanley does and seeks to do business with companies covered in Morgan Stanley Research. As a result, investors should be aware that the firm may have a conflict of interest that could affect the objectivity of Morgan Stanley Research. Investors should consider Morgan Stanley Research as only a single factor in making their investment decision.

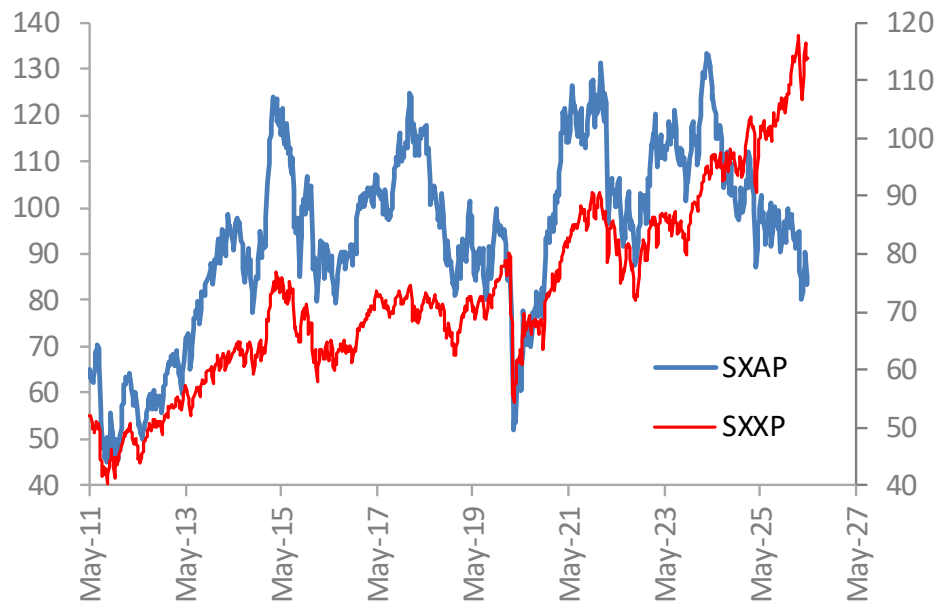
For analyst certification and other important disclosures, refer to the [Disclosure Section](#)

+ = Analysts employed by non-U.S. affiliates are not registered with FINRA, may not be associated persons of the member and may not be subject to FINRA restrictions on communications with a subject company, public appearances and trading securities held by a research analyst account.

1 – What's in the price? Significant underperformance improves Risk-Reward

Underperforming European Market

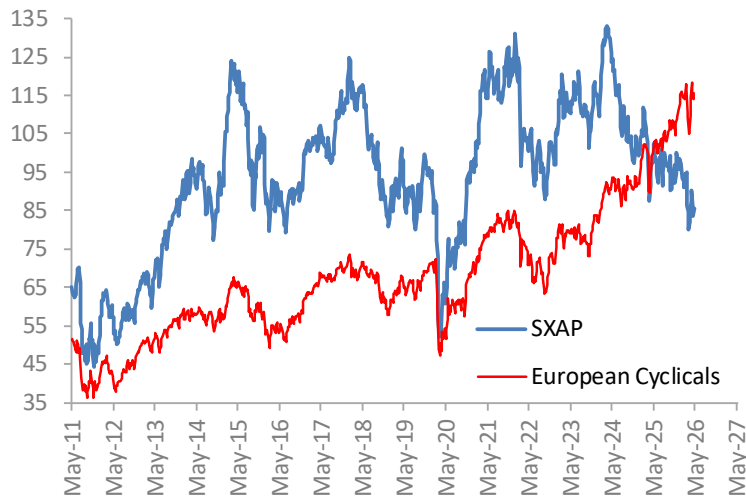
SXAP vs SXXP (100 = -1Y)



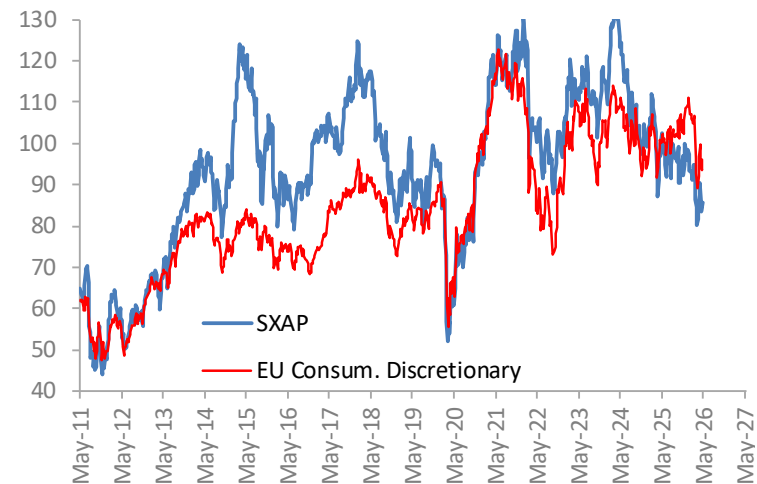
1 – What's in the price? Significant underperformance improves Risk-Reward

Underperforming cyclicals, even consumers peers

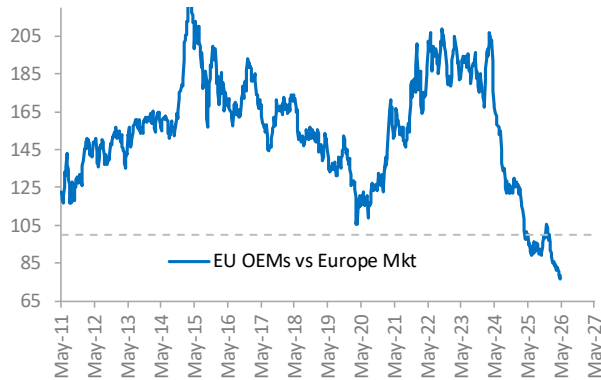
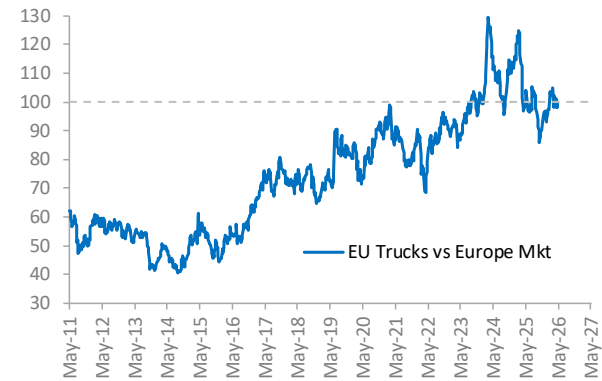
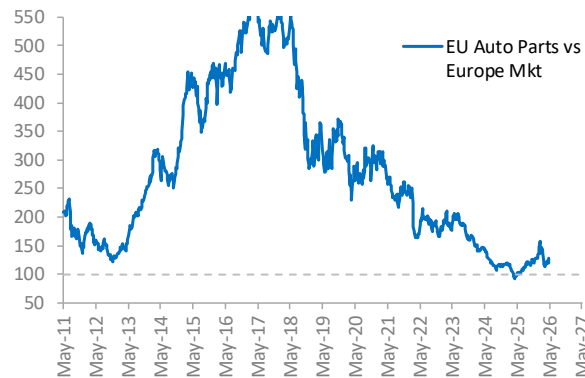
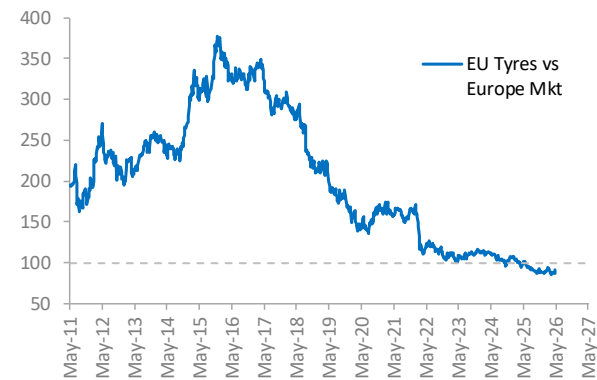
SXAP vs European Cyclicals (100 = -1Y)



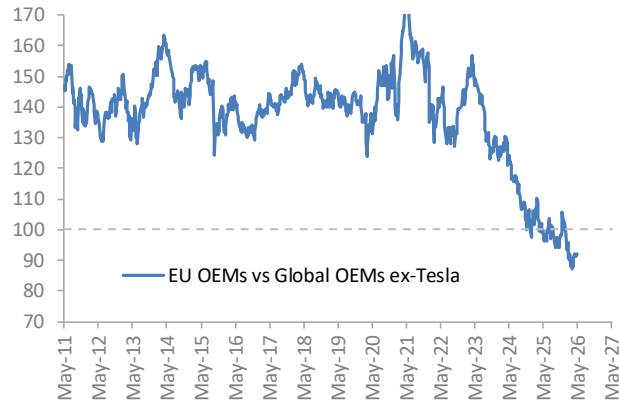
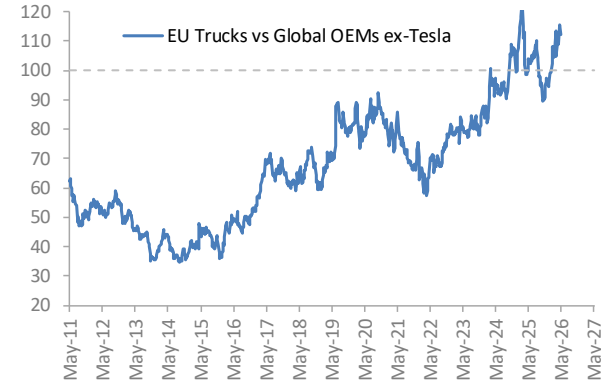
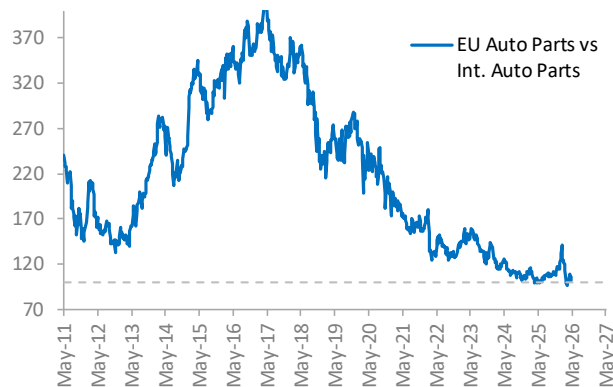
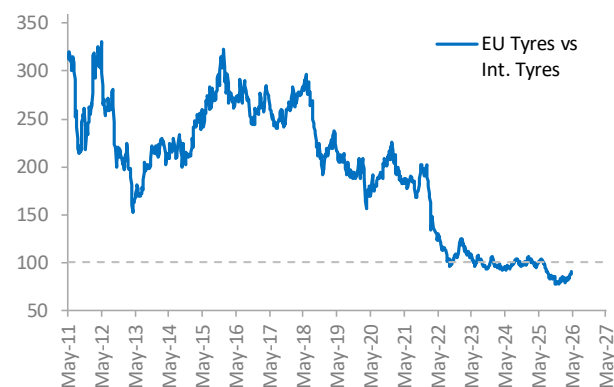
SXAP vs EU Consum. Discretionary (100 = -1Y)



1 – What's in the price? Relative Performance: Trucks > Parts > Tyres > OEMs

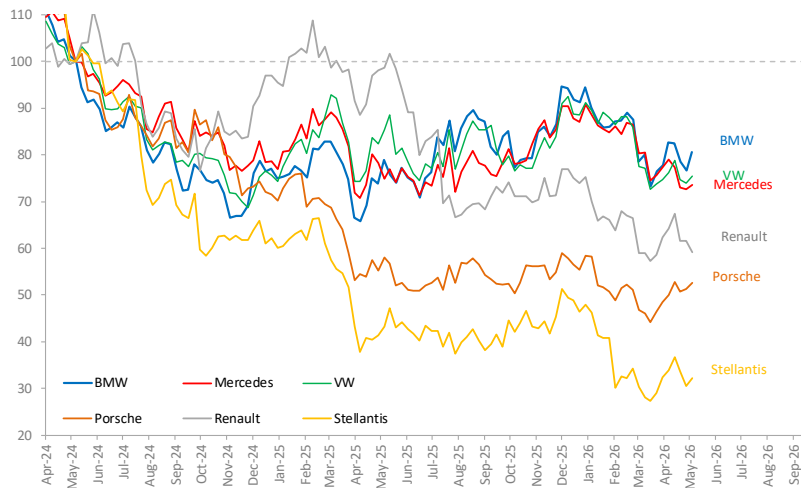
EU OEMs vs Europe Mkt (100=-1Y)**EU Trucks vs Europe Mkt (100=-1Y)****EU Auto Parts vs Europe Mkt (100=-1Y)****EU Tyres vs Europe Mkt (100=-1Y)**

1 – What's in the price? Relative Performance: Trucks > Tyres > Parts > OEMs

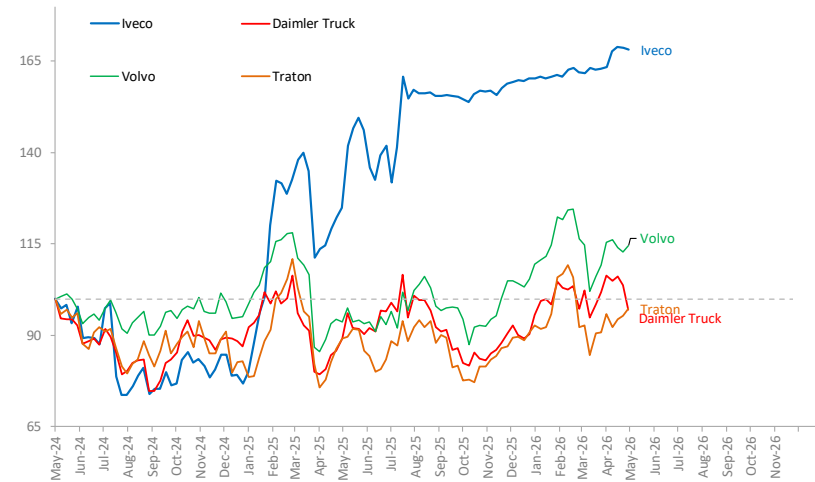
EU OEMs vs Global OEMs (100=-1Y)**EU Trucks vs Int. OEMs (100=-1Y)****EU Auto Parts vs Int. Auto Parts (100=-1Y)****EU Tyres vs Int. Tyres (100=-1Y)**

1 – What's in the price? Relative Performance: Trucks > Parts > Tyres > OEMs

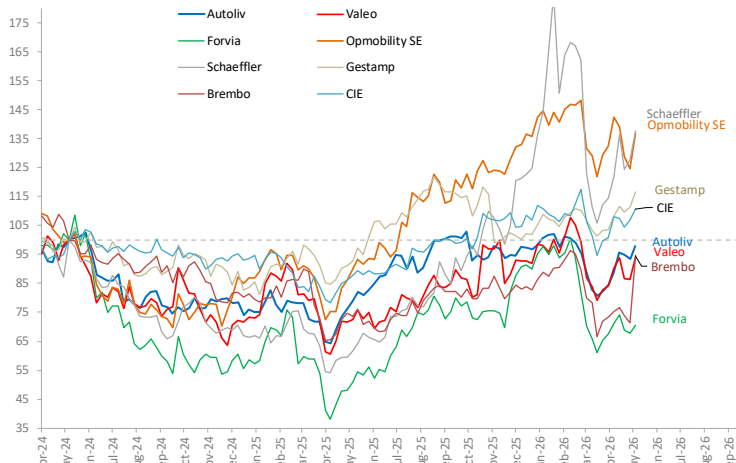
EU OEMs (100=-2Y)



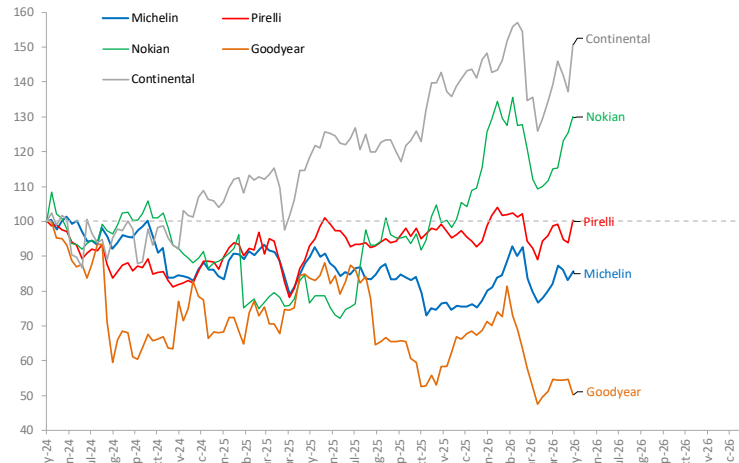
EU Trucks (100=-2Y)



EU Auto Parts (100=-2Y)



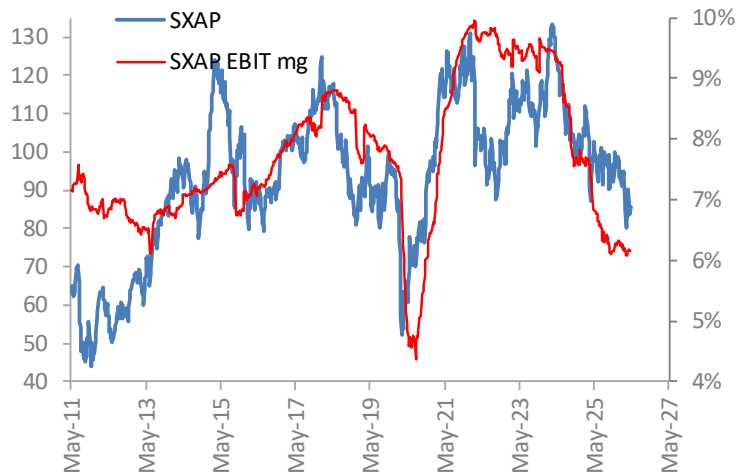
EU Tyres (100=-2Y)



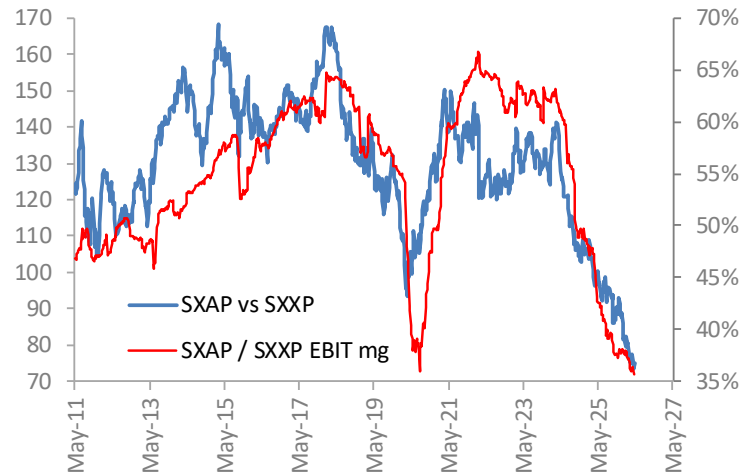
1 – What's in the price? Autos performance driven by Earnings

Margins are a good proxy for Autos absolute and relative performance

SXAP (100 = -1Y)



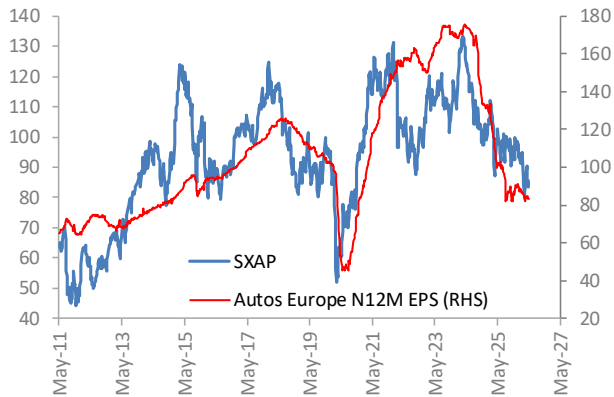
SXAP vs SXXP (100 = -1Y)



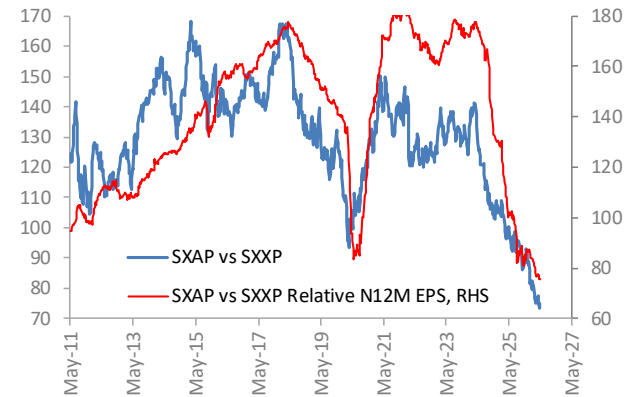
1 – What's in the price? Autos performance driven by Earnings

EPS also matters

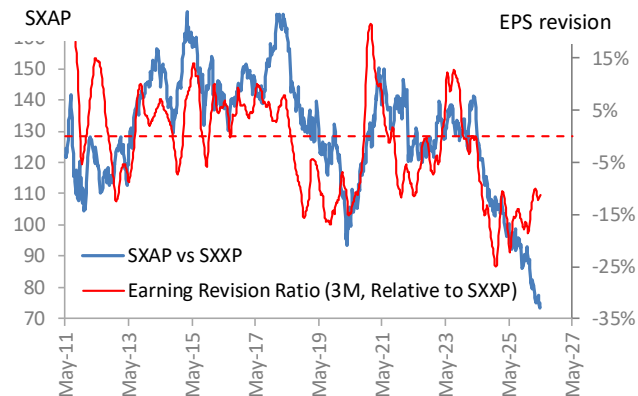
SXAP (100 = -1Y)



SXAP vs SXXP (100 = -1Y)



SXAP vs SXXP (100 = -1Y)

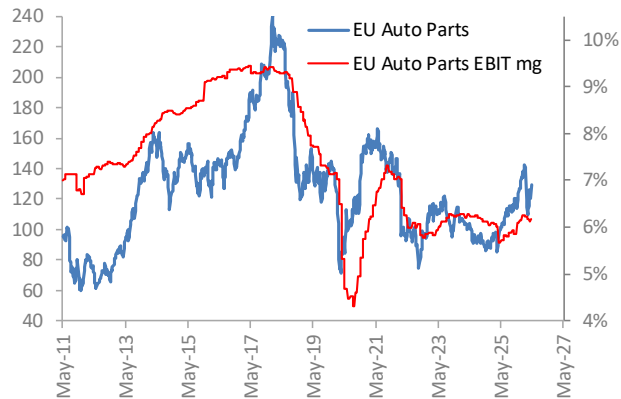


Source: Datastream, Morgan Stanley Research

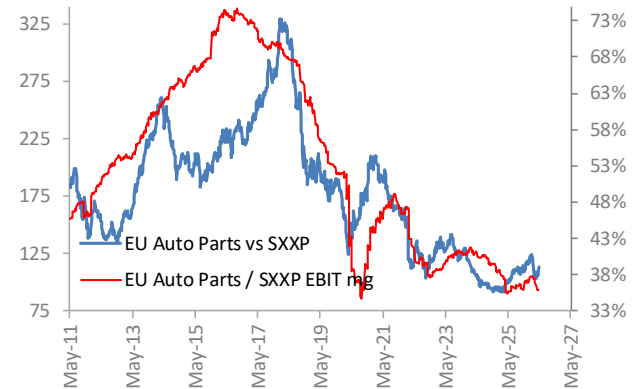
1 – What's in the price? Autos performance driven by Margins

... the same applies for APs, Tyres and relative subsector performance

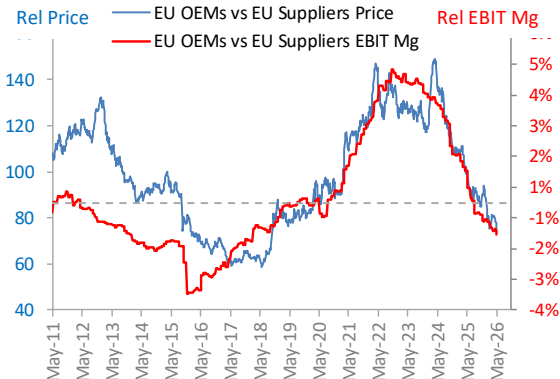
EU Auto Parts (100 = -1Y)



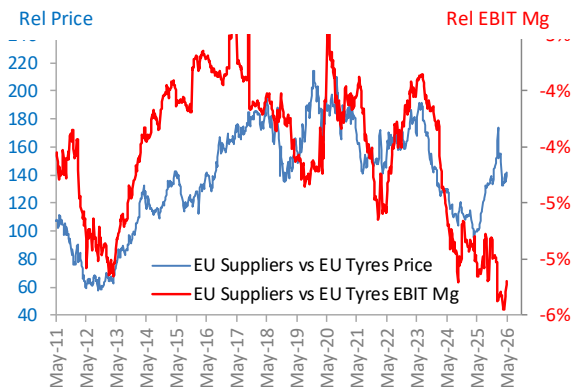
EU Auto Parts vs SXXP (100 = -1Y)



EU OEMs vs EU Suppliers (100 = -1Y)



EU Suppliers vs EU Tyres (100 = -1Y)

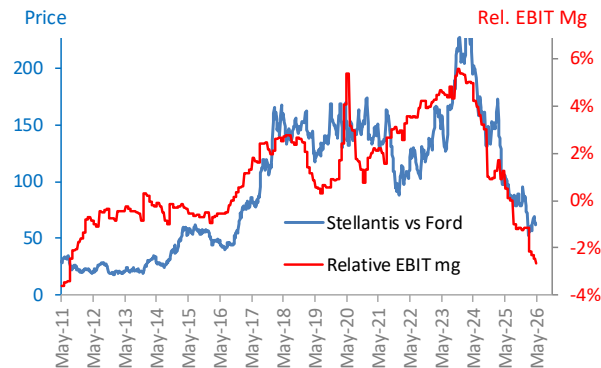


Source: Datastream, Morgan Stanley Research

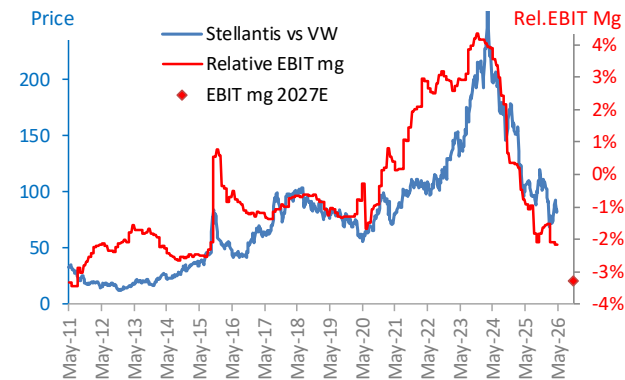
1 – What's in the price? Autos performance driven by Margins

... the same applies for relative company performance

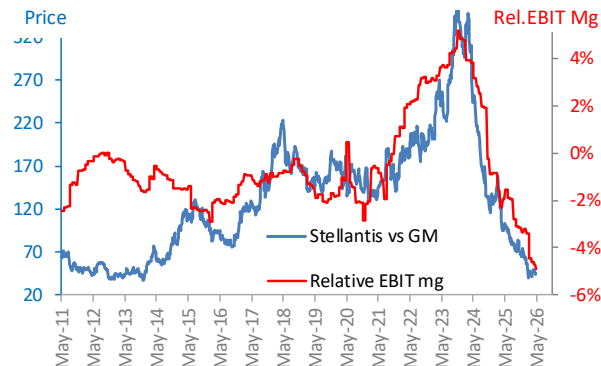
Stellantis vs Ford Relative to Market vs EBIT mg



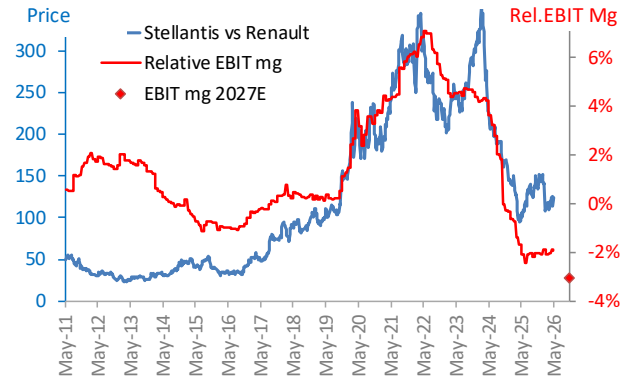
Stellantis vs VW Relative to Market vs EBIT mg



Stellantis vs GM Relative to Market vs EBIT mg



Stellantis vs Renault Relative to Market vs EBIT mg

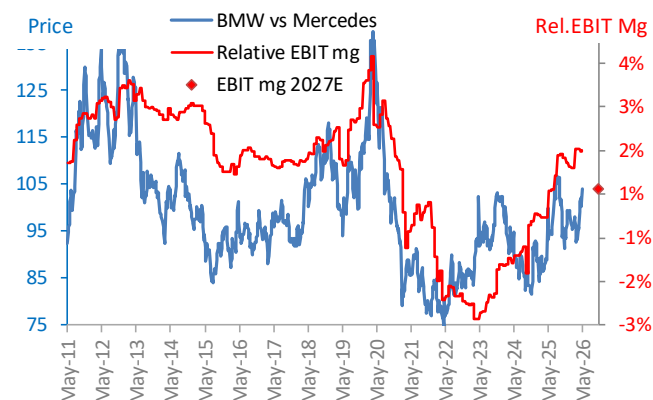


Source: Datastream, Morgan Stanley Research estimates

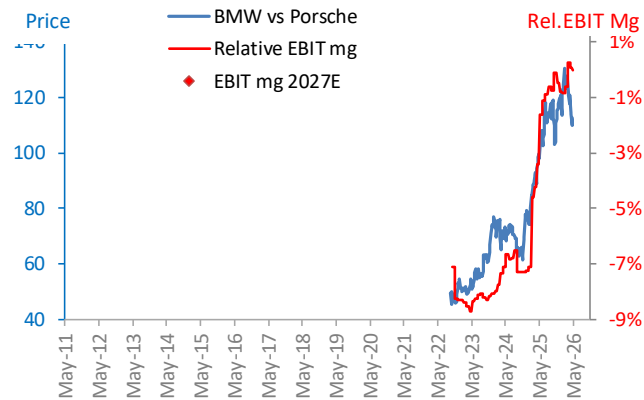
1 – What's in the price? Autos performance driven by Margins

... the same applies for relative company performance

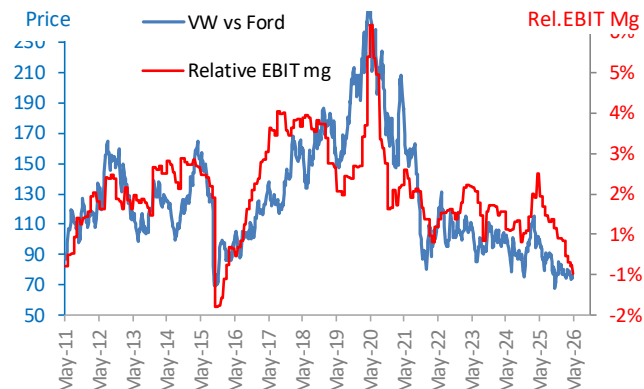
BMW vs Mercedes Relative to Market vs EBIT mg



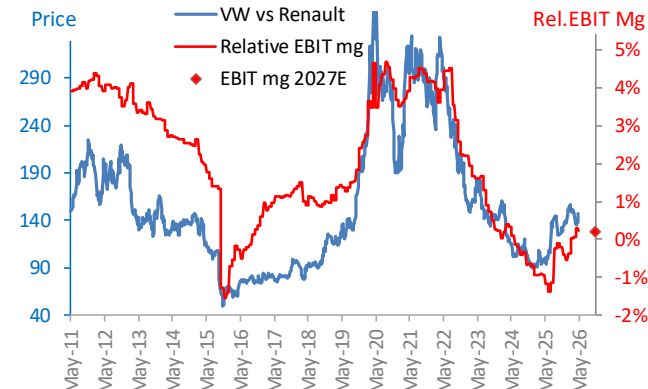
BMW vs Porsche Relative to Market vs EBIT mg



VW vs Ford Relative to Market vs EBIT mg

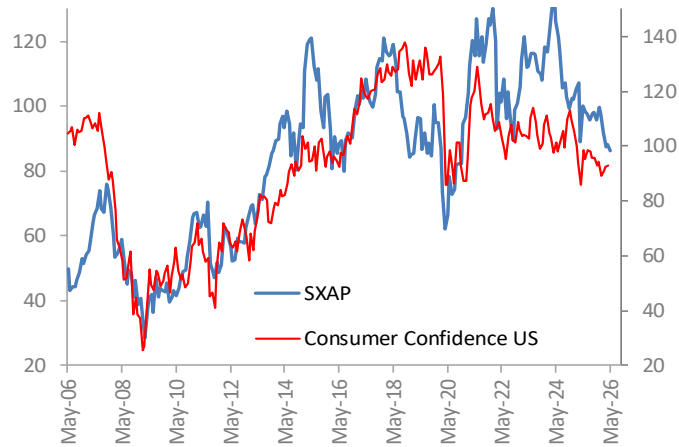


VW vs Renault Relative to Market vs EBIT mg

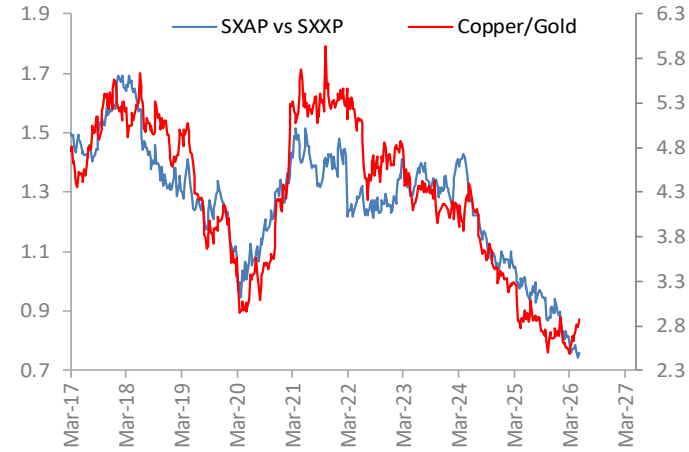


1 – What's in the price? Autos performs as cyclical sectors

SXAP (100 = -1Y)

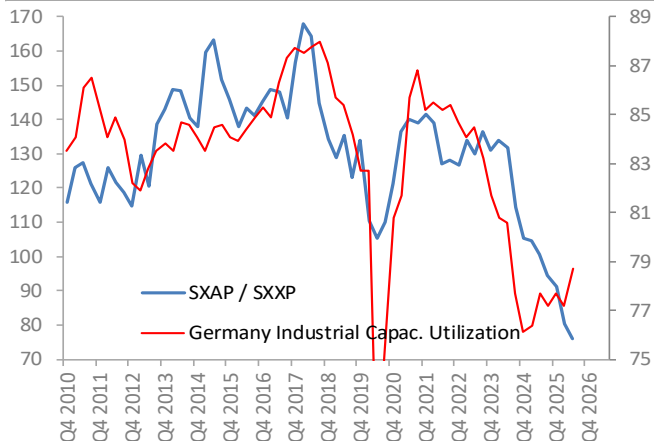


SXAP Rel. Performance vs Copper/Gold

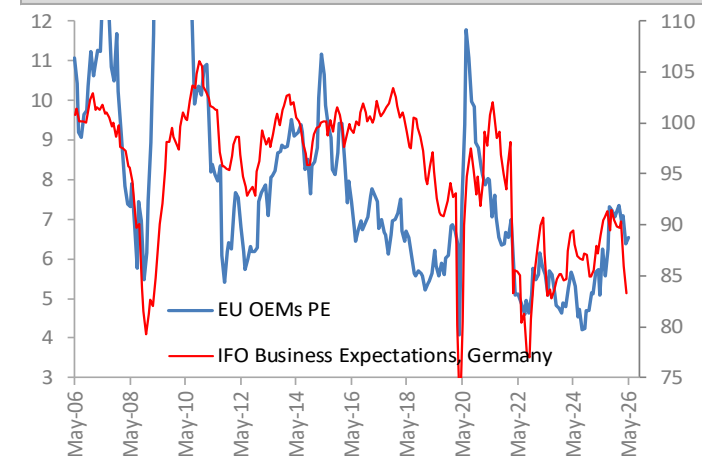


SXAP vs SXXP (100 = -1Y)

Quarterly

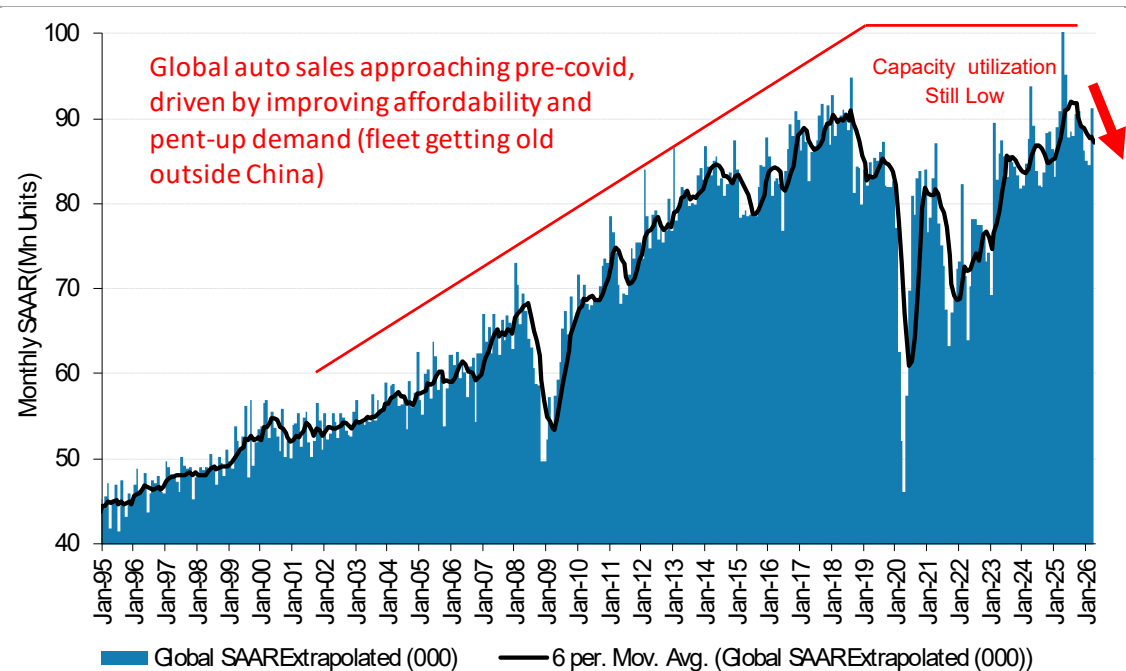


EU OEMs PE



2 – Structural Issues: slow market and low level of capacity utilization

Industrial business with still low level of capacity utilization

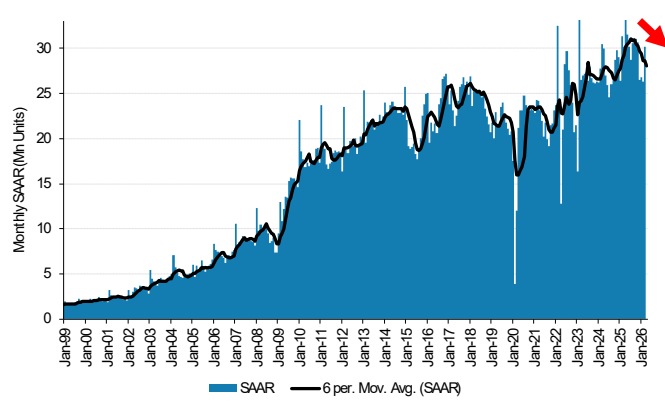


[Global Auto Sales tracker: Narrowly up \(24 Apr 2026\)](#)

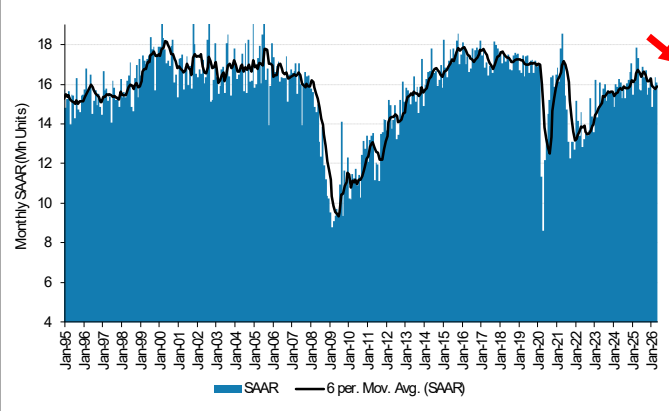
2 – Structural Issues: slow market, China not growing anymore

Global Auto sales: China and US now falling, room to recover in Europe and RoW

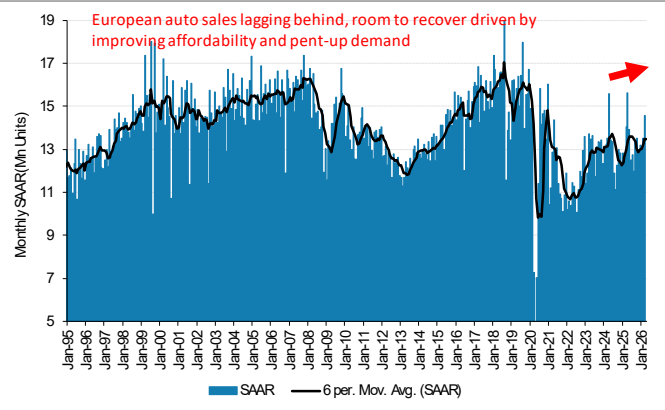
China SAAR (6MMAV), Monthly



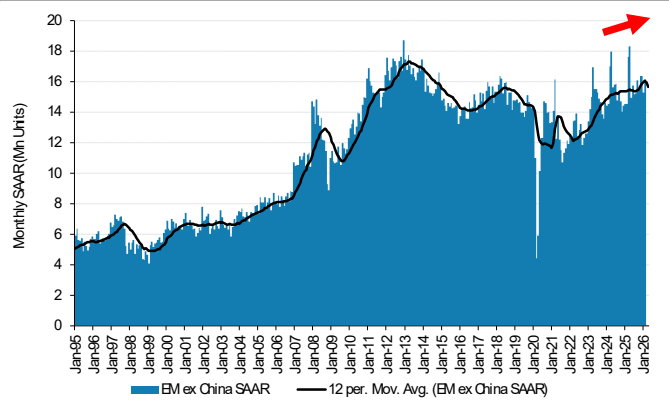
United States SAAR (6MMAV), Monthly



Europe SAAR (6MMAV), Monthly



EM ex China SAAR, Monthly

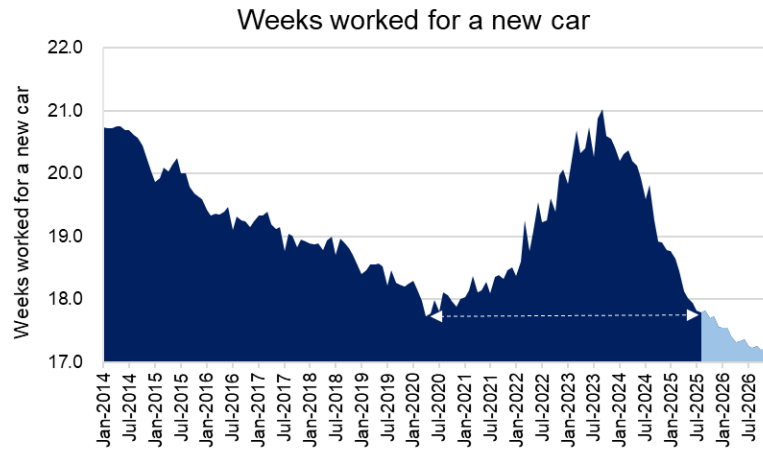


Source: Countries local auto associations, Morgan Stanley Research. Note: this chart does include only the following markets: China, US, Europe, Japan, India, Brazil, Turkey, South Korea, Russia, Argentina, Canada, Mexico, Malaysia, Thailand, Indonesia, Australia, South Africa.

2 – Structural Issues: European volume recovery should continue

Affordability improving in Europe

EU: at pre-Covid levels

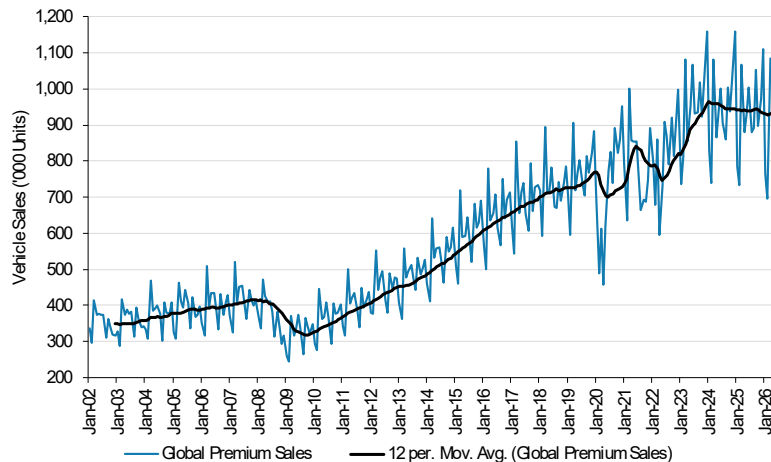


... but the conflict could change the situation

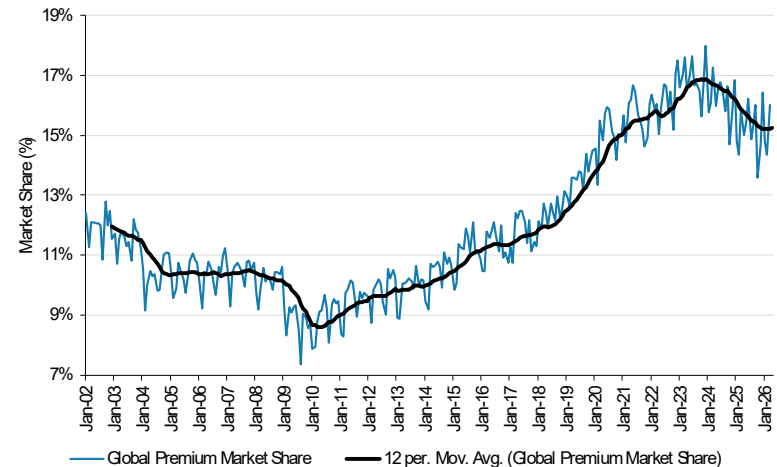


2 – Structural Issues: Premium Market now losing share globally ...

Premium Sales in Major Markets, Monthly



Global Premium Market Share (%), Monthly

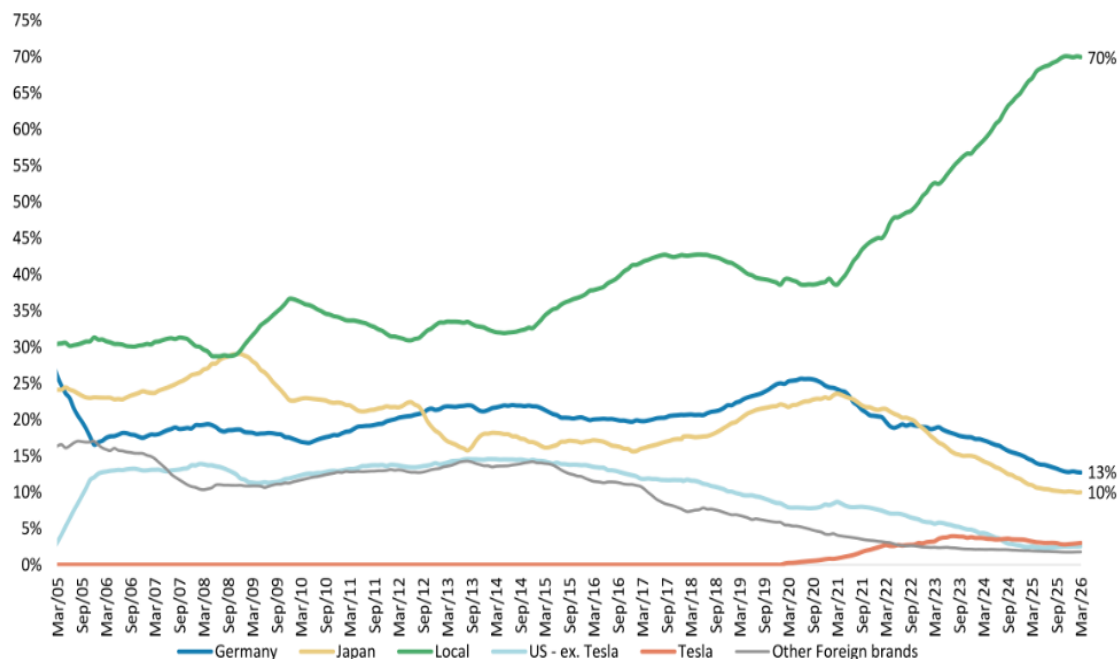


Source: Countries local auto associations, Morgan Stanley Research. Note: this chart does include only the following markets: China, US, Europe, Japan, India, Brazil, Turkey, South Korea, Russia, Argentina, Canada, Mexico, Malaysia, Thailand, Indonesia, Australia, South Africa.

2 – Structural Issues: Pressure from China OEMs keeps increasing

China OEMs gaining global share: 15% a few years ago -> 30% 2030e

PV market share by brand origin - TTM



China Structural Advantages:

- Cost
- Product pipeline
- ADAS
- Speed to market

Diverging Commercial Strategies

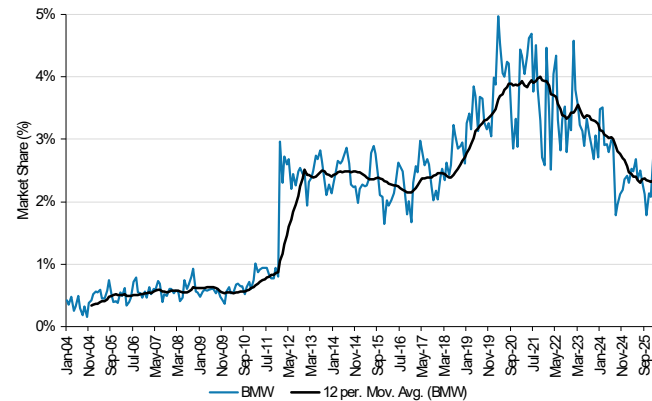
Key Forecasts for 2026

- Domestic passenger car sales to decline 11% YoY
- Export sales to grow 33% YoY and reach 8.0mn units
- NEV sales to grow 13% YoY, with sales penetration reaching 60%
- L3 AD commercialized; L4/Robotaxi deployment to accelerate
- Accelerating smart-driving/cockpit integration
- Policies – Scrappage + replacement subsidies
- Chinese brands to dominate with 70% market share

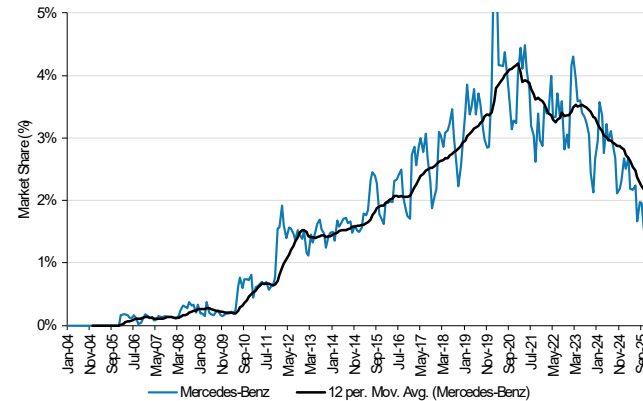
2 – Structural Issues: China OEMs gaining market share

EU OEMs losing market share in China market:

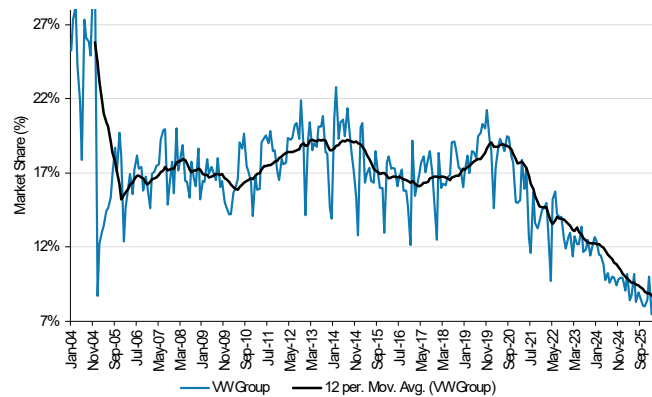
BMW China Market Share (%), Monthly



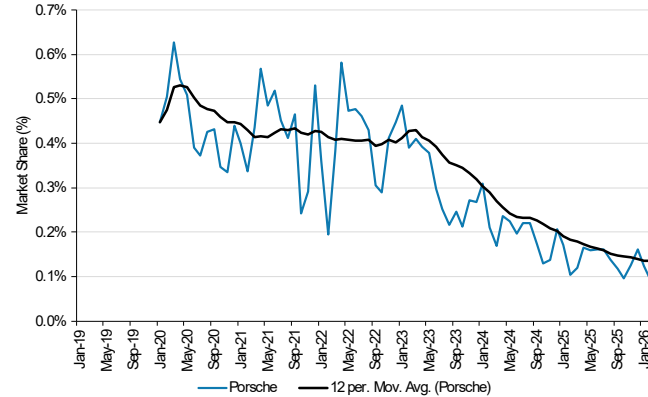
Mercedes-Benz China Market Share (%), Monthly



Volkswagen China Market Share (%), Monthly

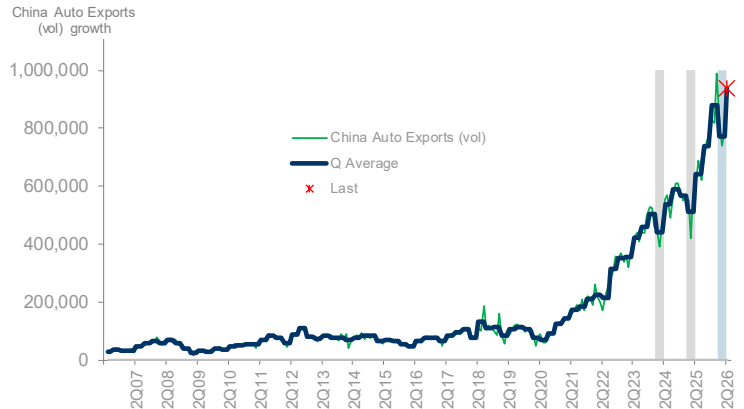


Porsche China Market Share (%), Monthly



2 – Structural Issues: China Auto Exports moving out of the chart

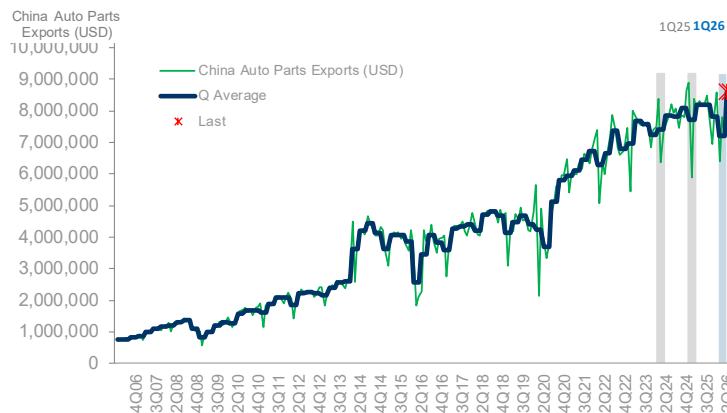
China Auto Exports (vol) 1Q26: +53% Last: +51%



China Auto Exports (vol) growth 1Q26: +53% Last: +51%



China Auto Parts Exports (USD) 1Q26: -3% Last: +7%



China Tyre Exports (USD) 1Q26: -7% Last: -8%

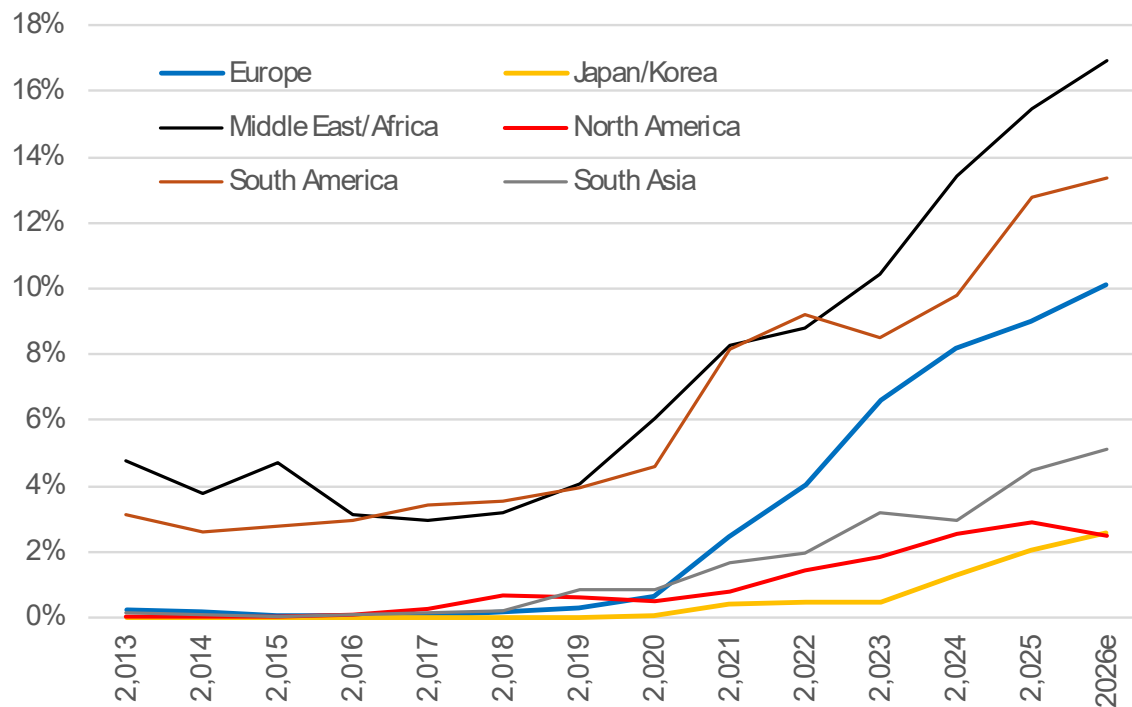


[Global Export tracker: China pressure and more to come \(22 Apr 2026\)](#)

2 – Structural Issues: Pressure from China OEMs keeps increasing

China OEMs gaining global share: 15% a few years ago -> 30% 2030e

Auto sales: % of sales produced in China



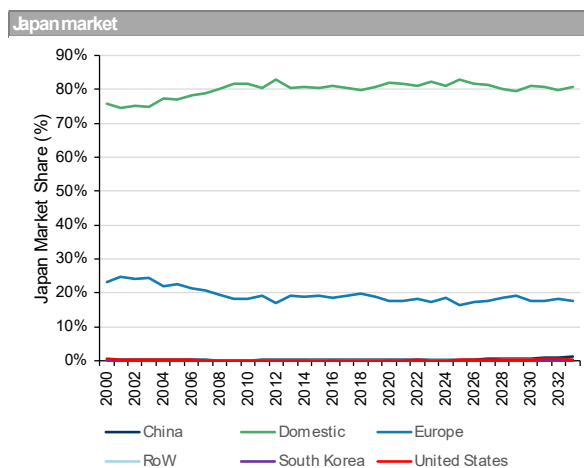
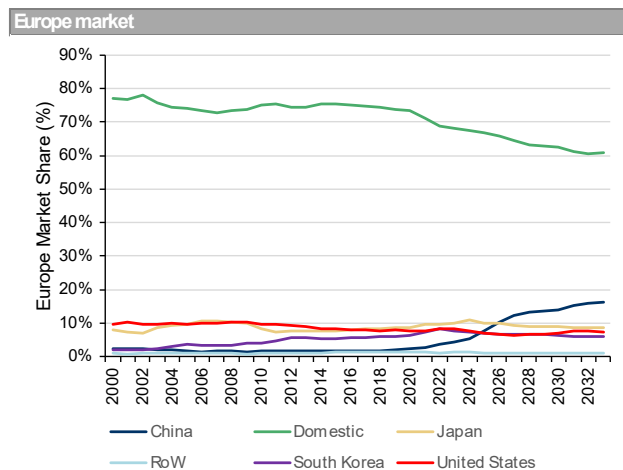
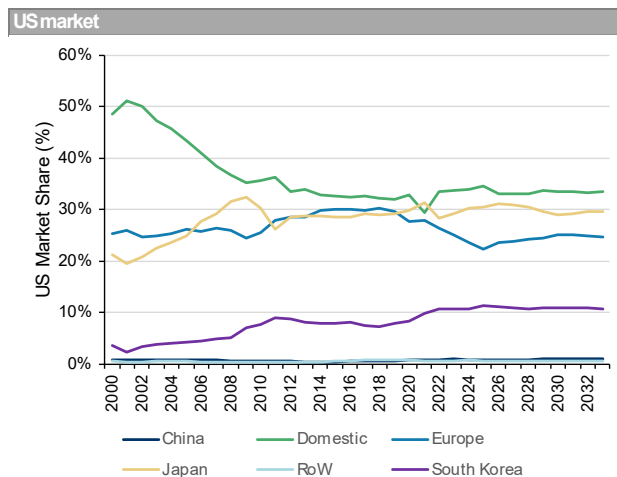
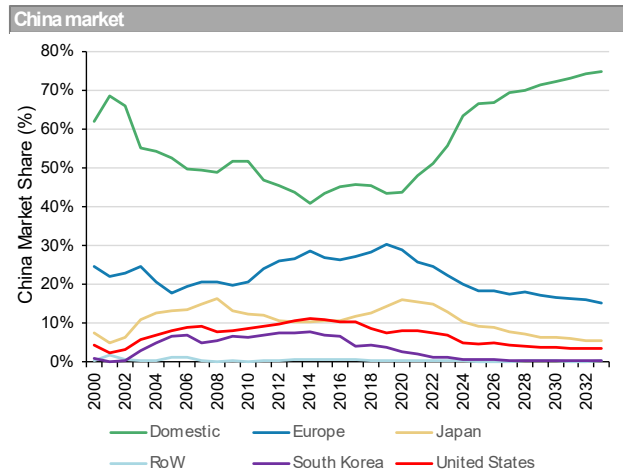
China Structural Advantages:

- Cost
- Product pipeline
- ADAS
- Speed to market

Diverging Commercial Strategies

2 – Structural Issues: Pressure from China OEMs keeps increasing

China OEMs gaining global share: 15% a few years ago -> 30% 2030e

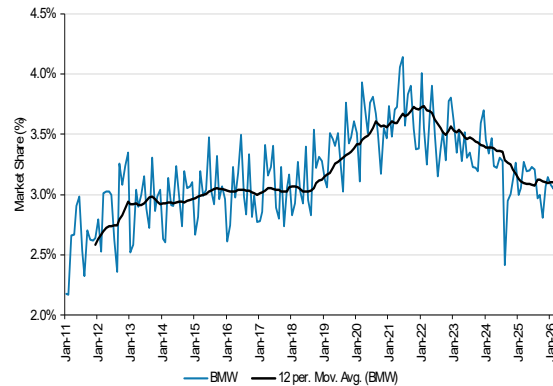


Source: S&P Global, Morgan Stanley Research estimates. Note: Volvo Cars included as China OEM.

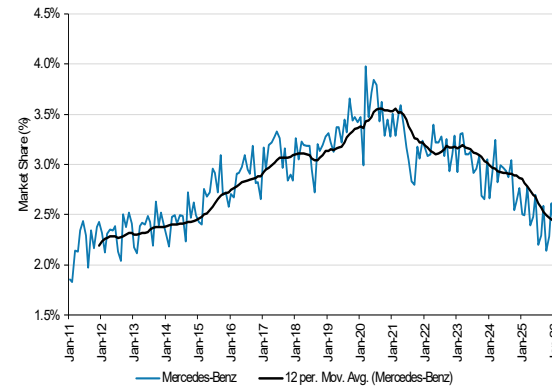
2 – Structural Issues: China OEMs gaining market share

EU OEMs losing market share in Global market:

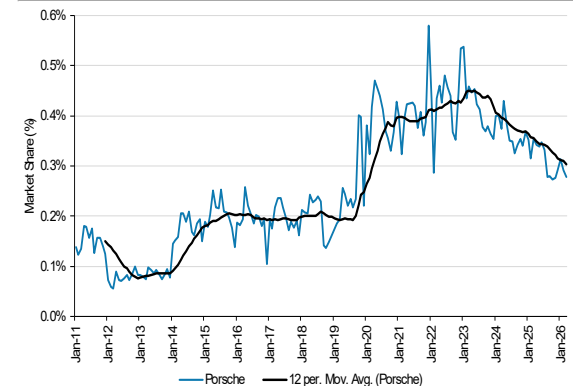
BMW Market Share (%), Monthly



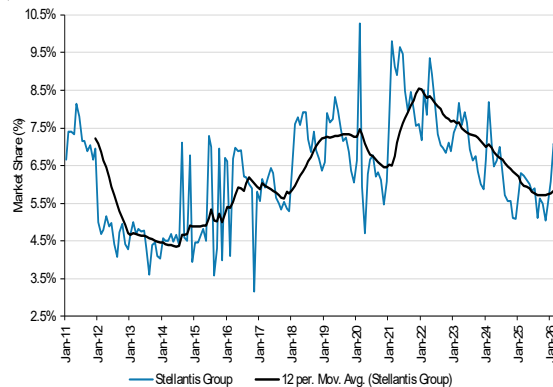
Mercedes-Benz Market Share (%), Monthly



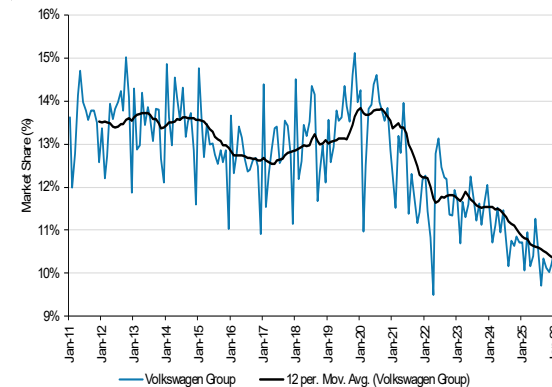
Porsche Group Market Share (%), Monthly



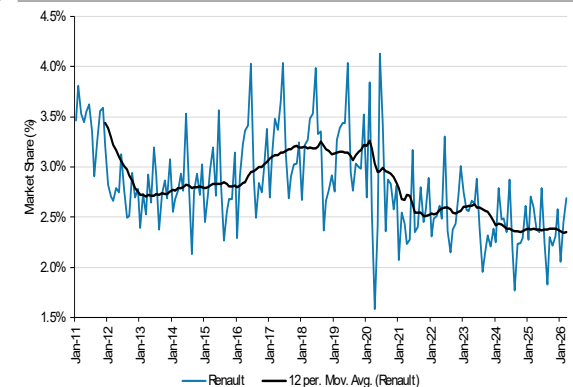
Stellantis Group Market Share (%), Monthly



Volkswagen Group Market Share (%), Monthly



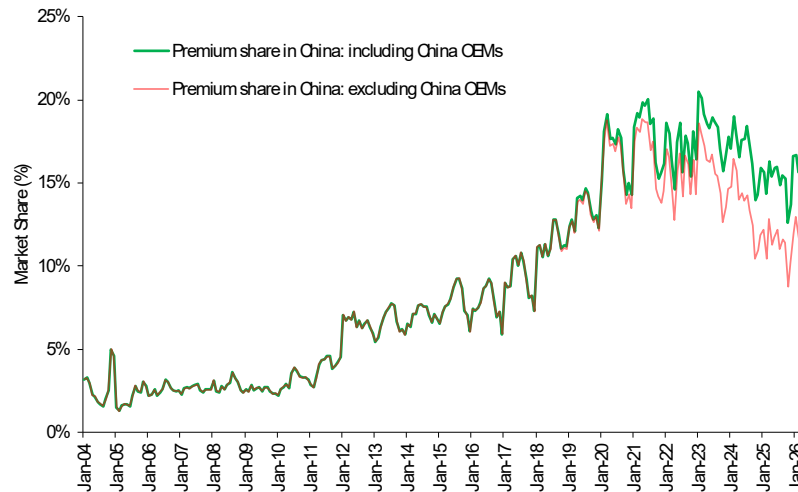
Renault Group Market Share (%), Monthly



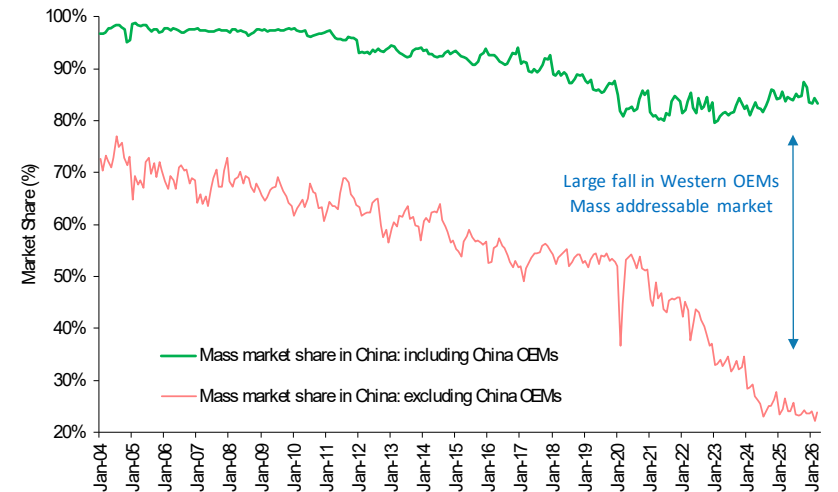
2 – Structural Issues: Pressure from China OEMs keeps increasing

China OEMs gaining share: particularly in the Mass market

China Premium market: share including/excluding China OEMs (%), Monthly

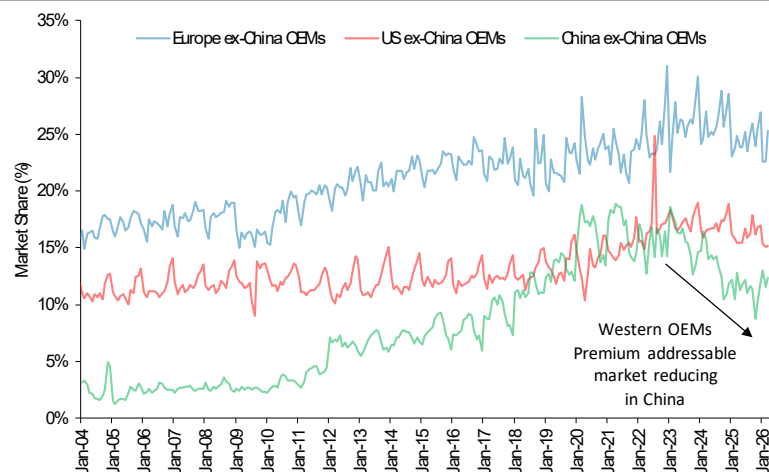


China Mass market: share including/excluding China OEMs (%), Monthly

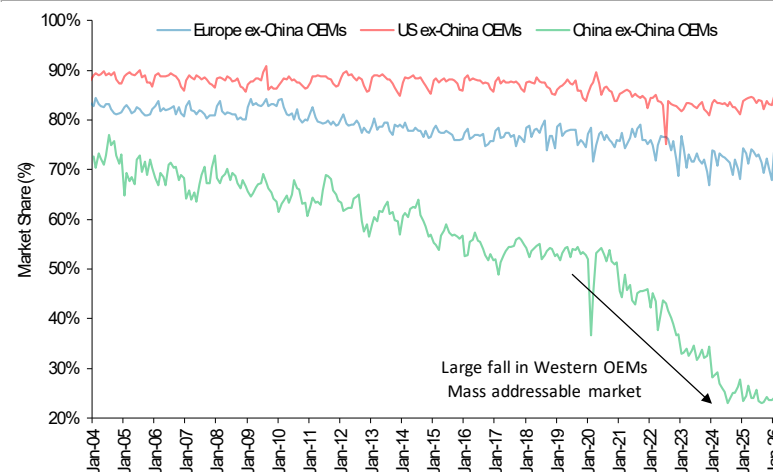


2 – Structural Issues: ... but Mass market much more impacted by China competition

Premium ex-China OEMs Market Share by Region (%), Monthly



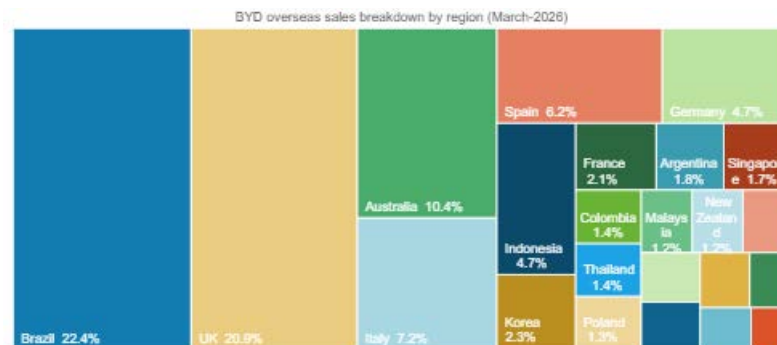
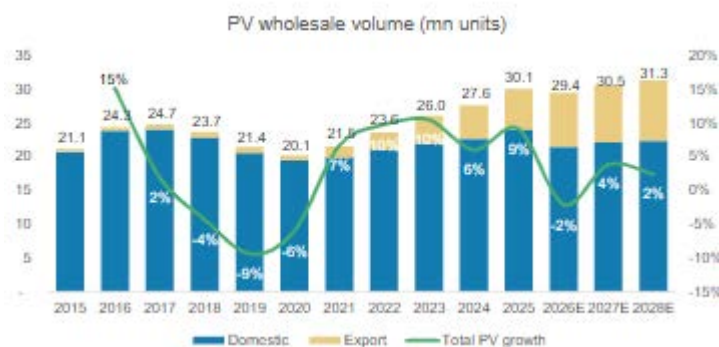
Mass ex-China OEMs Market Share by Region (%), Monthly



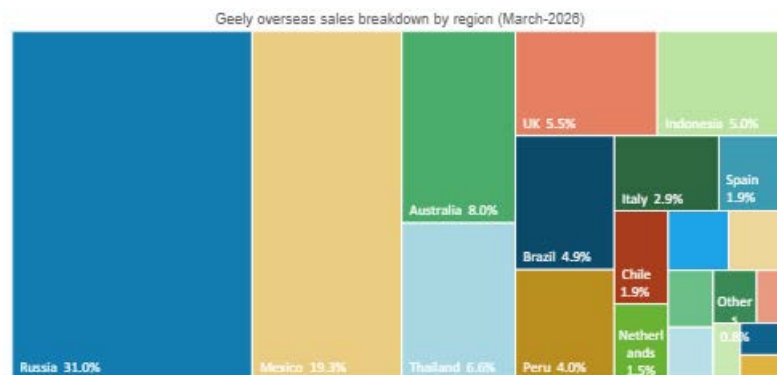
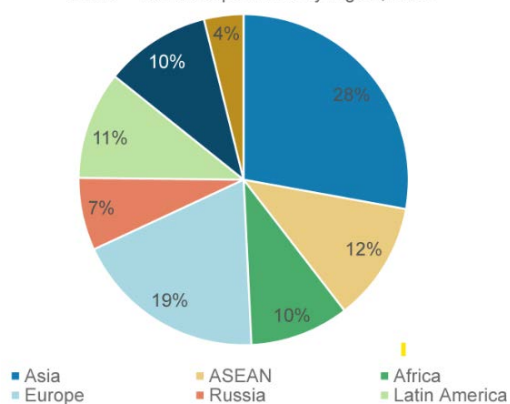
Source: Countries local auto associations, Morgan Stanley Research. Note: this chart does include only the following markets: China, US, Europe, Japan, India, Brazil, Turkey, South Korea, Russia, Argentina, Canada, Mexico, Malaysia, Thailand, Indonesia, Australia, South Africa.

2 – Structural Issues: Pressure from China exports keeps increasing

China OEMs gaining global share: 16% 2026e ->30% 2030e



China – vehicle export units by region, 2025



[Where did China's OEMs sell overseas in March? \(30 Apr 2026\)](#)

2 – Structural Issues: Pressure from China Onshoring also increasing

China APs to follow ...



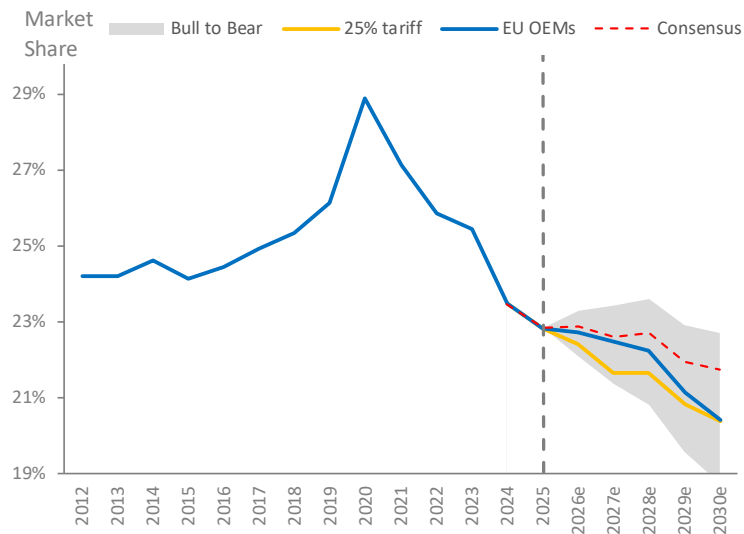
... China OEMs



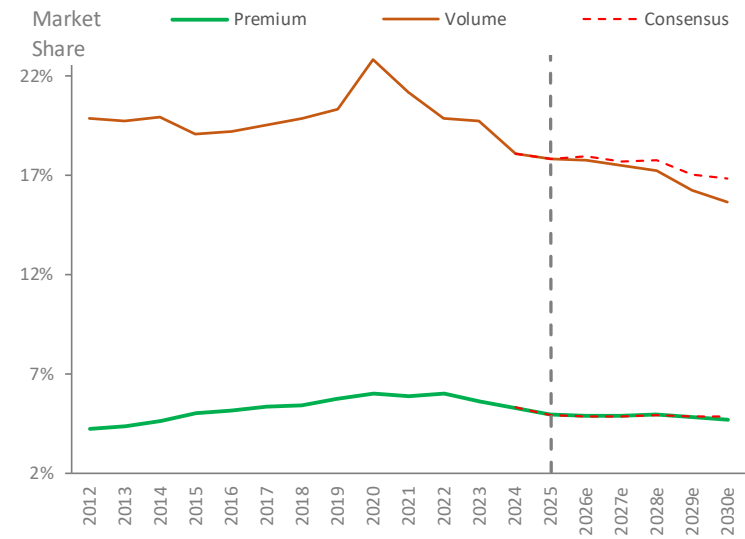
2 – Structural Issues: China OEMs gaining market share

Global share: (+) China OEMs → (-) EU OEMs (particularly volume players)

EU OEMs GLOBAL MARKET SHARE (%)



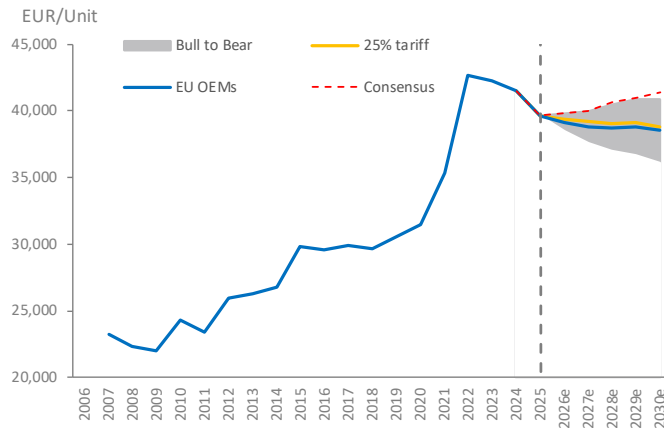
EU OEMs GLOBAL MARKET SHARE (%)



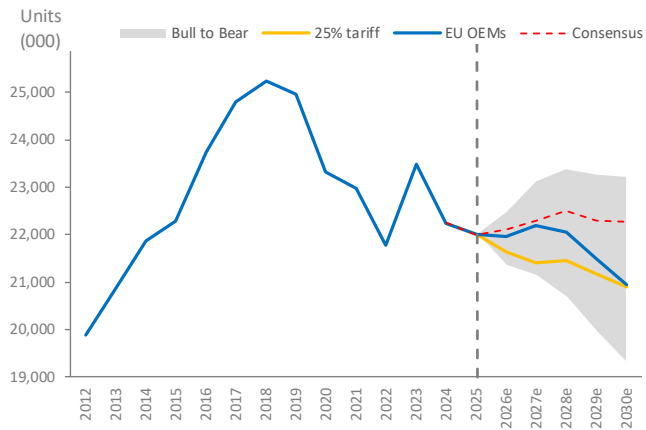
2 – Structural Issues: China OEMs gaining market share

It is either prices or volume or both (European OEMs) ...

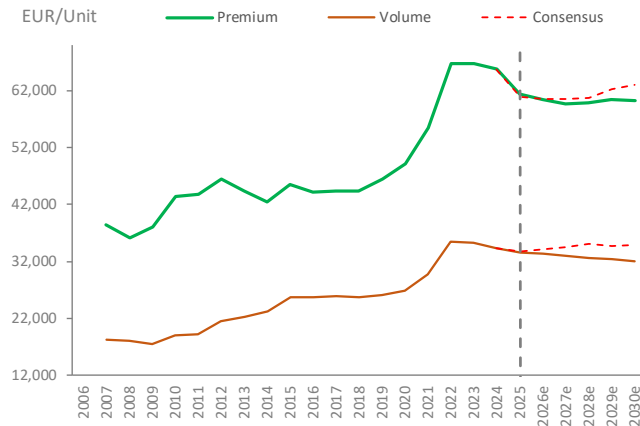
CAR NET REVENUE / UNIT (EUR)



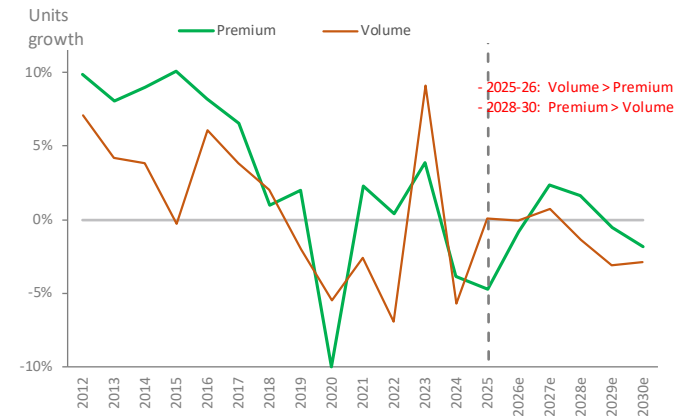
WHOLESALE DELIVERIES (000, all vehicles)



CAR NET REVENUE / UNIT (EUR)



DELIVERY GROWTH (All vehicles, %)



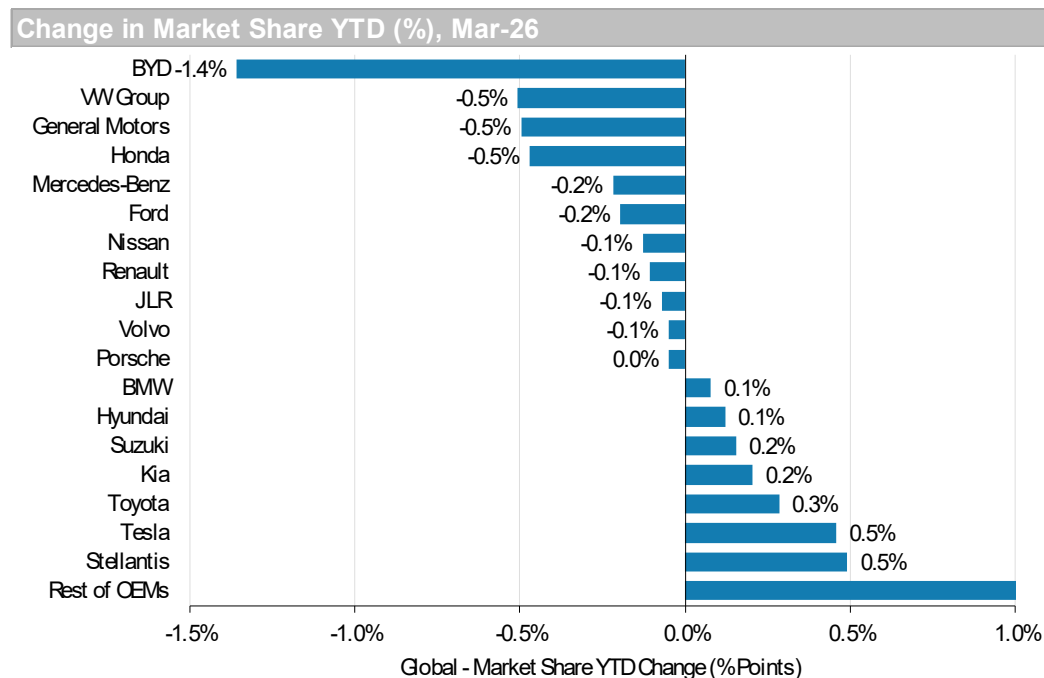
2 – Structural Issues: China OEMs gaining market share

Global Main Markets	Mar-26	YoY (%)	Mkt Share (%)	Δ YoY Mkt Share (%)	YTD Mar-26	YTD YoY (%)	YTD Mkt Share (%)	Δ YTD Mkt Share (%)	3M Trailing Average	Average YoY 3M Trailing
Vehicle Sales by OEMs										
BMW	230,073	4.4%	3.4%	0.1%	536,823	0.3%	3.2%	0.1%	178,941	-0.3%
Mercedes-Benz	170,192	-8.9%	2.5%	-0.3%	400,677	-10.4%	2.4%	-0.2%	133,559	-10.6%
Ford	245,783	-10.2%	3.6%	-0.4%	640,632	-6.9%	3.8%	-0.2%	213,544	-6.6%
General Motors	381,243	-13.7%	5.6%	-0.9%	986,598	-9.8%	5.9%	-0.5%	328,866	-9.1%
Hyundai	304,774	2.7%	4.5%	0.1%	774,098	0.5%	4.6%	0.1%	258,033	0.3%
Kia	242,485	2.5%	3.6%	0.1%	620,778	3.6%	3.7%	0.2%	206,926	3.7%
JLR	36,125	-10.0%	0.5%	-0.1%	75,983	-15.5%	0.5%	-0.1%	25,328	-16.4%
Nissan	262,531	-1.5%	3.9%	-0.1%	618,484	-5.5%	3.7%	-0.1%	206,161	-5.9%
Honda	286,496	-15.1%	4.2%	-0.8%	677,900	-12.4%	4.0%	-0.5%	225,967	-11.8%
Suzuki	260,579	7.0%	3.9%	0.2%	747,708	1.4%	4.5%	0.2%	249,236	1.4%
Stellantis Group	448,392	7.0%	6.6%	0.4%	1,105,699	5.7%	6.6%	0.5%	368,566	5.6%
Renault	182,019	4.0%	2.7%	0.1%	407,063	-6.3%	2.4%	-0.1%	135,688	-7.4%
Tesla	191,390	23.6%	2.8%	0.5%	432,146	19.0%	2.6%	0.5%	144,049	19.1%
Toyota	726,188	-0.8%	10.7%	-0.1%	1,876,354	0.4%	11.2%	0.3%	625,451	0.5%
Volkswagen Group	688,556	-6.7%	10.2%	-0.8%	1,696,448	-6.8%	10.1%	-0.5%	565,483	-6.9%
Porsche	18,863	-20.7%	0.3%	-0.1%	49,249	-16.0%	0.3%	0.0%	16,416	-15.4%
Volvo	70,574	5.3%	1.0%	0.0%	152,163	-7.3%	0.9%	-0.1%	50,721	-8.8%
BYD	336,395	-13.7%	5.0%	-0.8%	773,957	-24.4%	4.6%	-1.4%	257,986	-25.1%
Rest of OEMs	1,703,575	12.6%	25.2%	2.7%	4,254,978	5.3%	25.4%	1.8%	1,418,326	4.9%
Total Global (Main Mkts)	6,767,370	0.5%	100.0%	0.0%	16,778,489	-2.2%	100.0%	0.0%	5,592,830	-2.4%
Premium	1,083,361	1.5%	16.0%	0.2%	2,543,989	-1.5%	15.2%	0.1%	847,996	-2.0%
Mass	5,684,009	0.3%	84.0%	-0.2%	14,234,500	-2.3%	84.8%	-0.1%	4,744,833	-2.5%

Source: Countries local auto associations, Morgan Stanley Research. Note: this chart does include only the following markets: China, US, Europe, Japan, India, Brazil, Turkey, South Korea, Russia, Argentina, Canada, Mexico, Malaysia, Thailand, Indonesia, Australia, South Africa.

2 – Structural Issues: China OEMs gaining market share

Global market share: (+) China OEMs, Stellantis ... EU OEMs



2 – Structural Issues: China OEMs gaining market share

EU market share:

(+) Stellantis

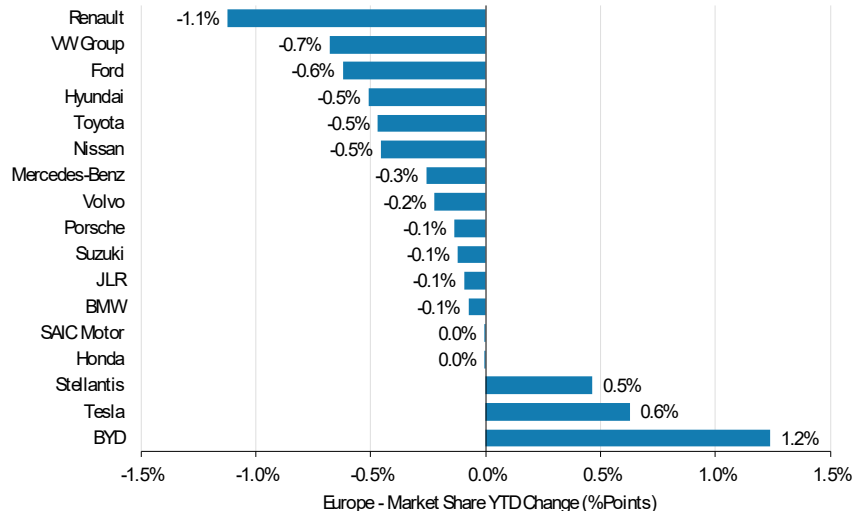
(-) Renault, VW, MBG, P911, BMW

US market share:

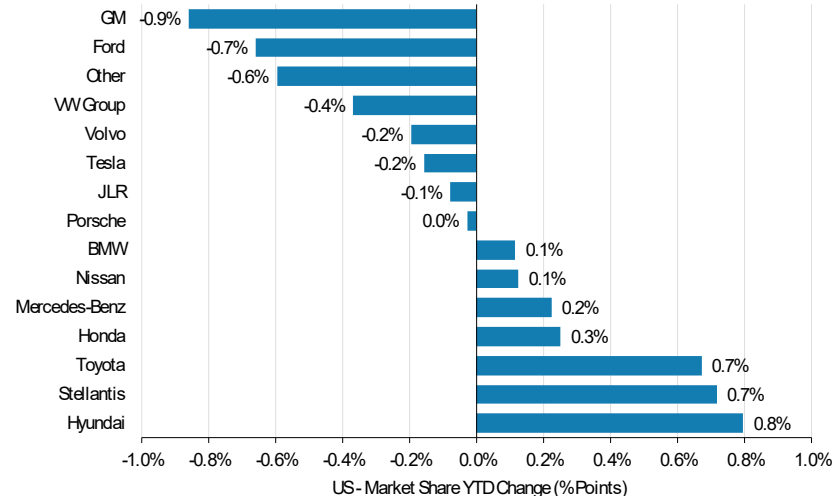
(+) Stellantis, MBG, BMW

(-) US OEMs, VW, P911

Change in Market Share YTD (%), Mar-26



Change in Market Share YTD (%), Apr-26

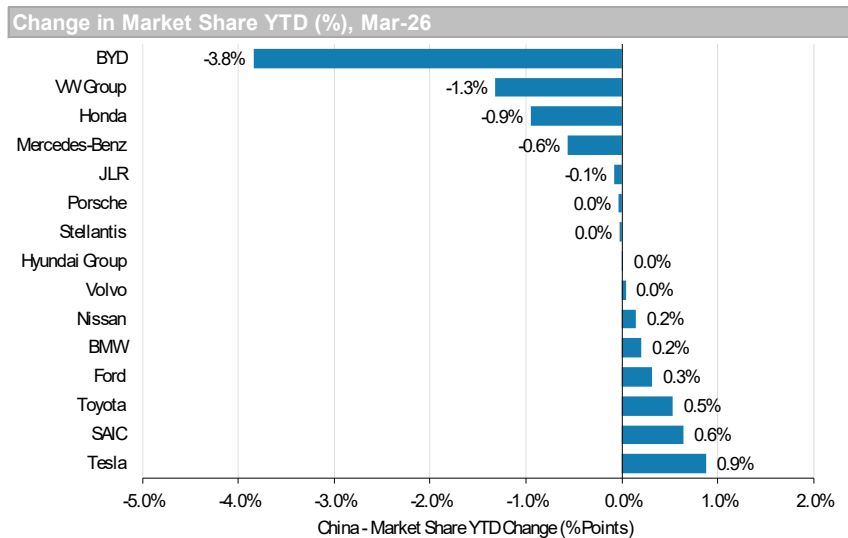


2 – Structural Issues: China OEMs gaining market share

China market share:

(+) BMW

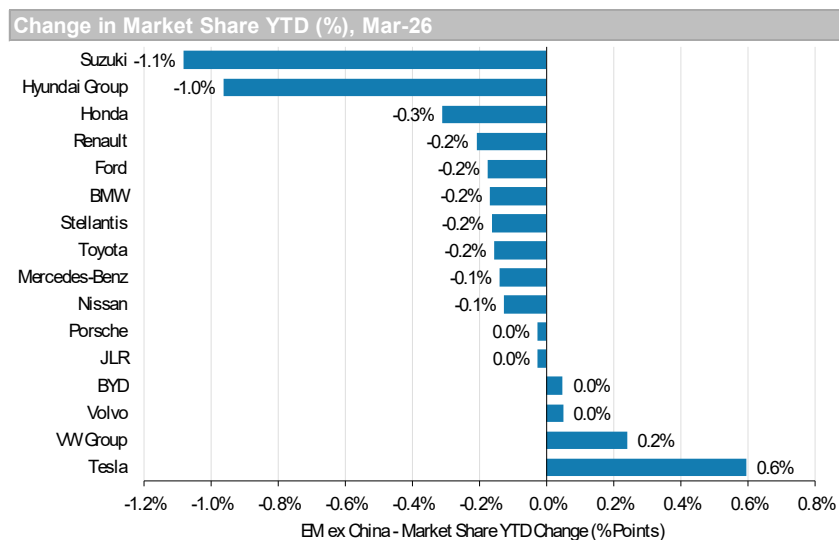
(-) VW, MBG, P911



EM ex-China market share:

(+) VW, MBG

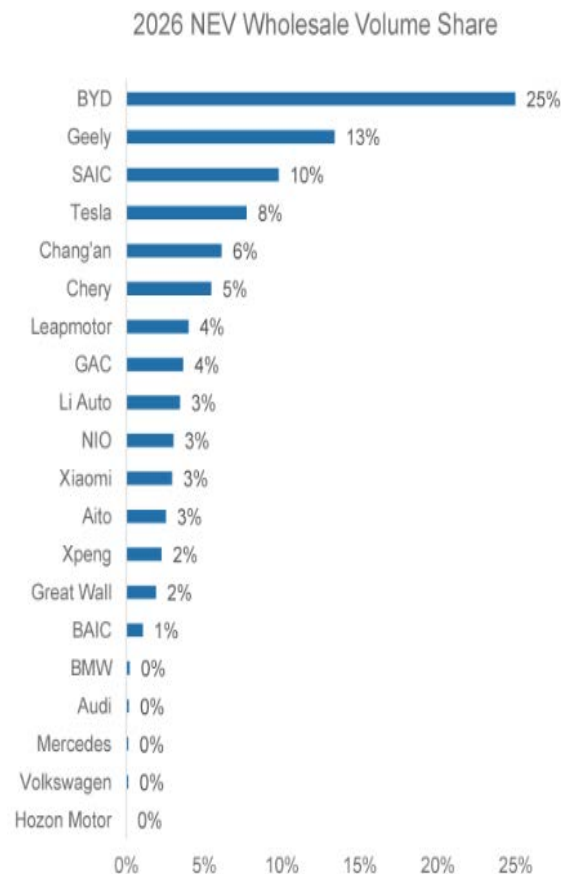
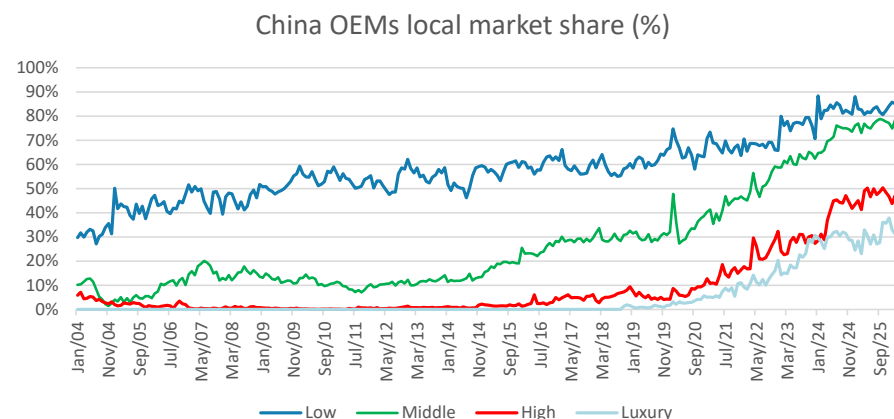
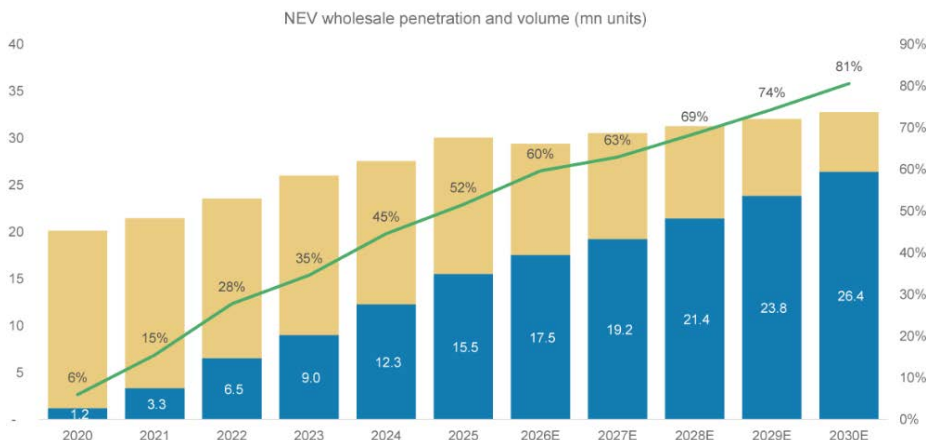
(-) Renault, Stellantis, BMW, MBG



2 – Structural Issues: Pressure from China OEMs keeps increasing

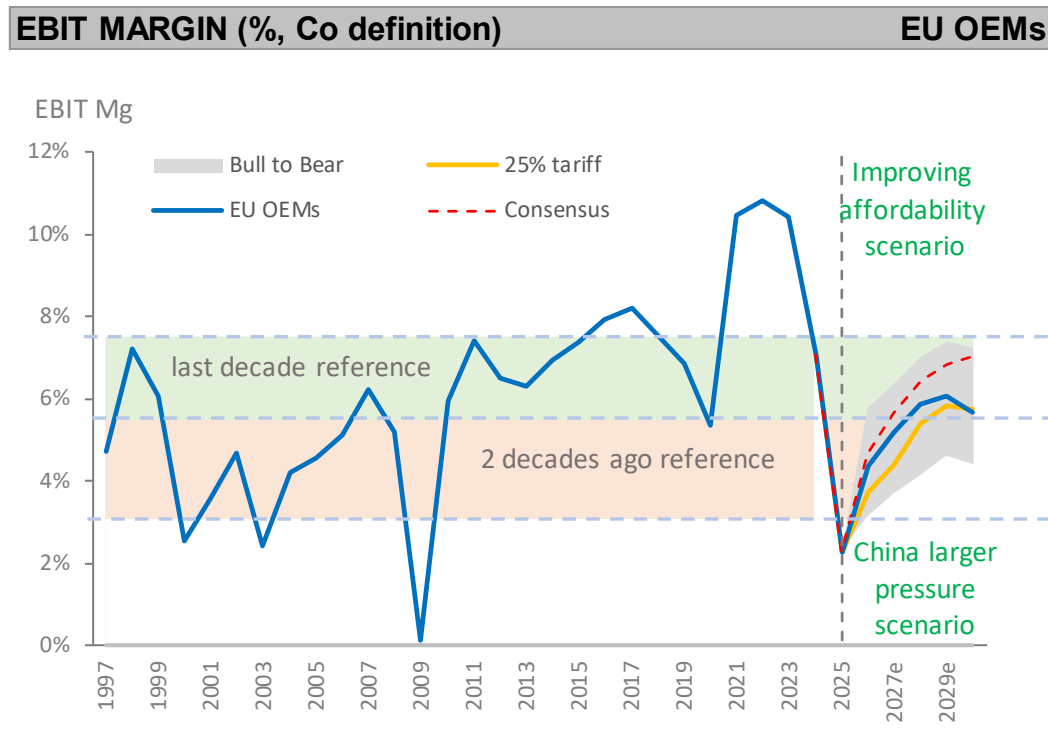
China OEMs gaining share: supported by EV penetration, faster in volume Segments

- 2026e: NEV wholesale 17.5mn units (+13% YoY) / Penetration 60%



3 – Timing the Cycle: the key is the shape of the margin recovery

Margin cycle inflection point; consensus now more rational

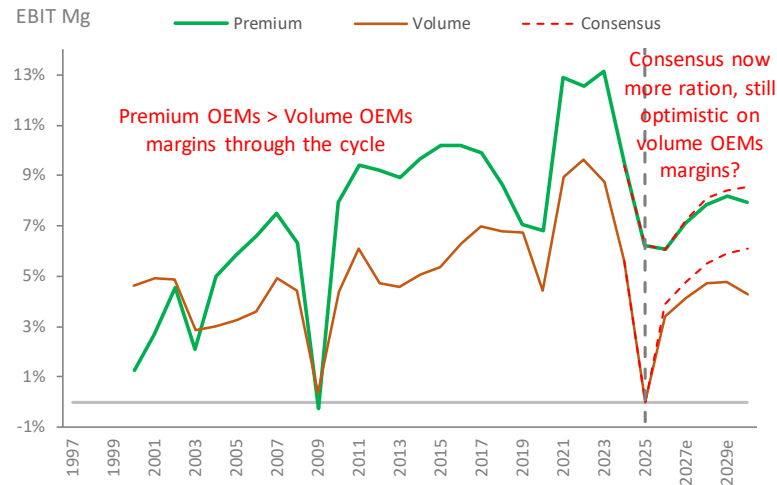


3 – Timing the Cycle: the key is the shape of the margin recovery

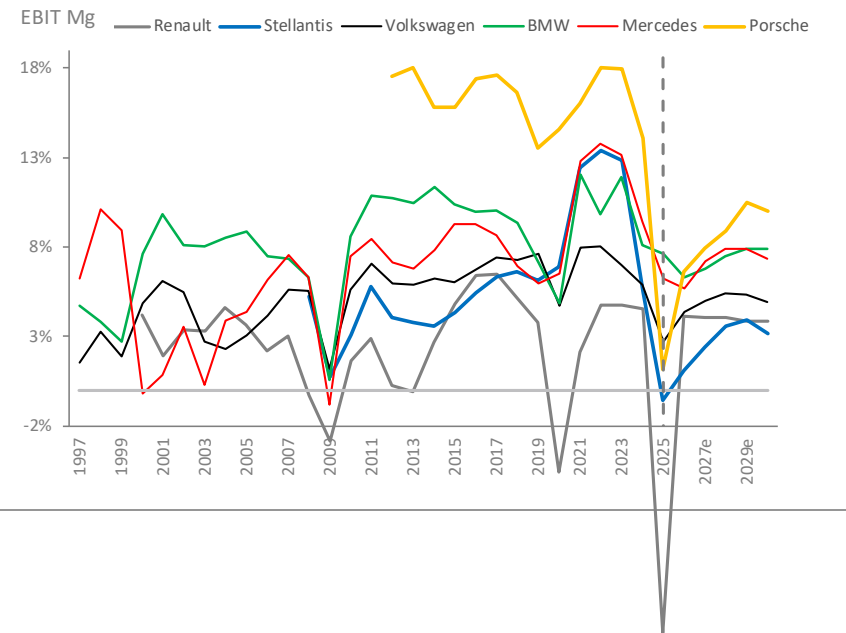
All companies impacted by the margin cycle

Premium OEMs margins > volume OEMs (consensus now more rational, still high)

EBIT MARGIN (% Co definition) EU OEMs

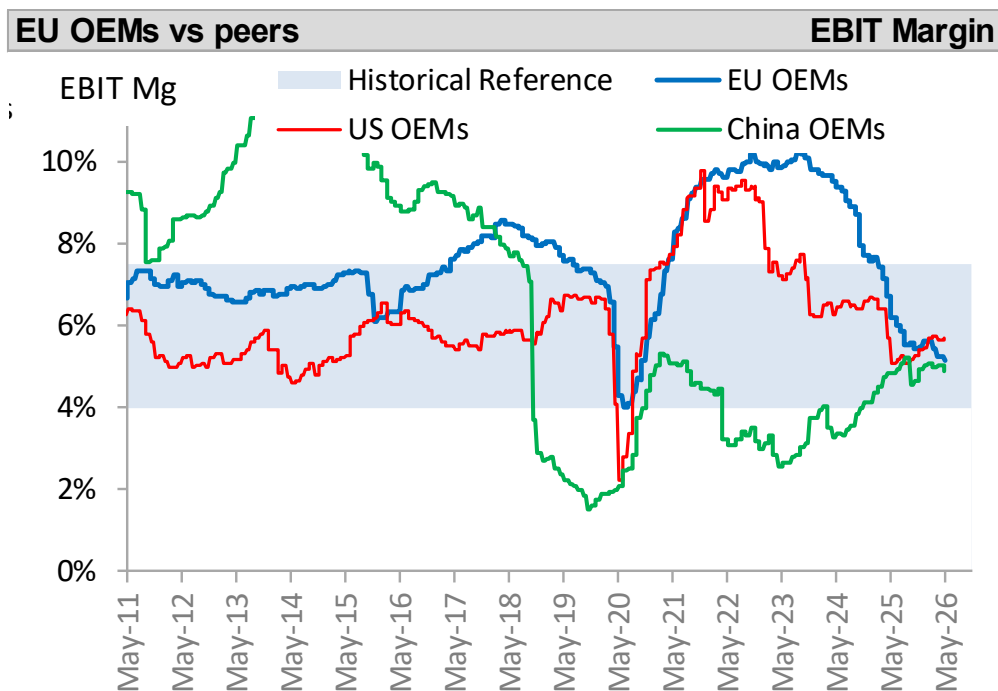


EBIT MARGIN (% Co definition) EU OEMs



3 – Timing the Cycle: the key is the shape of the margin recovery

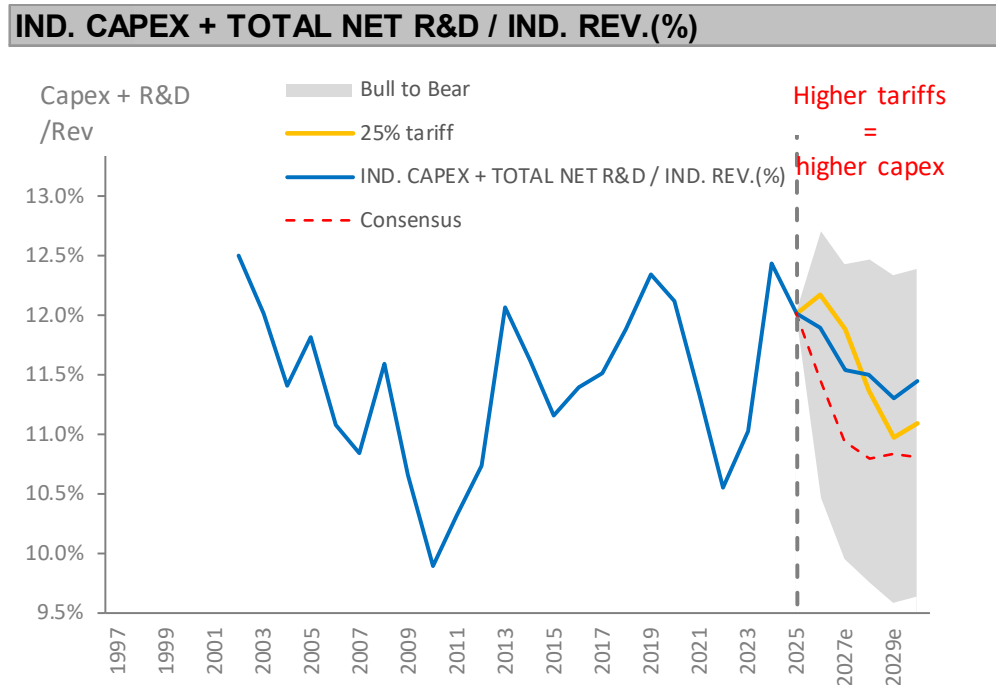
Global OEMs Margins have converged



3 – Timing the Cycle: it is also about Capex and R&D

Capex and R&D control lagging behind operational cash flow fall

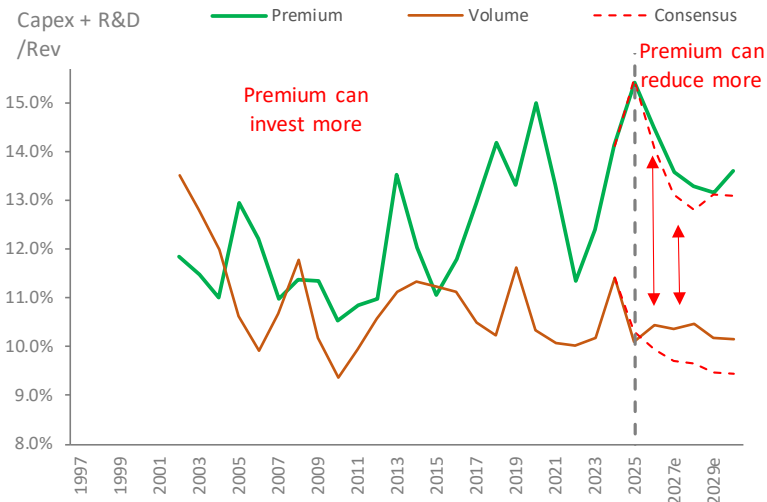
Consensus still in denial



3 – Timing the Cycle: it is also about Capex and R&D

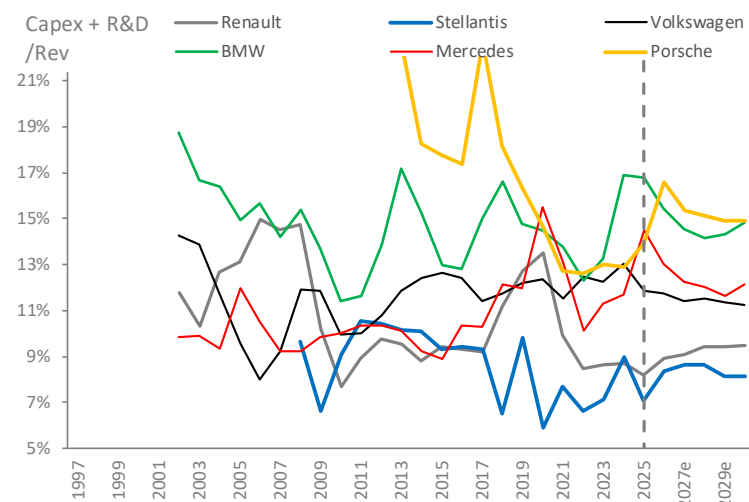
Capex and R&D control lagging behind operational cash flow fall

IND. CAPEX + TOTAL NET R&D / IND. REV.(%)



IND. CAPEX + TOTAL NET R&D / IND. REV.(%)

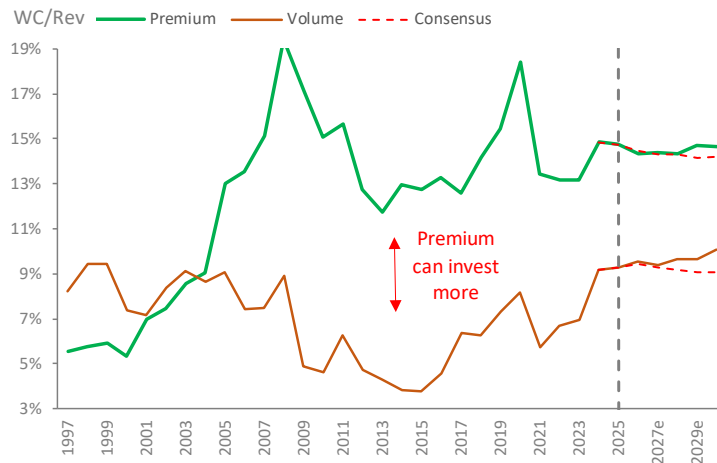
EU OEMs



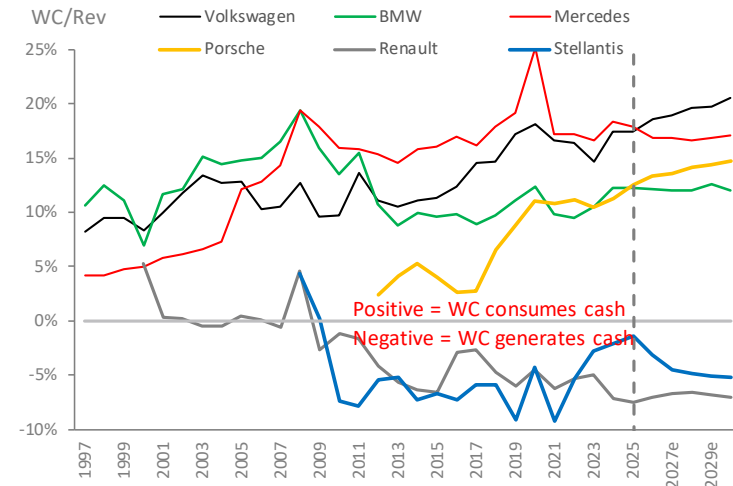
3 – Timing the Cycle: it is also about Working Capital

Segments also drive working capital strategy

MS INDUSTRIAL WORKING CAPITAL (EUR mn) **EU OEMs**

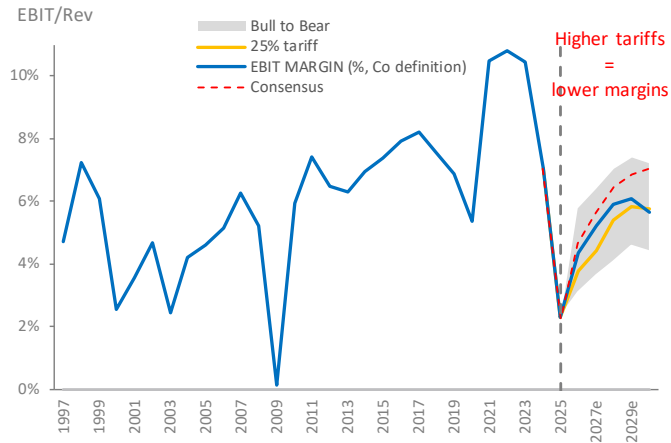


MS Ind. WORKING CAPITAL / IND. SALES (%) **EU OEMs**

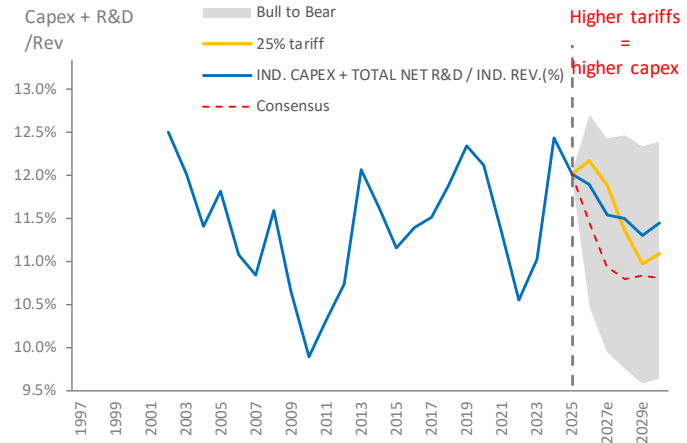


3 – Timing the Cycle: Tariffs matter for European OEMs

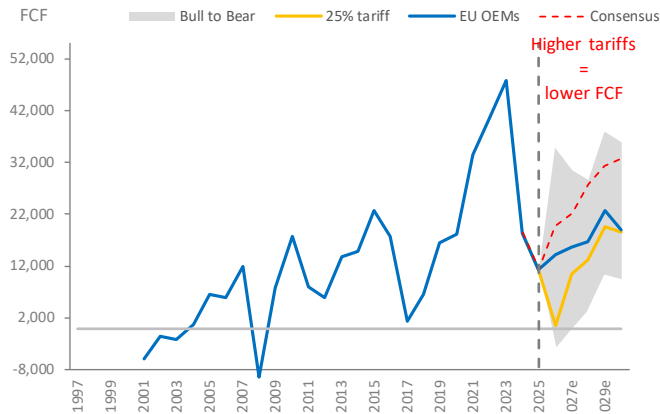
EBIT MARGIN (% Co definition)



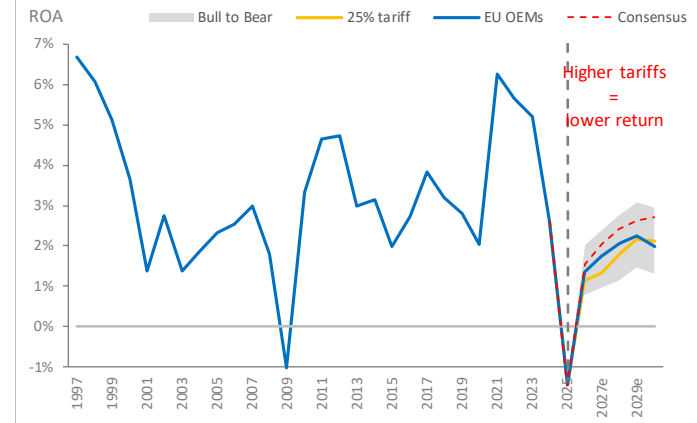
IND. CAPEX + TOTAL NET R&D / IND. REV.(%)



INDUSTRIAL FCF (EUR MN)



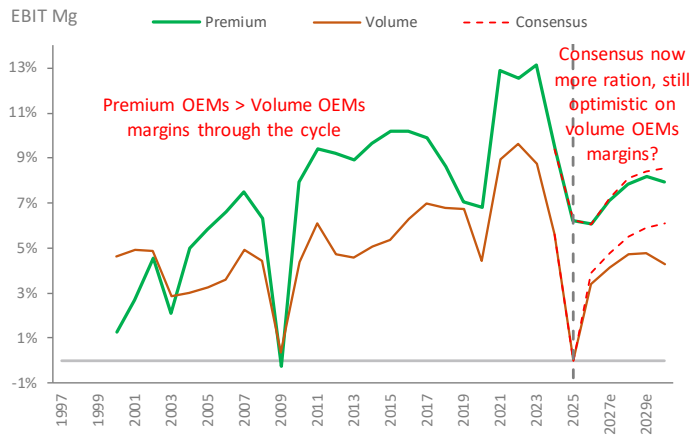
ROA (Group, %)



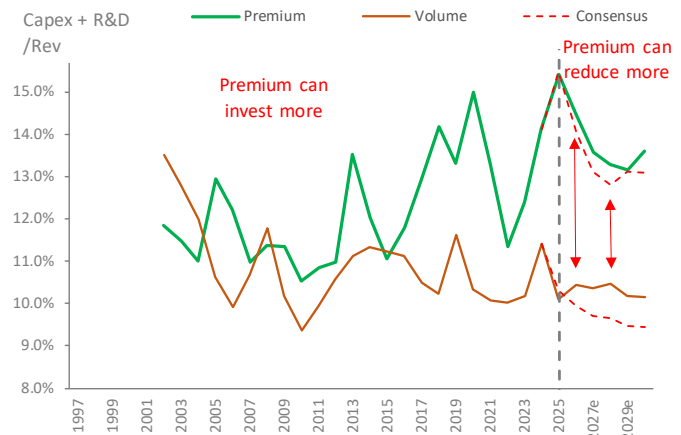
3 – Timing the Cycle: Premium vs Volume OEMs

EBIT MARGIN (% Co definition)

EU OEMs

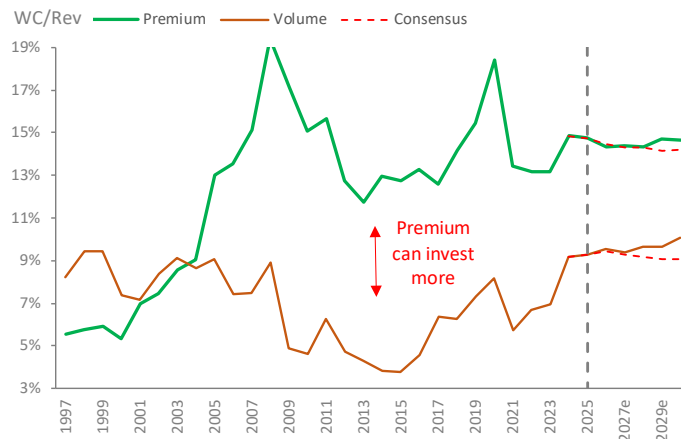


IND. CAPEX + TOTAL NET R&D / IND. REV.(%)



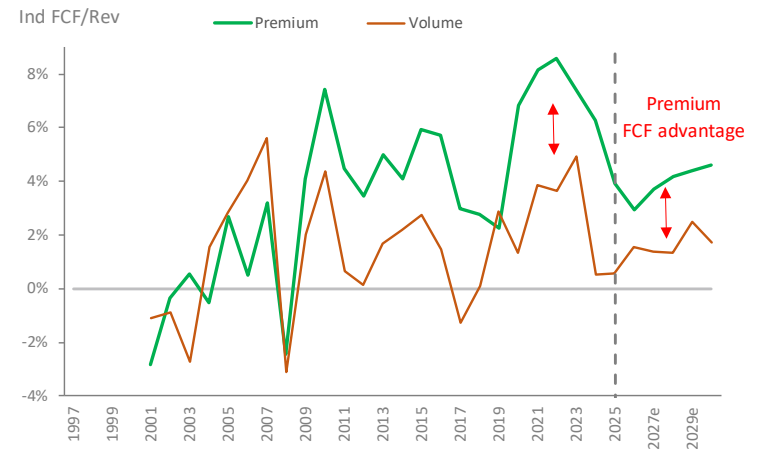
MS INDUSTRIAL WORKING CAPITAL (EUR mn)

EU OEMs



Industrial FCF / Industrial Rev (%)

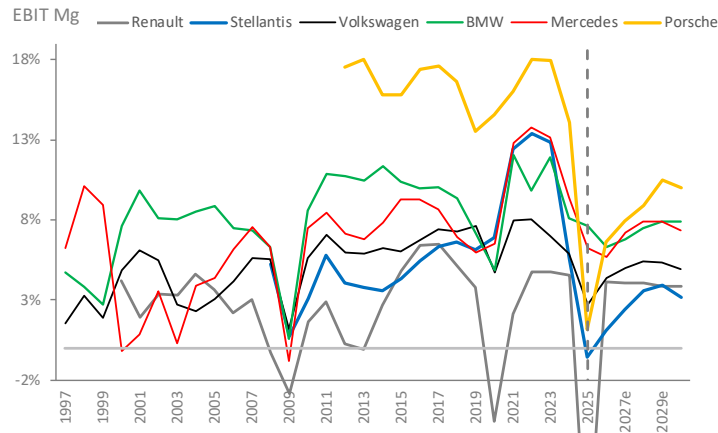
EU OEMs



3 – Timing the Cycle: Premium vs Volume OEMs

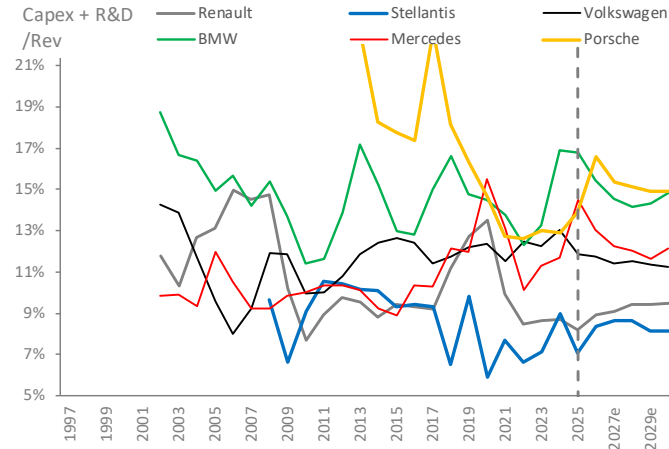
EBIT MARGIN (% Co definition)

EU OEMs



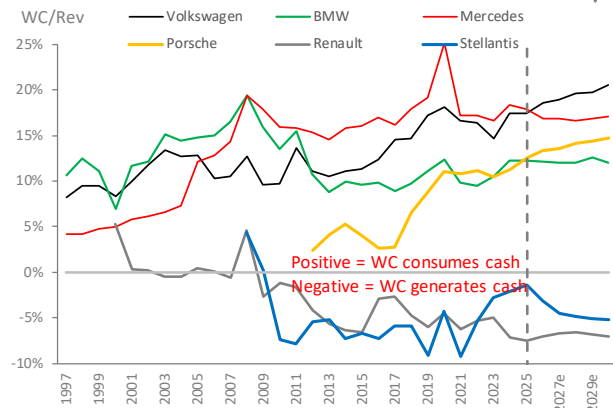
IND. CAPEX + TOTAL NET R&D / IND. REV.(%)

EU OEMs



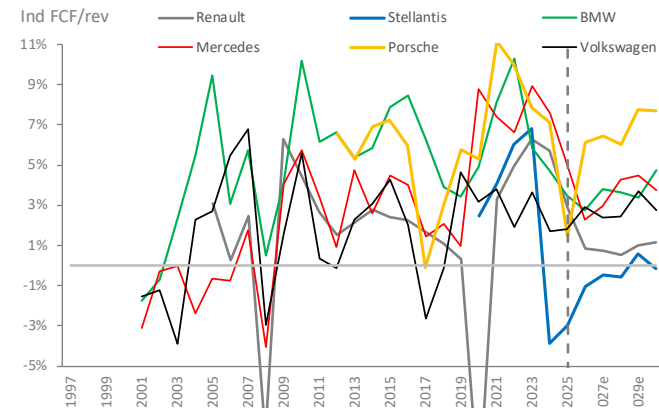
MS Ind. WORKING CAPITAL / IND. SALES (%)

EU OEMs



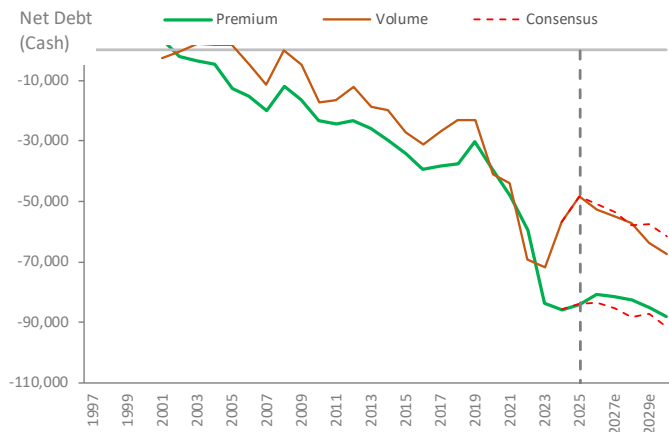
Industrial FCF / Industrial Rev (%)

EU OEMs

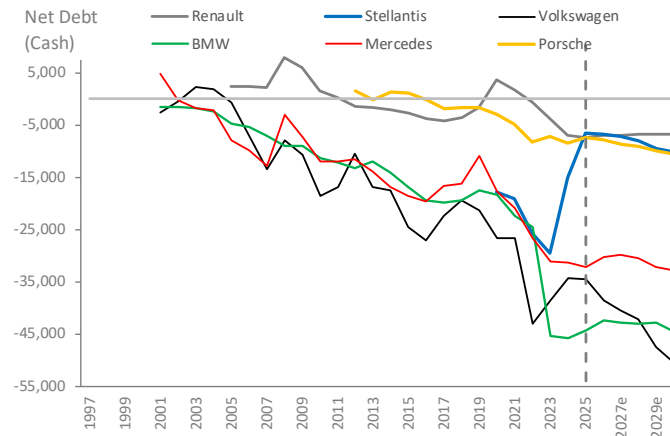


3 – Timing the Cycle: Premium vs Volume OEMs

INDUSTRIAL NET DEBT (CASH) (As reported, EUR MN)

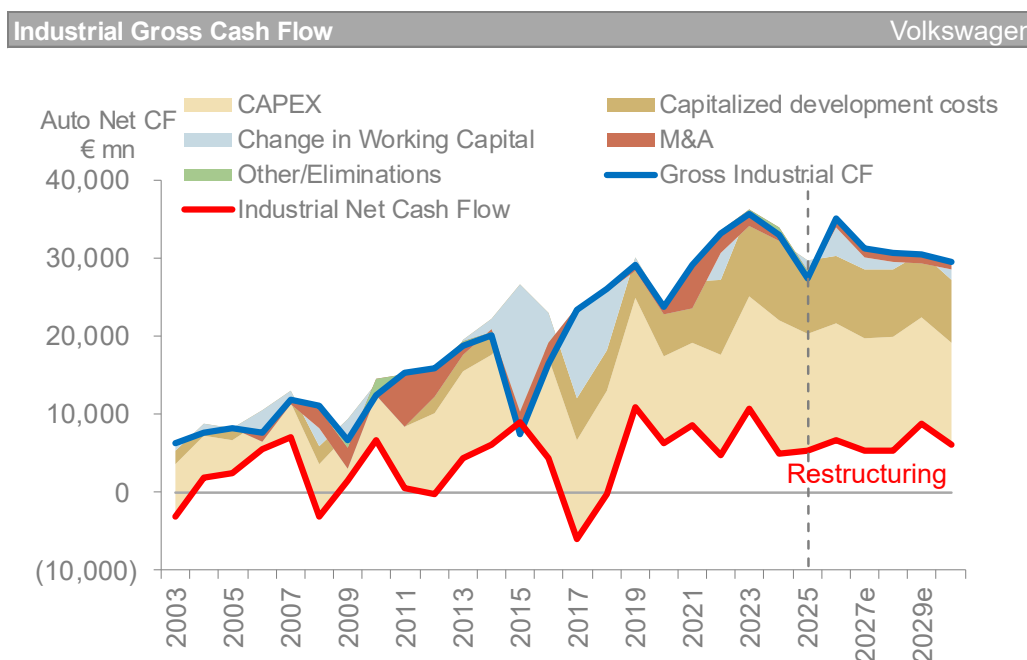


INDUSTRIAL NET DEBT (CASH) (As reported, EUR MN)



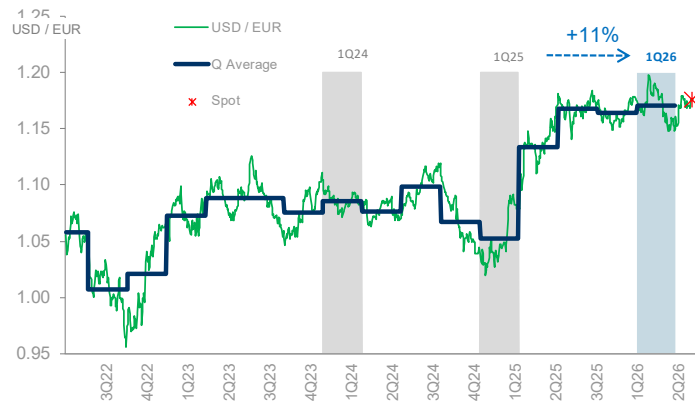
3 – Timing the Cycle: it is about margins and investments

Investors should reward strategies that focus on generating cash flow for shareholders, not simply on selling cars (VW example)

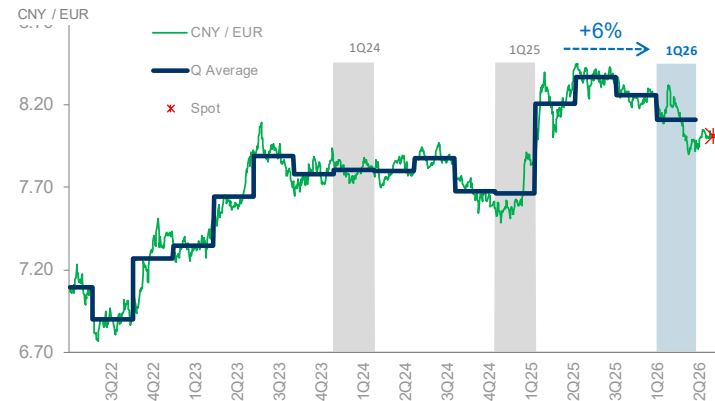


3 – Timing the Cycle: Fx headwind: European players losing competitiveness

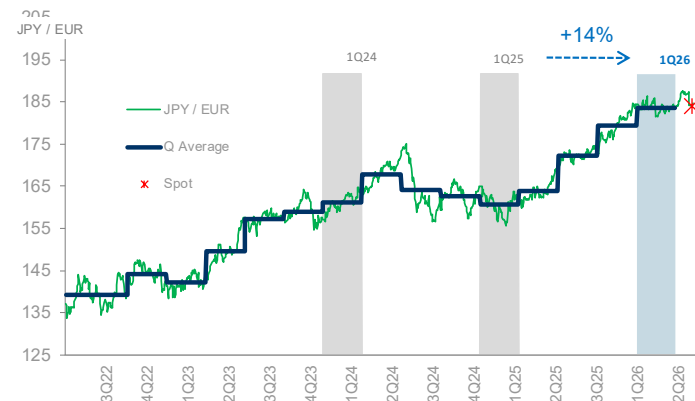
USD / EUR 1Q26: +11% Last: 1.18 +5%



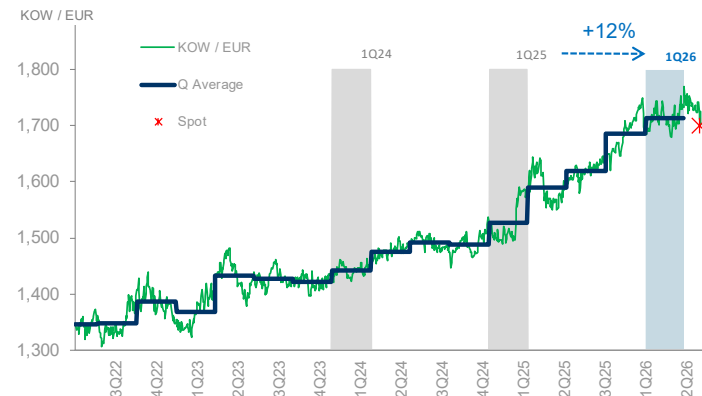
CNY / EUR 1Q26: +6% Last: 8.01 -2%



JPY / EUR 1Q26: +14% Last: 184 +13%

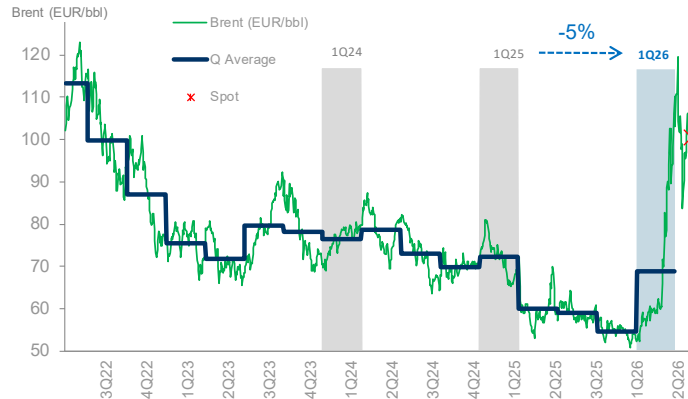


KOW / EUR 1Q26: +12% Last: 1,701 +9%

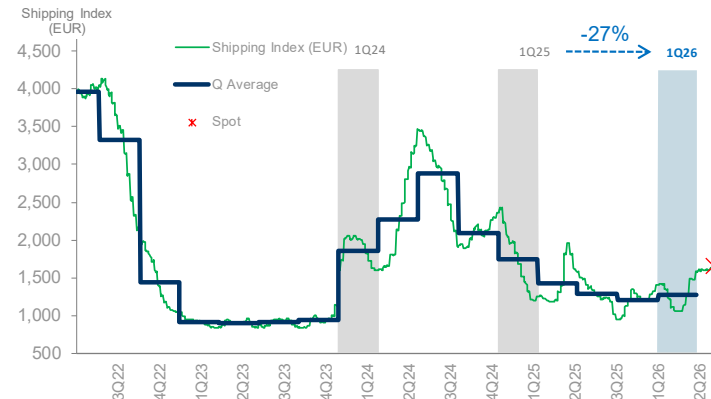


3 – Timing the Cycle: Commodity prices still mixed but trending up

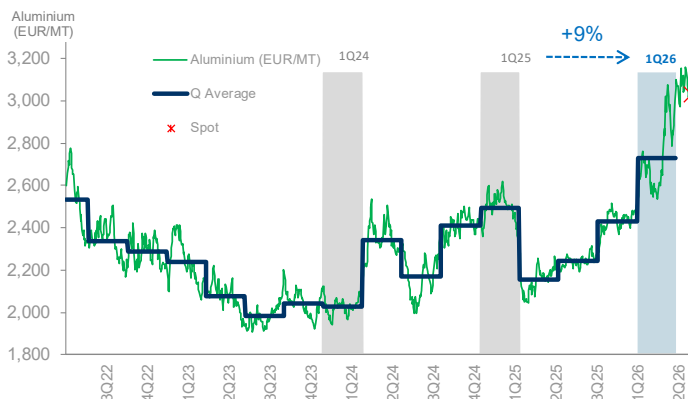
Brent (EUR/bbl) 1Q26: -5% Last (€): 101 +76%



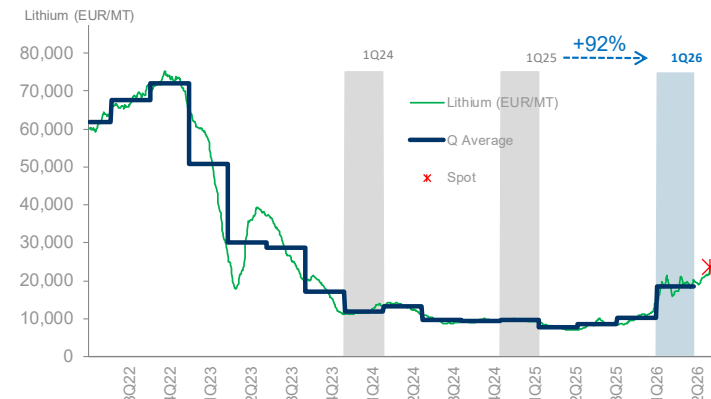
Shipping Index (EUR) 1Q26: -27% Last (€): 1,662 +39%



Aluminium (EUR/MT) 1Q26: +9% Last (€): 3,029 +42%

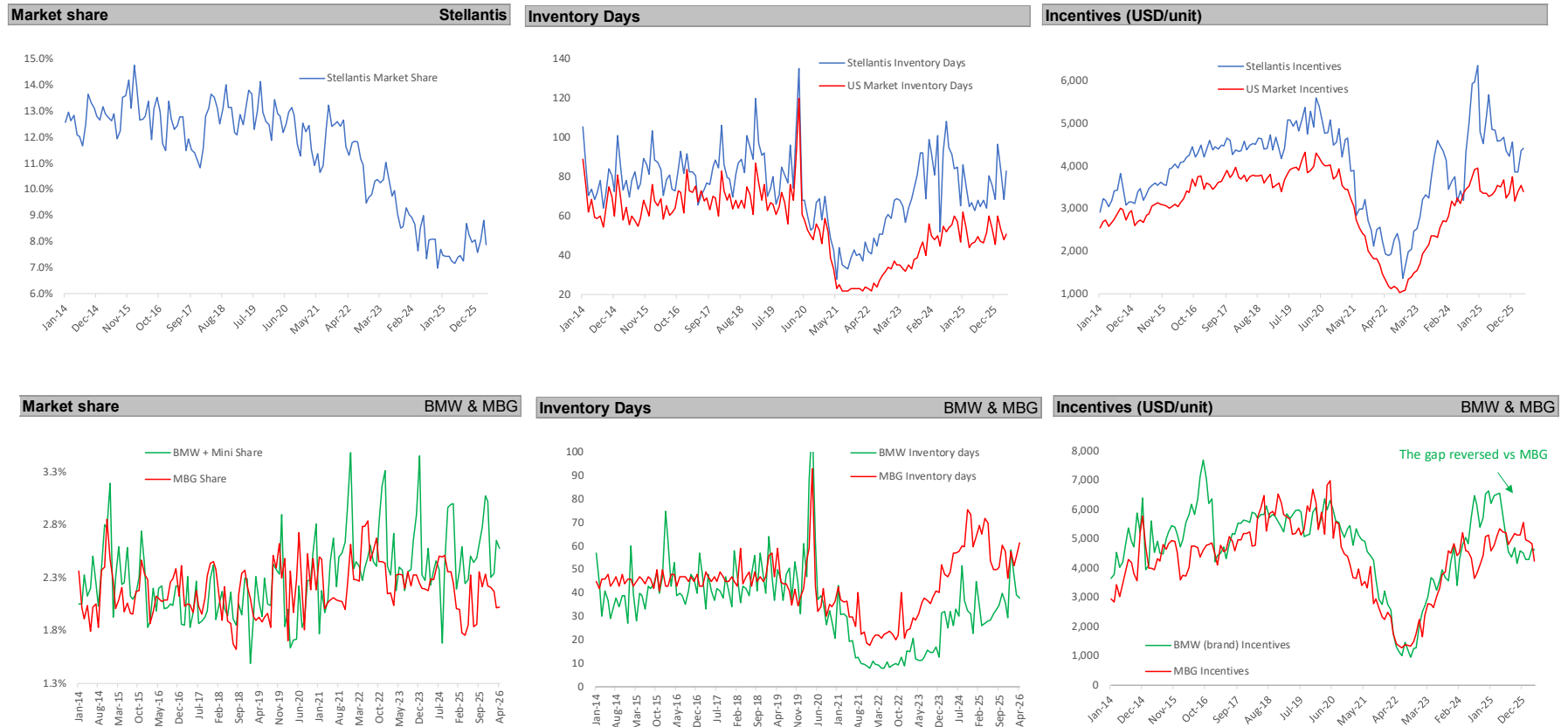


Lithium (EUR/MT) 1Q26: +92% Last (€): 23,654 +197%



3 – Timing the Cycle: US market dynamics

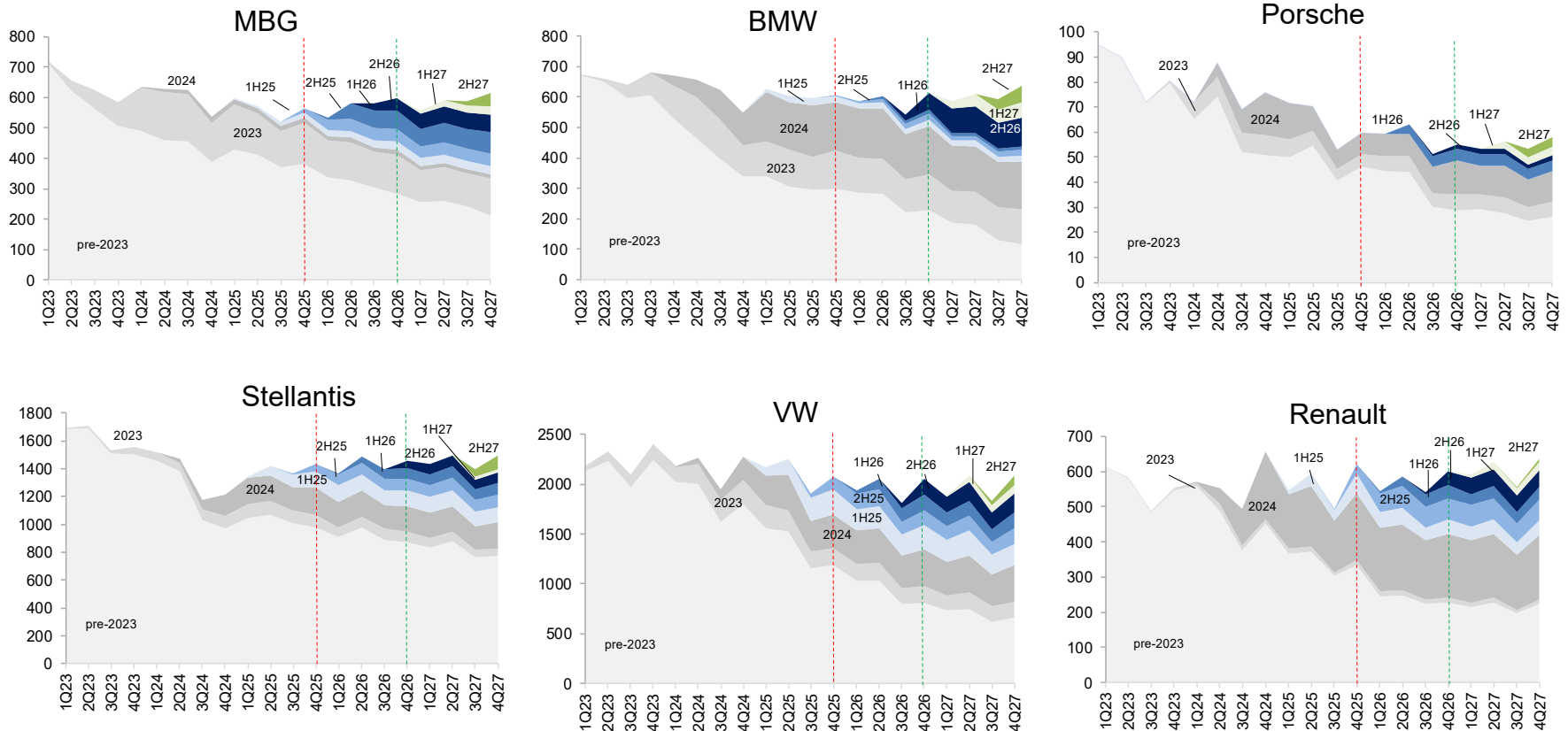
US volume, inventories and incentives



[US April Sales: all EU OEMs share up \(4 May 2026\)](#)

4 – Company Specific: product pipeline

2024-25: Renault/BMW (+) and Porsche (-). 2026 is about MBG/BMW/VW (+) and Porsche (-)

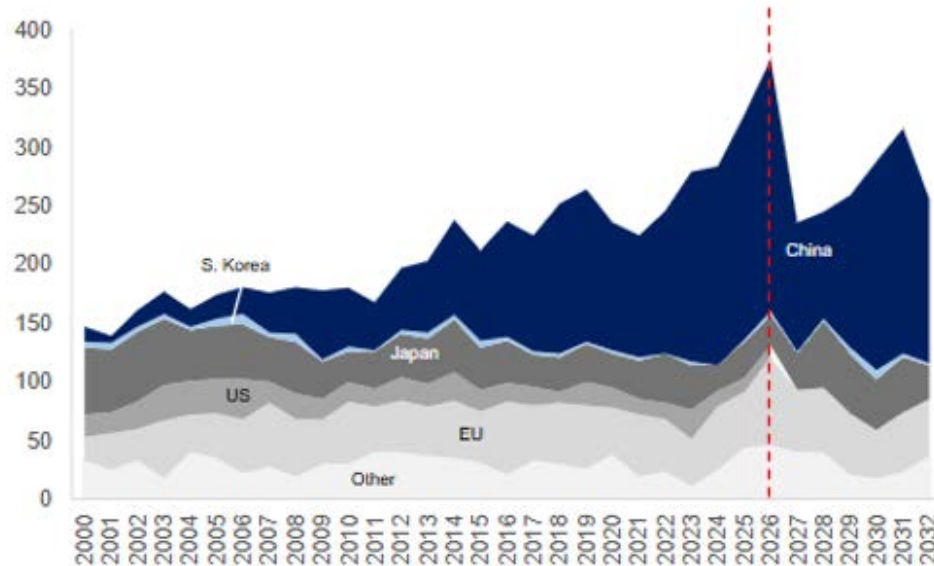


Autos & Shared Mobility: Global Product Pipeline: Peaking in 2026

Source: S&P Global, Morgan Stanley Research. Note: Quarterly estimated production of models that are either absolutely new, or have undergone substantial changes. Cohort displays period of initial production.

4 – Company Specific: product pipeline

China OEMs still lead the product launch race

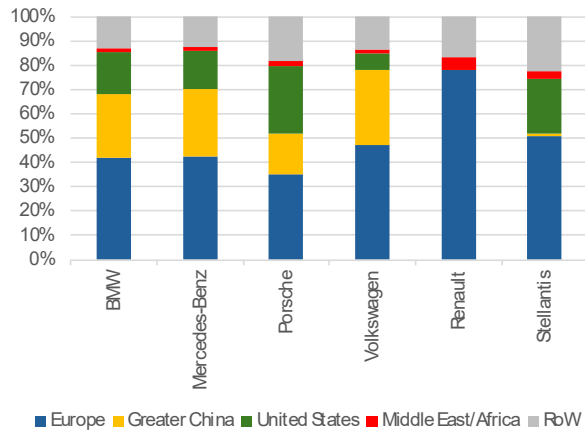


[Autos & Shared Mobility: Global Product Pipeline: Peaking in 2026](#)

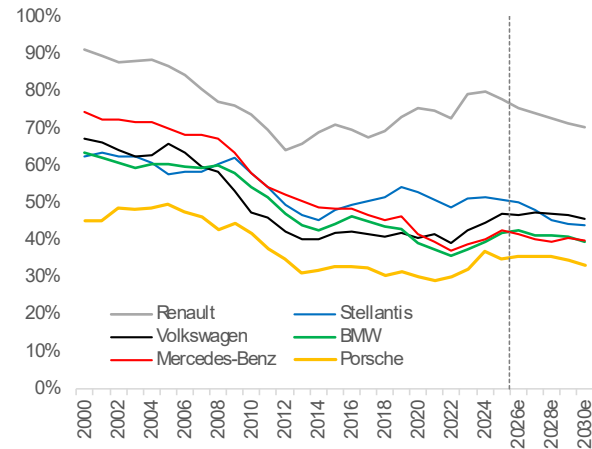
Source: S&P Global, Morgan Stanley Research. Note: Annual estimated number of models that are either absolutely new, or have undergone substantial changes. Cohort displays selected OEMs by region. Europe includes BMW, MBG, VW, Renault, Stellantis, Ferrari. US OEMs include Ford, GM, Tesla. China includes BYD, Changan, GAC, FAW, Geely, GWM, Li Auto, NIO, SAIC, Xpeng as well as non-covered players. Japan includes Toyota, Mitsubishi, Nissan, Honda, Mazda, Subaru, Suzuki. South Korea includes Hyundai, Kia.

4 – Company Specific: Geographical Exposure

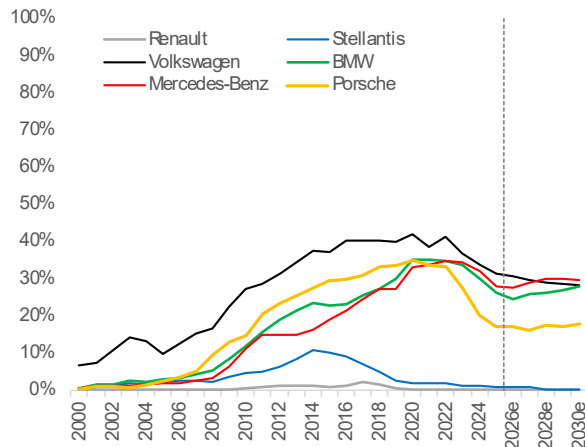
European OEMs **Geographical sales mix**



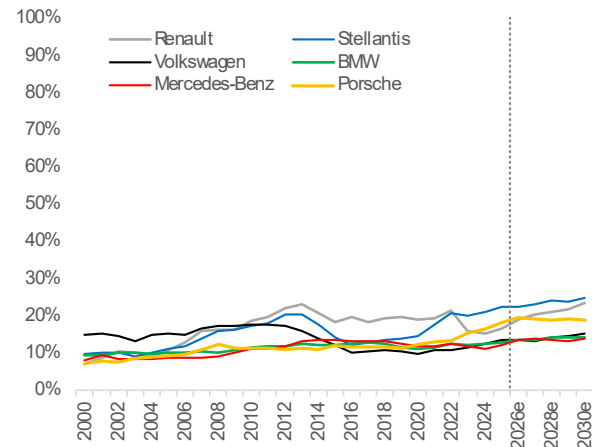
Europe **% of global sales**



Greater China **% of global sales**



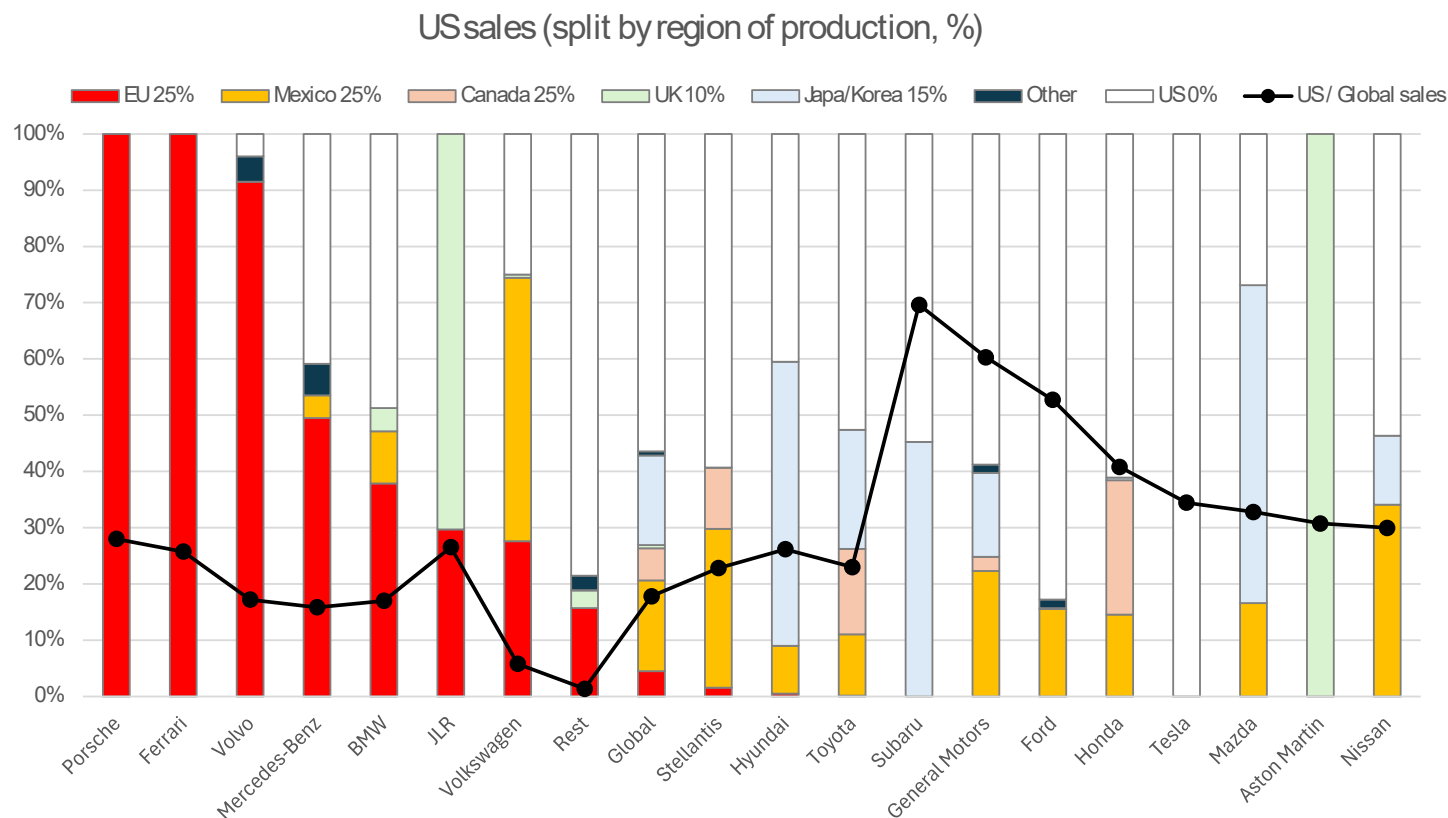
RoW (ex Middle East & Africa) **% of global sales**



Source: S&P Global, Morgan Stanley Research estimates

4 – Company Specific: Tariffs exposure

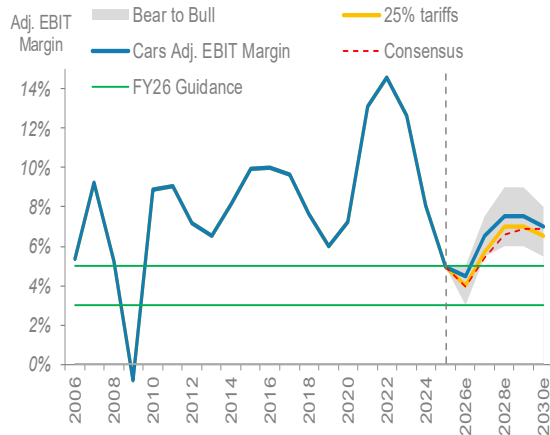
Mexico and EU tariffs matter for European OEMs



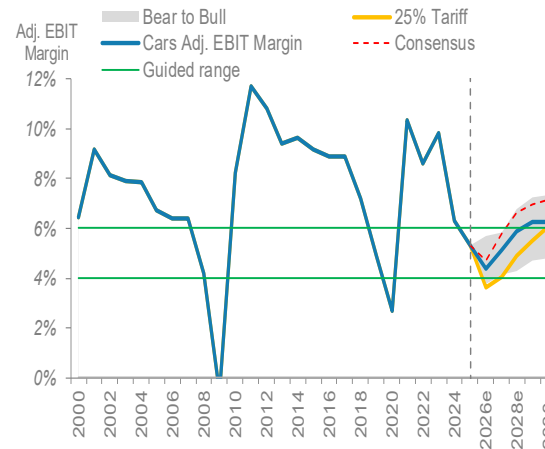
[Autos & Shared Mobility: EU-US Trade Deal: back to 25% Auto Tariffs? \(5 May 2026\)](#)

5 – How to play it? MS vs Consensus: premium vs volume OEMs

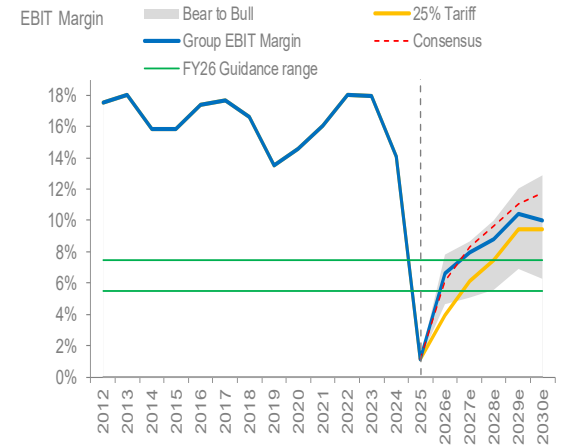
Cars Adj. EBIT Margin (% / Net Revenue) MBG



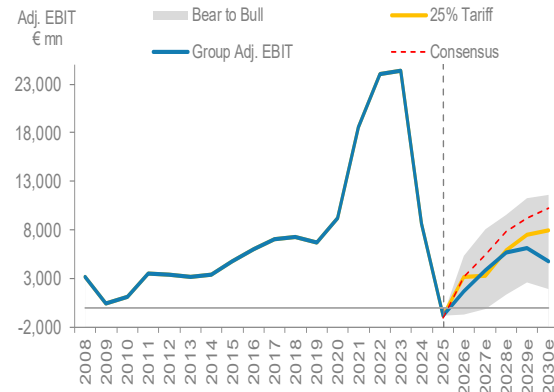
Cars Adj. EBIT Margin (% / Net Revenue) BMW



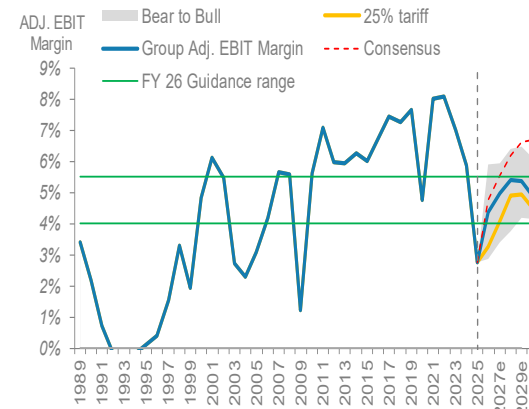
Group EBIT Margin (% / Net Revenue) Porsche



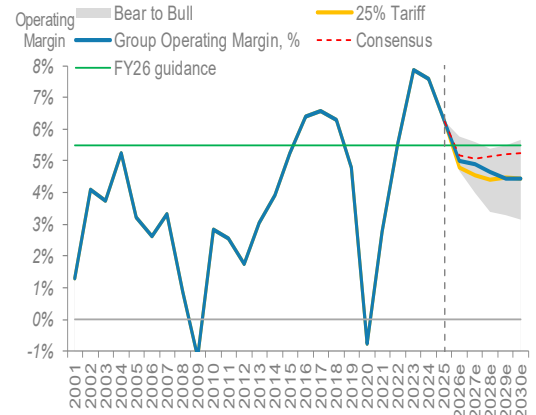
Adj. EBIT (€ mn) Stellantis



Adj. EBIT Margin (% / Net Revenue) VW

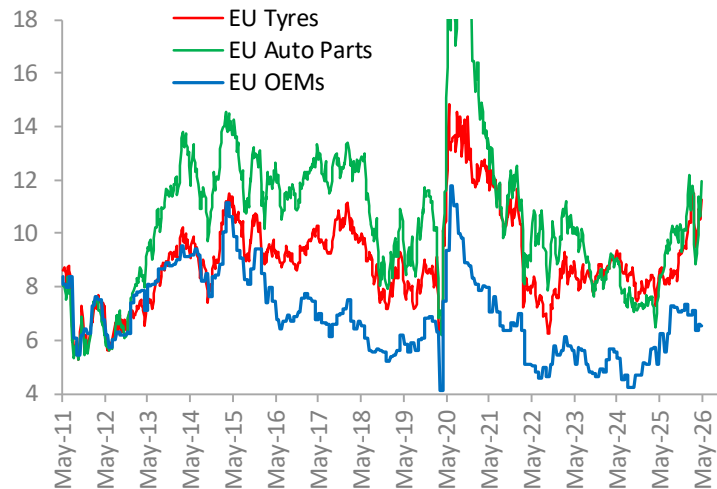


Operating Margin (Co. % / Net Revenue) Renault

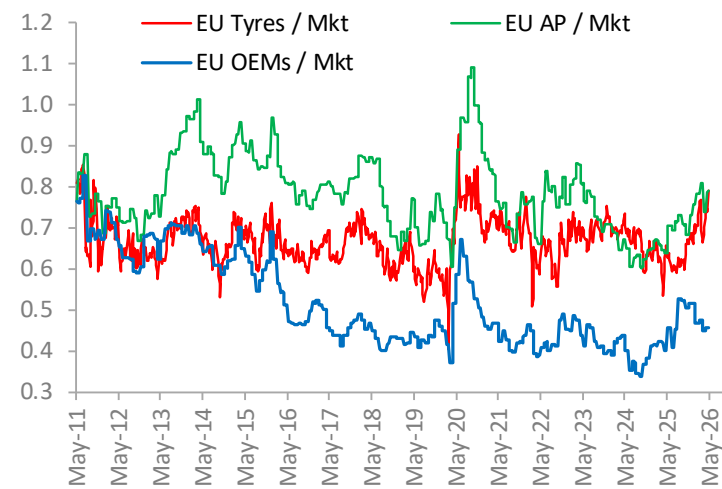


5 – How to play it? OEMs vs APs and Tyres

European Auto Segments PE



European Auto Segments PE

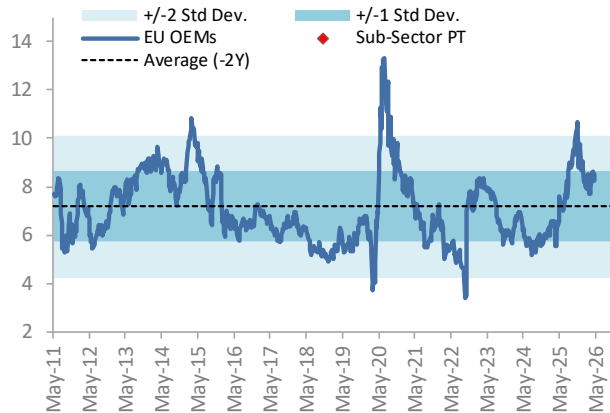


5 – How to play it? OEMs Valuation Summary

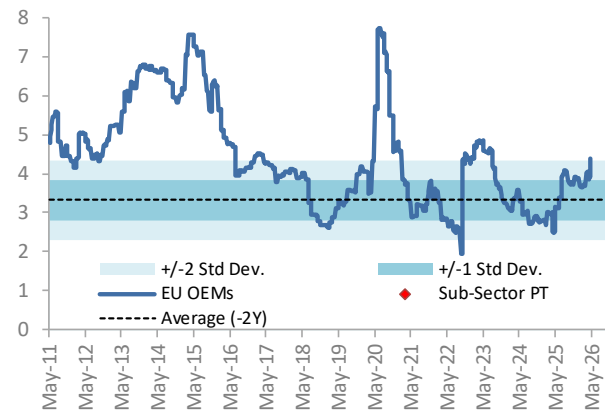
		Top Pick						
2026e		BMW	Mercedes	Porsche	Volkswagen	Renault	Stellantis	OEMs
Current Price		81.3	51.9	44.0	88.2	27.9	5.8	
Ind. EV / EBIT (MS)	2026e	-0.5x	3.9x	19.6x	4.5x	-5.3x	25.1x	7.5x
PE	2026e	7.8x	8.9x	26.1x	4.6x	4.8x	-12.6x	9.2x
Div Yield	2026e	4.5%	5.8%	1.9%	6.9%	5.6%	0.0%	4.5%
Div Yield + Share Buybacks	2026e	6.4%	8.2%	1.9%	6.9%	5.6%	0.0%	5.5%
PBV	2026e	0.5x	0.5x	1.7x	0.2x	0.3x	0.3x	0.7x
Mkt Cap / capex + net R&D	2026e	3.3x	3.5x	7.8x	1.3x	1.7x	1.3x	3.6x
Price Target		96.0	65.0	37.0	100.0	29.0	6.5	
Ind. EV / EBIT (MS)	2026e	0.5x	6.1x	16.8x	5.4x	-5.1x	26.2x	8.0x
PE	2026e	9.3x	11.2x	22.0x	5.2x	5.0x	-14.0x	9.2x
PBV	2026e	0.6x	0.6x	1.4x	0.3x	0.4x	0.4x	0.7x
Div Yield	2026e	3.8%	4.7%	2.2%	6.1%	5.4%	0.0%	3.9%
Div Yield + Share Buybacks	2026e	5.8%	7.0%	2.2%	6.1%	5.4%	0.0%	4.9%
Rating		OW	OW	UW	EW	UW	EW	In-Line

5 – How to play it? OEMs Valuation Summary

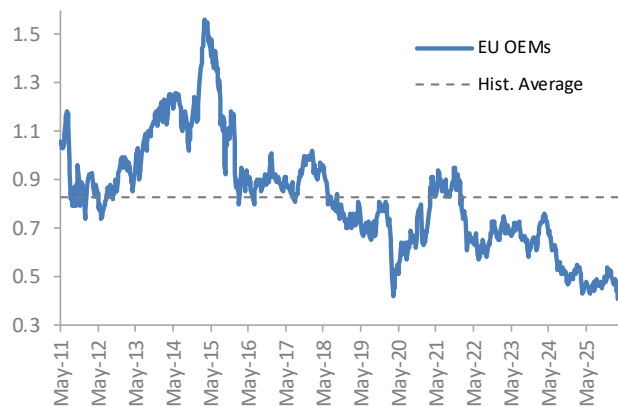
EU OEMs **PE**



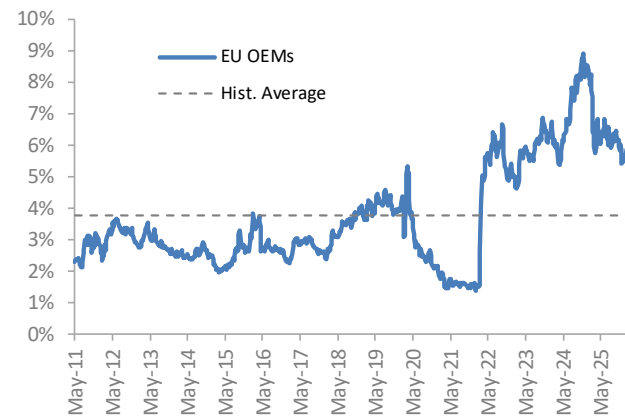
EU OEMs **EV / EBIT**



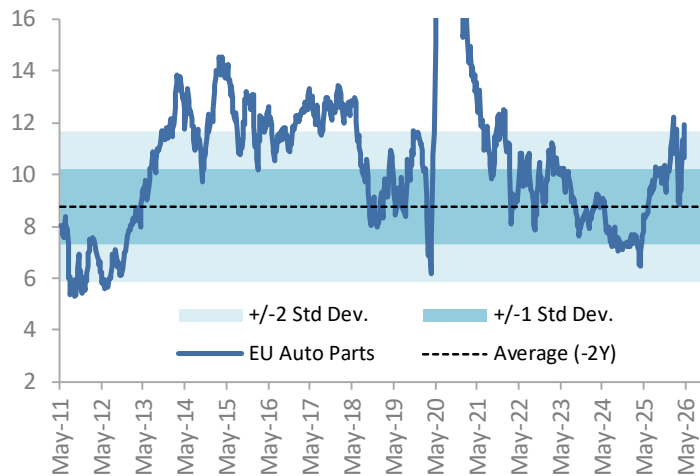
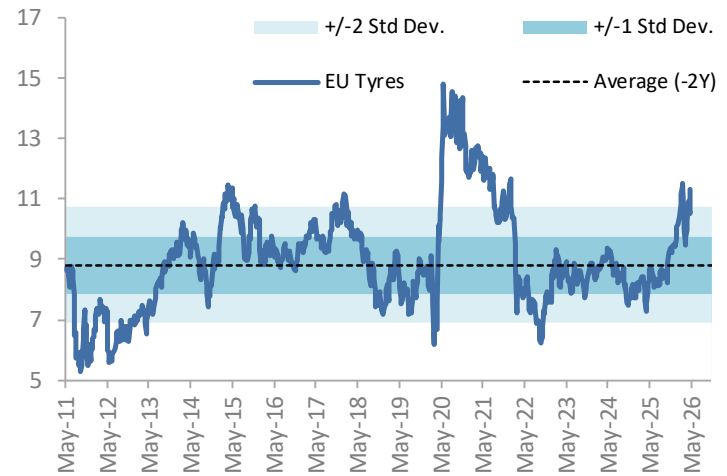
EU OEMs **PBV**



EU OEMs **Dividend Yield**

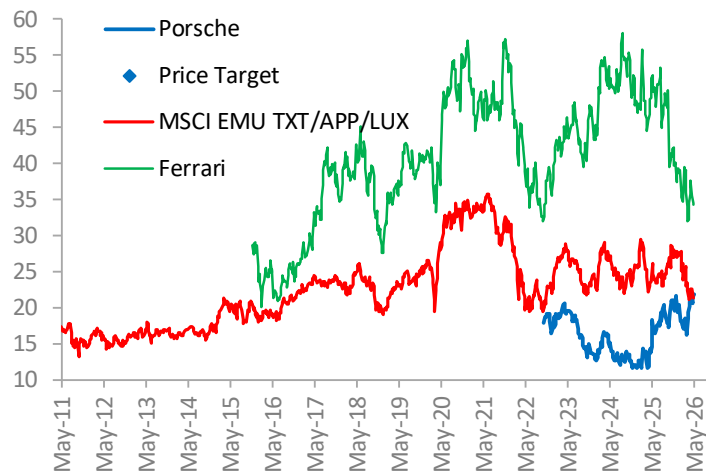
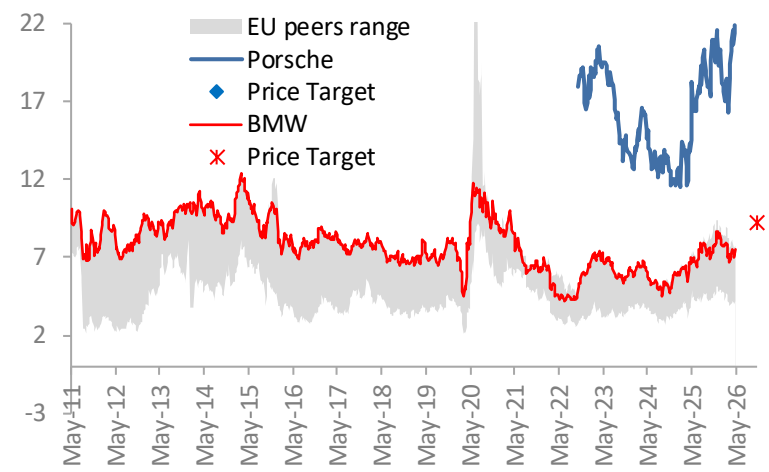


5 – How to play it? Auto Parts & Tyres

EU Auto Parts **PE****EU Tyres** **PE**

5 – How to play it? Porsche

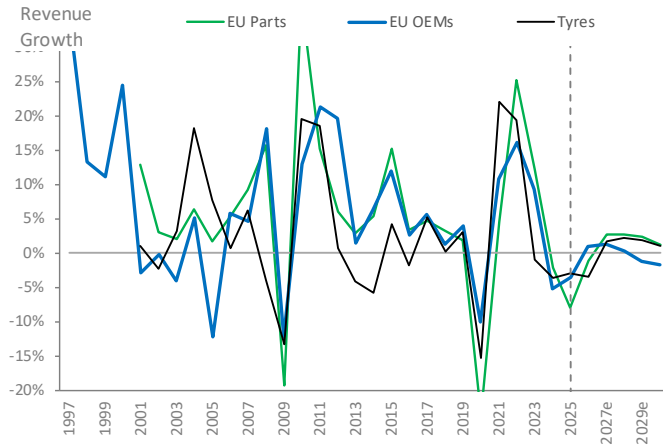
P911 benchmarking vs Luxury or Premium?

Porsche vs EU luxury peers**PE****Porsche vs EU Auto peers****PE**

6 - Auto Parts & Tyres: Benchmarking Summary

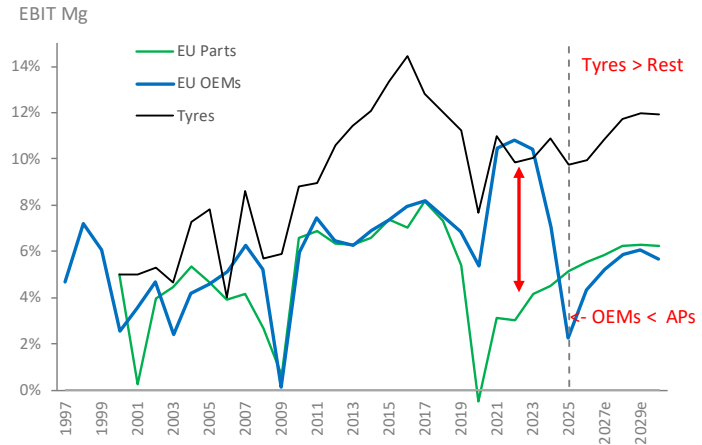
REVENUE GROWTH (%)

Subsectors



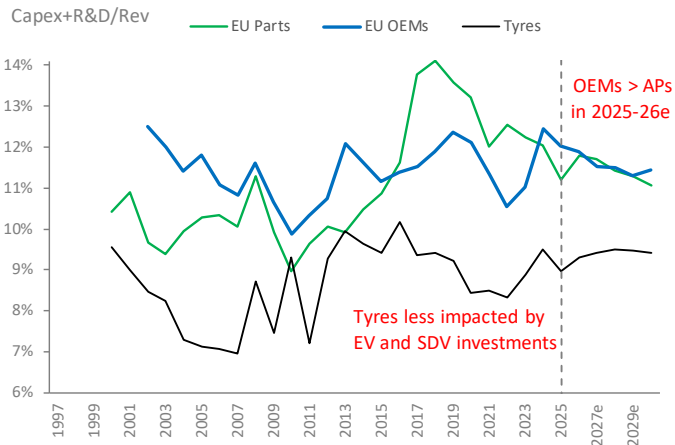
EBIT MARGIN (% Co definition)

Subsectors



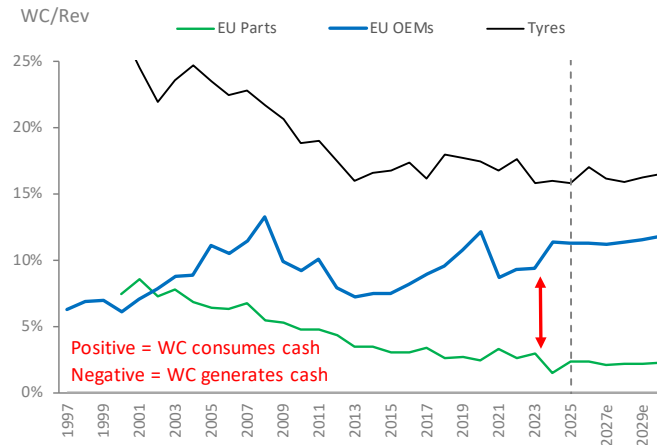
IND. CAPEX + TOTAL NET R&D / IND. REV.(%)

Subsectors



MS Ind. WORKING CAPITAL / IND. SALES (%)

Subsectors

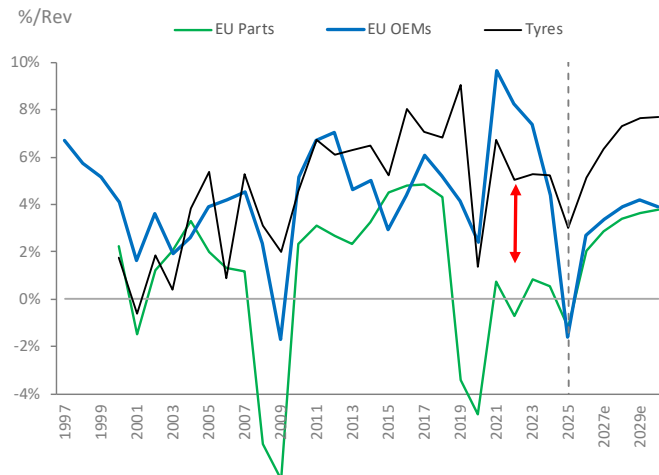


Positive = WC consumes cash

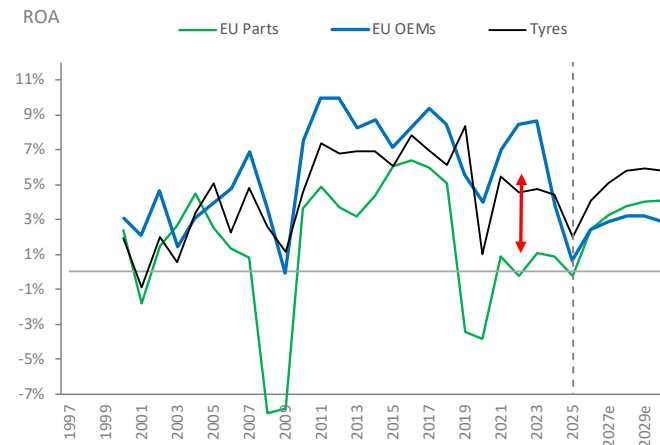
Source: Companies, Morgan Stanley Research

6 - Auto Parts & Tyres: Benchmarking Summary

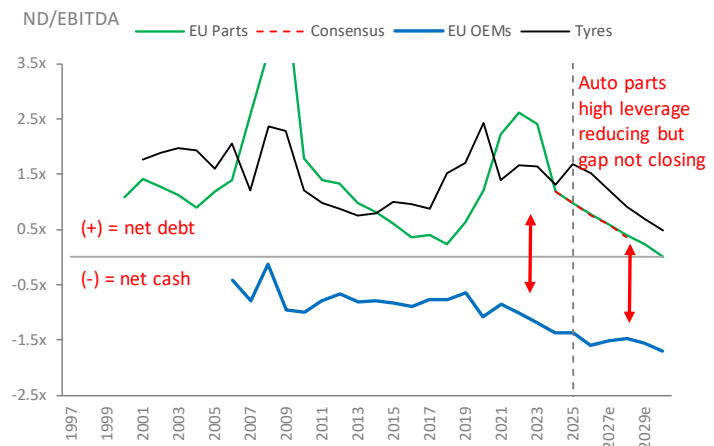
NET PROFIT MARGIN (%) Subsectors



INDUSTRIAL ROA (%) Subsectors

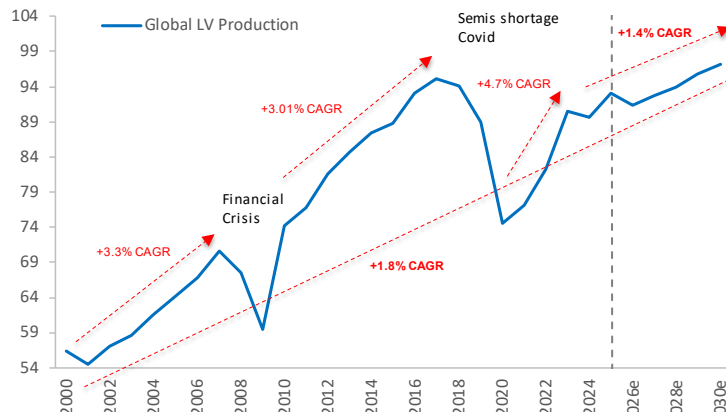


IND. NET DEBT / IND. EBITDA (As Reported, %) Subsectors

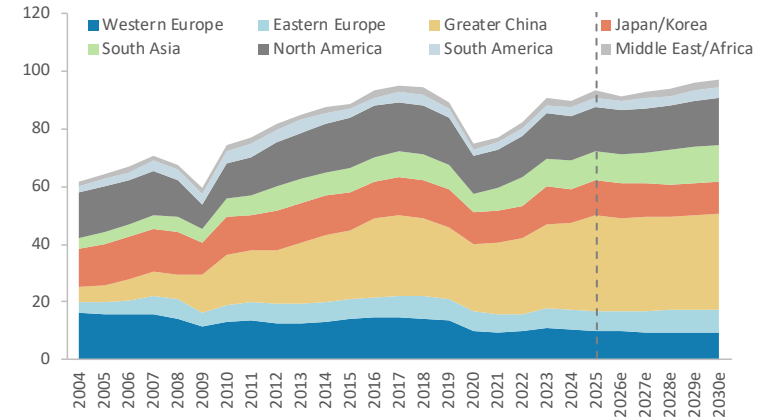


6 - Auto Parts & Tyres: Global LVP falling in 2026, China has been gaining weight

Global LV Production (mn units) Annual



Global LV Production by Region (mn units) Annual



YoY Growth	2022	2023	2024	2025	2026e	2027e	2028e	2029e	2030e
Region									
Total Europe	-0.4%	13.5%	-4.4%	-0.7%	-1.8%	0.7%	1.4%	0.9%	0.0%
Western Europe	5.0%	13.2%	-8.2%	-2.0%	-3.6%	-2.2%	0.1%	0.0%	0.5%
Eastern Europe	-8.2%	14.1%	1.8%	1.1%	0.8%	4.7%	3.0%	2.1%	-0.7%
Total Asia	8.2%	9.5%	0.1%	7.0%	-1.2%	0.8%	0.6%	1.7%	1.7%
Greater China	6.3%	10.0%	3.6%	10.0%	-2.3%	0.4%	-0.6%	1.7%	1.6%
China	6.4%	10.0%	3.7%	10.2%	-2.4%	0.3%	-0.6%	1.7%	1.6%
Japan/Korea	2.4%	15.0%	-6.4%	0.8%	-2.1%	-2.2%	-2.3%	-0.7%	-1.6%
South Asia	22.0%	1.7%	-1.9%	5.3%	3.4%	5.3%	7.4%	3.8%	4.9%
India	23.3%	6.5%	3.8%	8.3%	6.0%	4.2%	6.8%	2.1%	5.6%
North America	9.6%	9.7%	-1.5%	-1.2%	-2.0%	2.3%	1.0%	2.6%	2.2%
United States	9.5%	6.0%	-1.7%	-0.8%	-2.1%	1.9%	2.4%	3.2%	4.2%
South America	8.3%	3.2%	1.8%	3.2%	2.4%	7.0%	4.5%	6.4%	4.7%
Middle East/Africa	9.1%	2.8%	2.1%	3.4%	-20.5%	15.9%	11.4%	4.3%	-1.3%
Global	6.7%	9.9%	-1.0%	3.9%	-1.8%	1.5%	1.2%	1.9%	1.5%

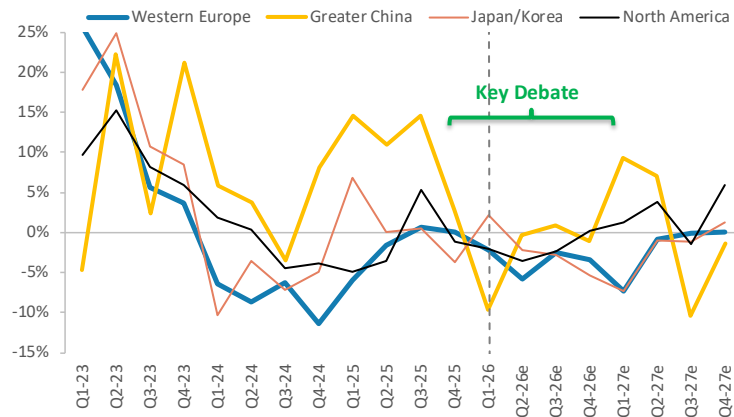
Source: S&P Global, Morgan Stanley Research

Another S&P LVP downgrade. FY26 -1.8% YoY (16 Apr 2026)

6 - Auto Parts & Tyres: Global LVP falling next quarter

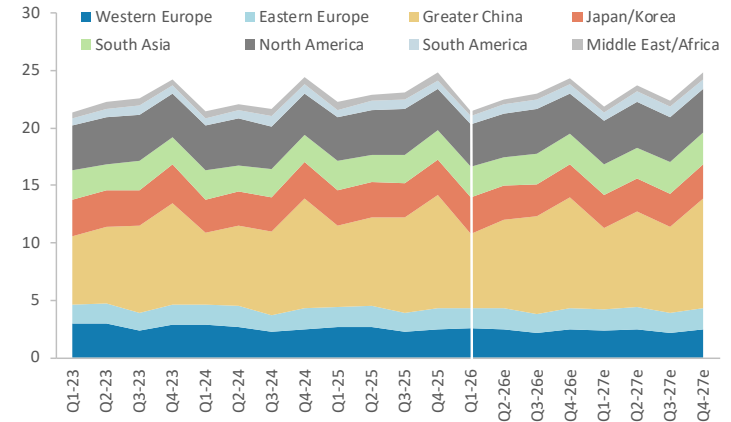
Global LV Production Growth by Region (YoY)

Quarterly



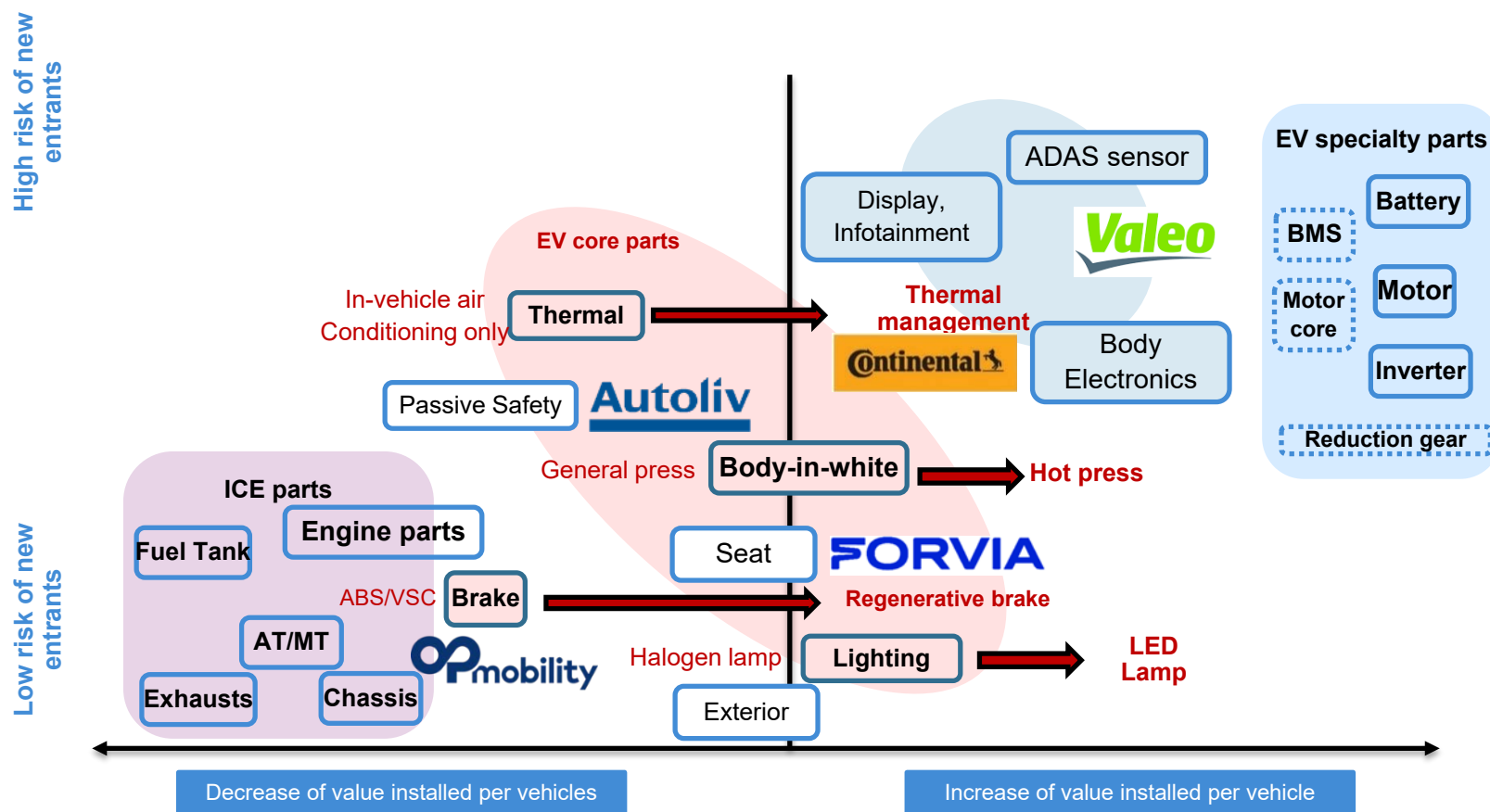
Global LV Production by Region (mn units)

Quarterly



YoY Growth	Q2-25	Q3-25	Q4-25	Q1-26	Q2-26e	Q3-26e	Q4-26e	Q1-27e	Q2-27e
Region									
Total Europe	-0.3%	3.7%	-0.1%	-0.9%	-3.7%	-0.6%	-1.7%	-2.0%	2.9%
Western Europe	-1.7%	0.6%	0.0%	-2.3%	-5.8%	-2.6%	-3.4%	-7.3%	-0.8%
Eastern Europe	1.8%	8.4%	-0.2%	1.3%	-0.6%	2.1%	0.7%	5.8%	8.2%
Total Asia	7.3%	9.2%	2.9%	-3.6%	-0.2%	1.0%	-2.0%	2.6%	5.4%
Greater China	11.0%	14.6%	2.8%	-9.7%	-0.3%	0.9%	-1.1%	9.2%	7.0%
China	11.2%	14.8%	2.9%	-9.8%	-0.4%	0.9%	-1.3%	9.2%	6.9%
Japan/Korea	0.0%	0.6%	-3.7%	2.2%	-2.2%	-2.9%	-5.3%	-7.3%	-1.1%
South Asia	5.8%	3.6%	12.5%	6.9%	2.9%	5.6%	-1.6%	-1.9%	8.4%
India	3.6%	6.3%	19.3%	9.4%	8.8%	8.8%	-2.7%	-6.1%	7.7%
North America	-3.5%	5.2%	-1.1%	-2.0%	-3.6%	-2.4%	0.2%	1.3%	3.8%
United States	-2.9%	7.6%	0.6%	-0.1%	-4.3%	-4.0%	0.6%	-1.1%	3.4%
South America	11.9%	-1.9%	-4.3%	3.8%	2.3%	2.1%	1.4%	5.8%	13.6%
Middle East/Africa	-3.1%	-2.9%	2.9%	-31.0%	-21.1%	-17.6%	-11.5%	13.2%	31.6%
Global	3.6%	6.8%	1.6%	-3.4%	-1.9%	-0.3%	-1.8%	1.8%	5.5%

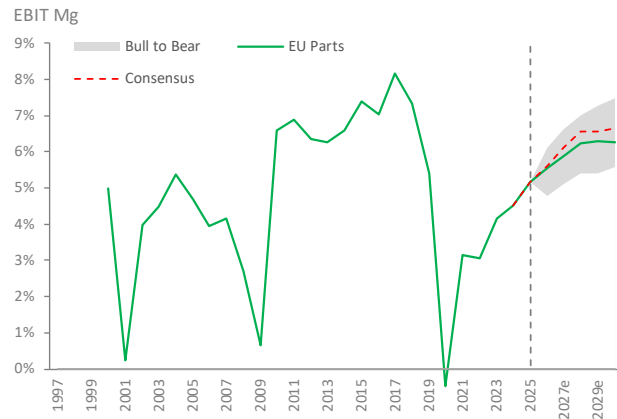
6 - Auto Parts & Tyres: China pressure by segments



6 - Auto Parts & Tyres: timing the cycle

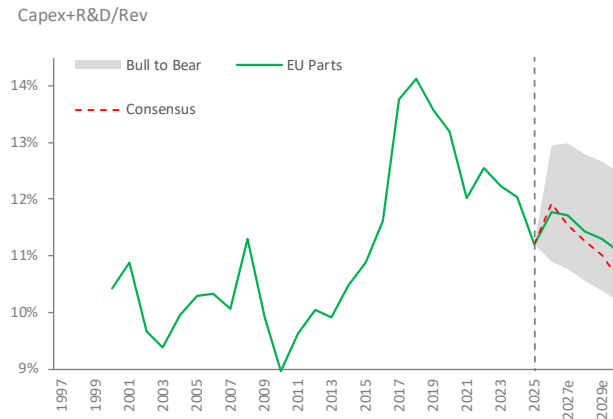
EBIT MARGIN (% Co definition)

EU Suppliers



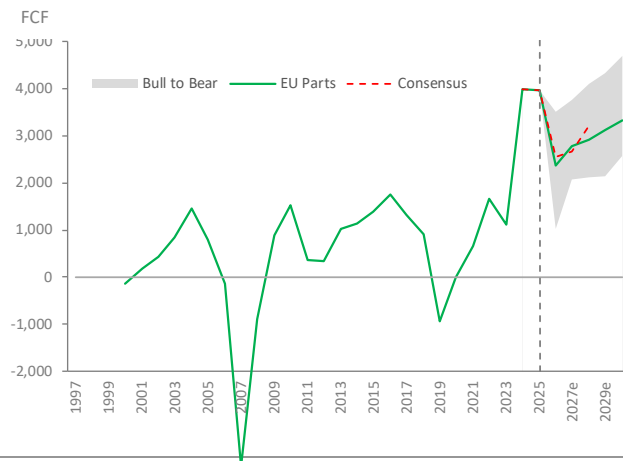
IND. CAPEX + TOTAL NET R&D / IND. REV.(%)

EU Suppliers



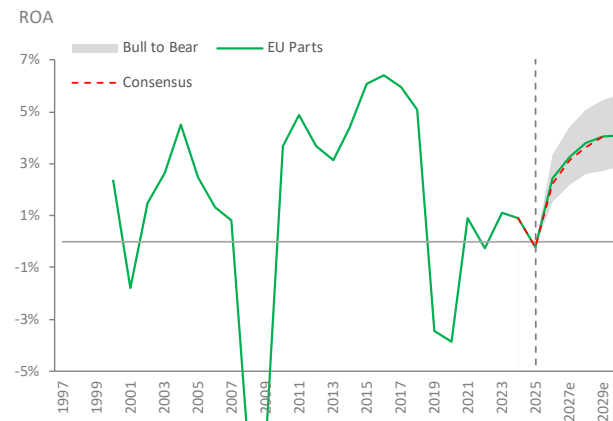
INDUSTRIAL FCF (EUR MN)

EU Suppliers

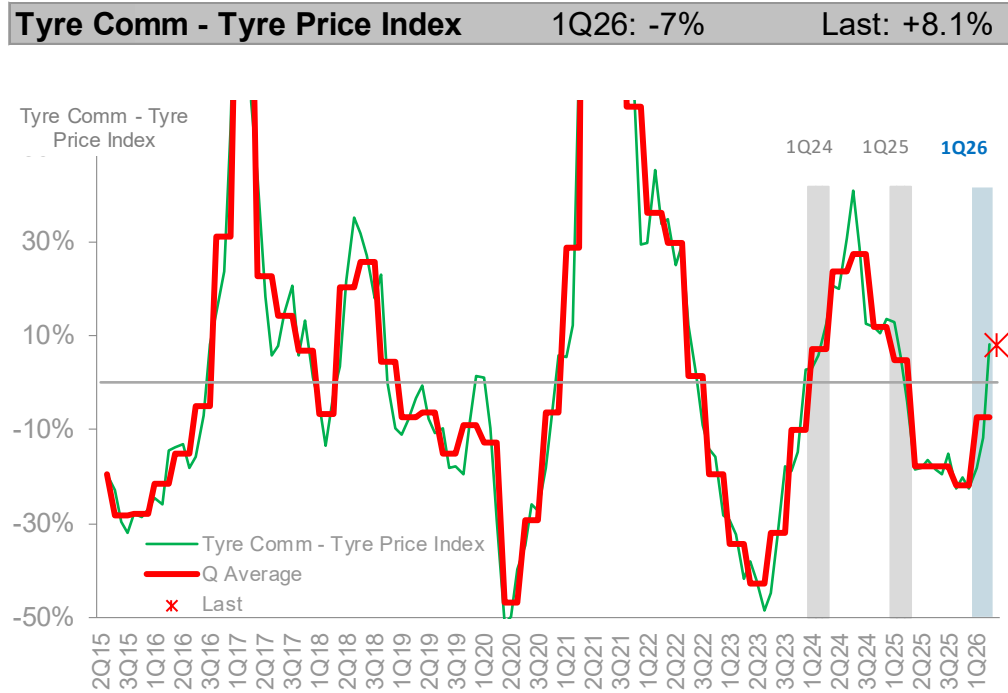


ROA (Group, %)

EU Suppliers

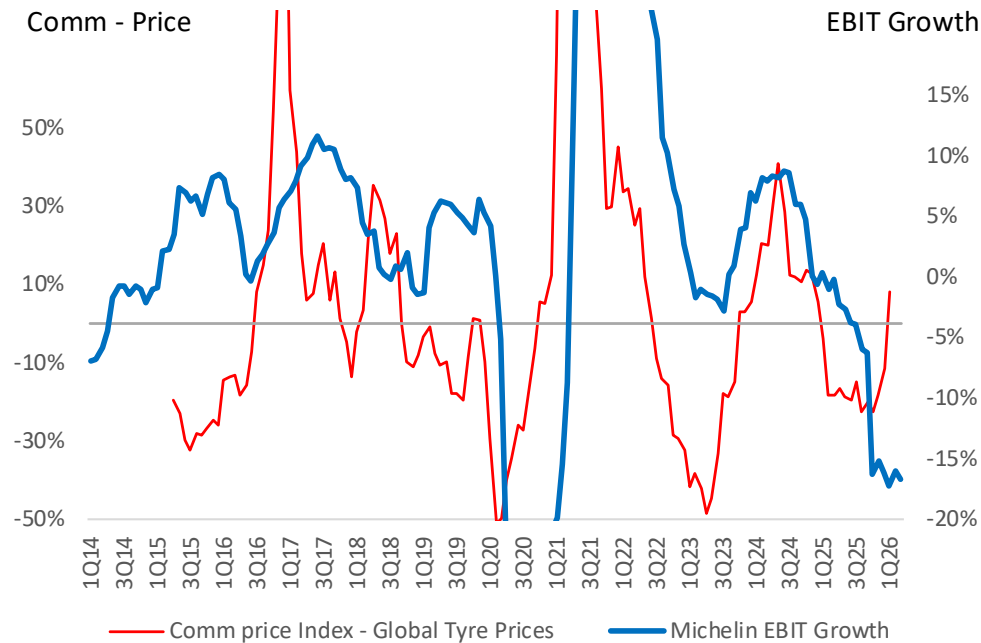


6 - Auto Parts & Tyres: : Tyres not intuitive price – cost dynamics



6 - Auto Parts & Tyres: : Tyres not intuitive price – cost dynamics

Comm price Index - Global Tyre Prices



6 - Auto Parts & Tyres: Tyres not intuitive price – cost dynamics

Exhibit 5: Oil prices are the most important factor in the raw material tracker

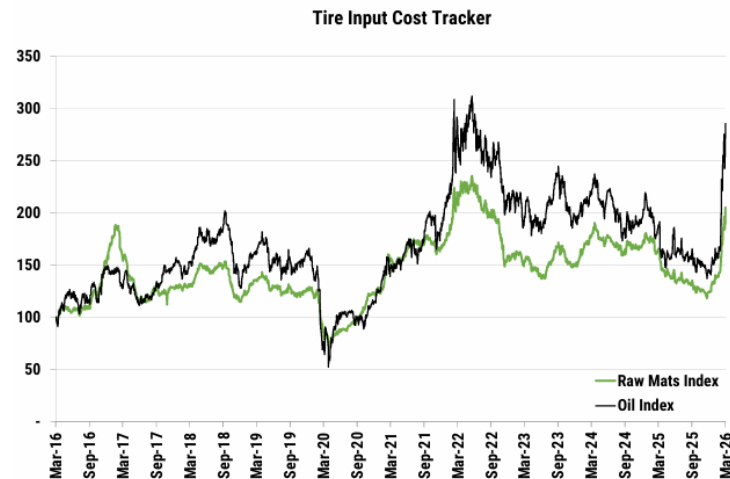
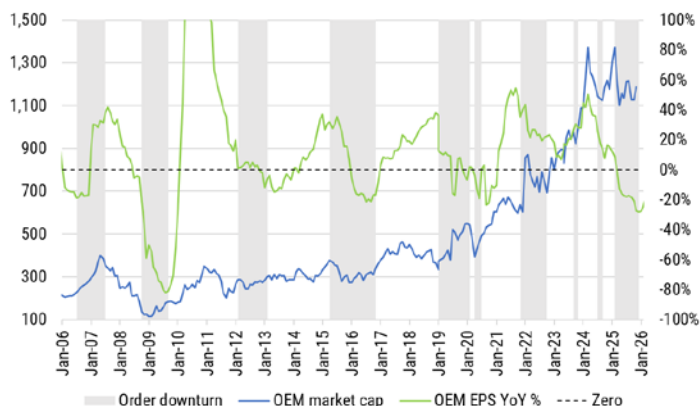


Exhibit 6: Higher raw material rates tend to correlate with higher share prices

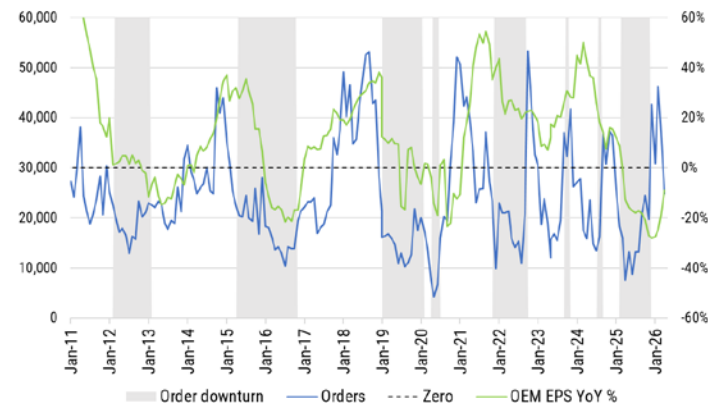


The Classic Truck Playbook: PMIs → Orders → Earnings

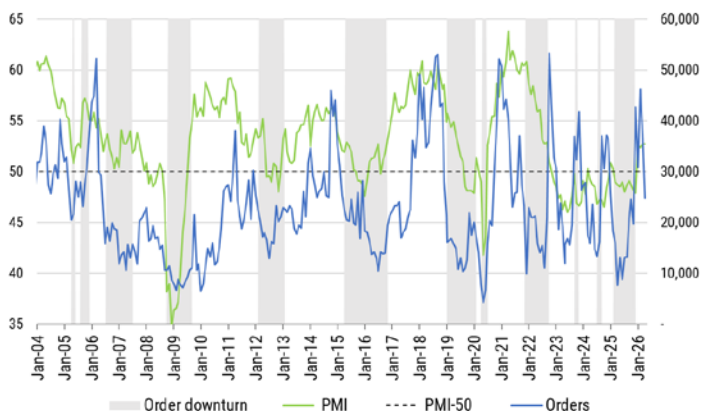
1. Truck stocks move directionally with earnings revisions



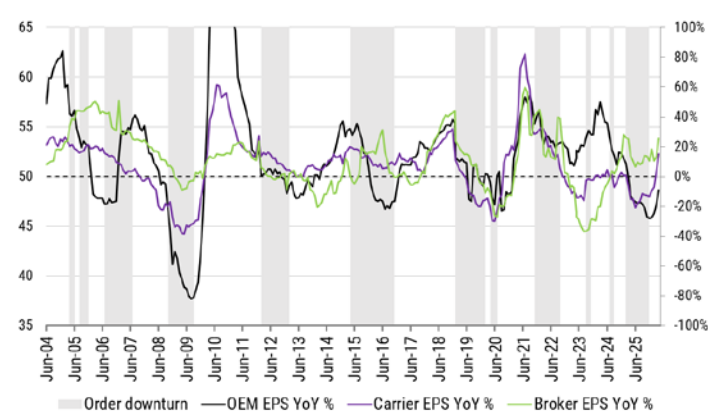
2. Earnings revisions tend to track Class 8 orders



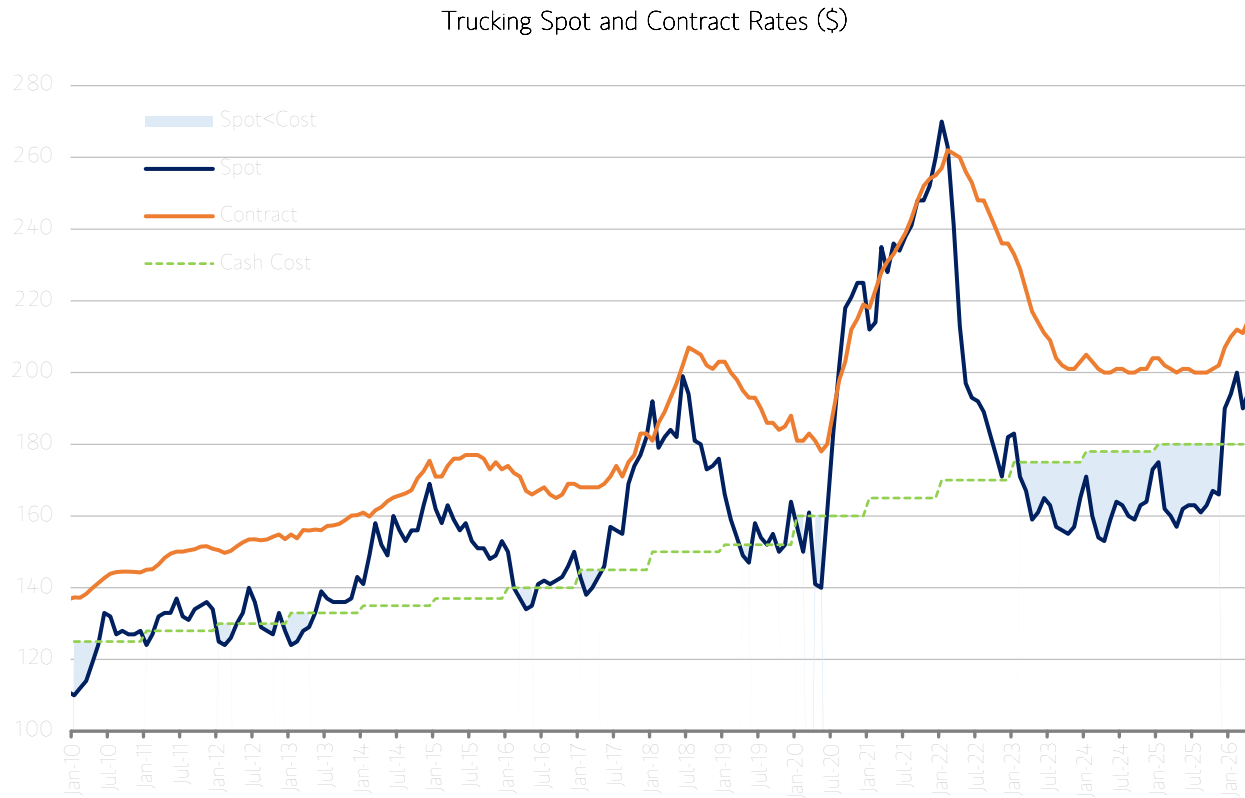
3. Class 8 orders move in line with US ISM Manufacturing PMI



4. OEM earnings expectations also move with their customers'



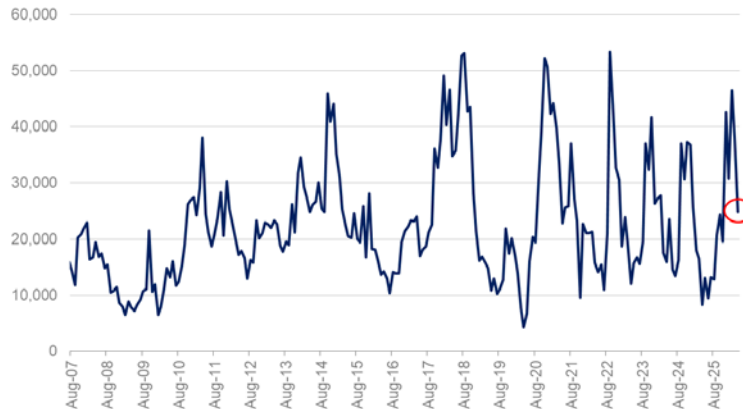
Trucks: Spot rates rising, Contract rates rising, freight operators profitable again



Source: DAT, ATRI, Morgan Stanley Research. Note: chart displays Dry Van spot and contract rates, and ATRI annual cash operational costs, both excluding fuel

Trucks: Start of a new cycle

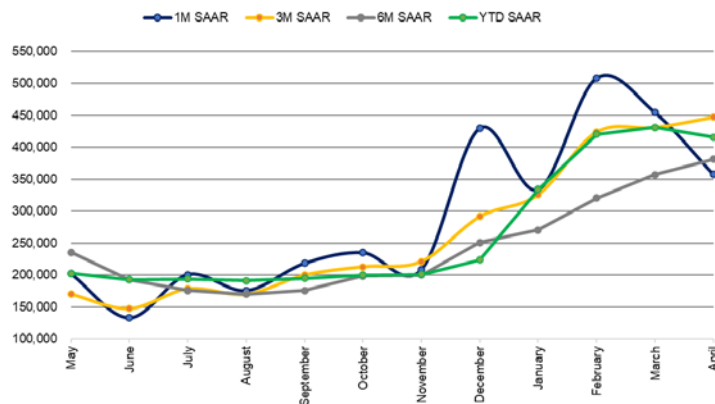
April orders rose 201% YoY to c.25k, a 24% MoM decline



Apr: Class 8 orders beat expectations for fifth consecutive month

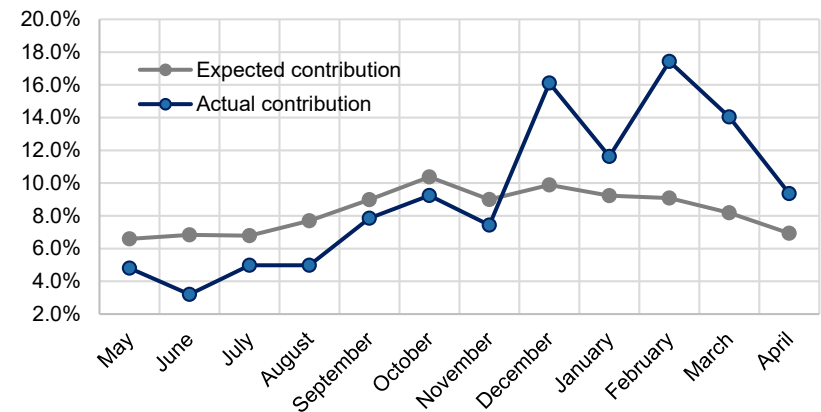


April orders represented a normalisation in order momentum



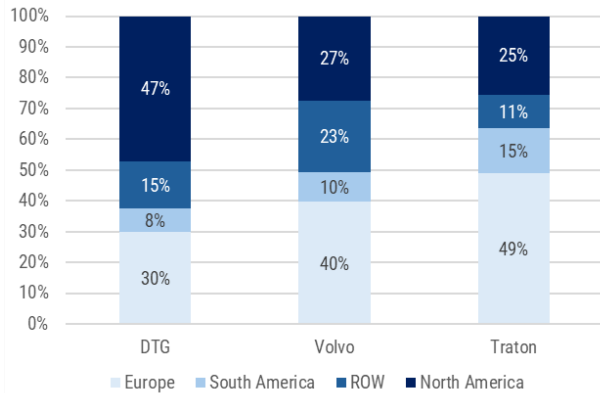
Order contributions approaching typical levels again in April

Average monthly contribution

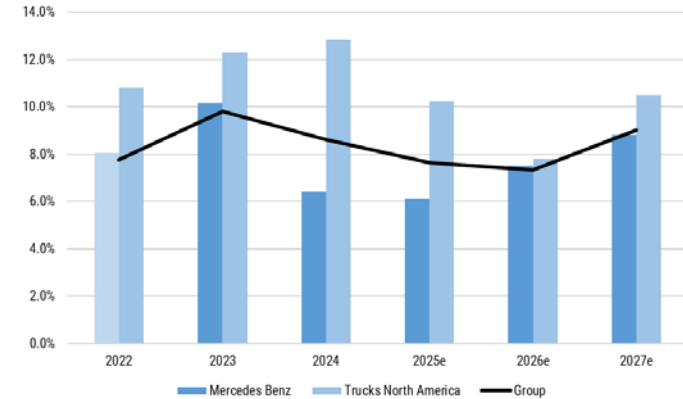


Trucks: Overweight Daimler Truck, Top Pick, PT €47

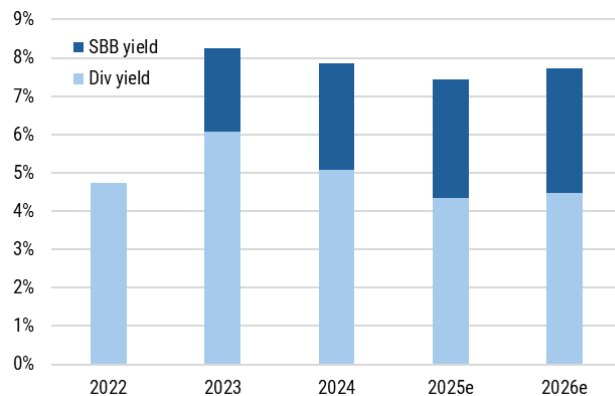
DTG has the most revenue exposure to North America



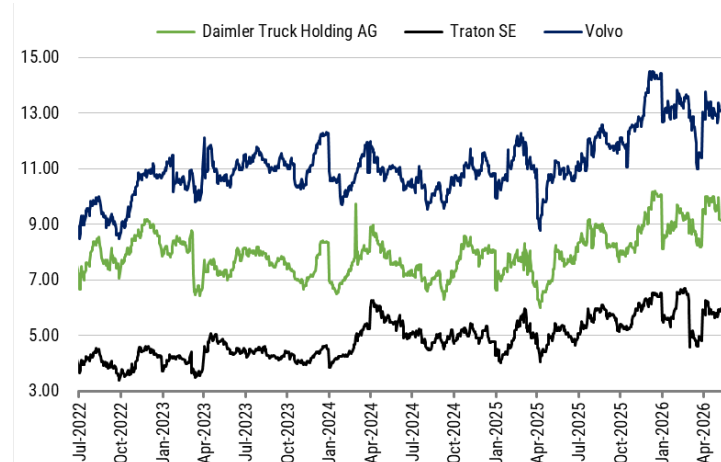
Self-help actions in Mercedes-Benz provide further earnings growth



DTG leads Truck stocks in shareholder returns with an 8% yield



Valuation multiples reflecting positive sentiment



MS Global Auto trackers

Tracker	Updated report
Global auto Sales:	Global Auto Sales: Narrowly up (24 Apr 2026)
- China Auto Sales:	Stronger March upturn against sector headwinds (1 Apr 2026)
- China OEMs:	How Market Share Reshuffled in February (17 Mar 2026)
- Japan OEMs:	Japanese OEM New Auto Sales in China (Mar 2026) for Auto Parts Industry (23 Apr 2026)
- Europe Auto Sales:	Europe-5 April Auto Sales: Market keeps growing, MBG now gaining share (7 May 2026)
- US Auto Sales:	SAAR In-Line with a Shift Toward Hybrids (3 May 2026)
- EU OEMs:	US April Sales: all EU OEMs share up (4 May 2026)
- Japan OEMs:	US Sales of Japan OEMs (Mar 2026): HEV Ratio Rises Further (2 Apr 2026)
- Korea OEMs sales:	April 2026 Volumes: HMC -8.0% YoY, Kia +1.0% YoY (4 May 2026)
- India Auto sales:	April 2026 – Strong Domestic Sales But Exports Picture was Mixed (4 May 2026)
Global EV sales:	Global EV Tracker: Global EVs Back in Gear (7 May 2026)
- China weekly orders:	Powering Through Holiday Disruption; May Rebound Ahead (7 May 2026)
Global Auto Production:	Another S&P LVP downgrade. FY26 -1.8% YoY (16 Apr 2026)
- Japan OEMs:	Japanese OEMs' Global Production (Mar 2026): Implications for the Auto Parts Industry (28 Apr 2026)
Global exports/imports:	China pressure and more to come (22 Apr 2026)
- China export tracker	Where did China's OEMs sell overseas in March? (30 Apr 2026)
Car Prices:	
- US:	Used Car Prices: Easing off the Gas After a Strong Start of the Year (8 May 2026)
- China:	March EV Prices Slipped Again (8 Apr 2026)
- Brazil:	April 2026; Depreciation Remains in Check (4 May 2026)
Global Product Pipeline:	Global Product Pipeline: Peaking in 2026 (14 Oct 2025)
Global Databook:	Shifting EV Dynamics Reshape the Global Auto Landscape (18 Mar 2026)
Global Tyres:	March Tyres Tracker: RT strength offsets OE weakness (23 Apr 2026)
- US market:	Truck Tire Decline Continues (10 Apr 2026)
- Japan market:	Domestic Tire Sales (Mar 2026): REP Strong; Downside Risks to Outlook (9 Apr 2026)
Trucks sales:	April ACT Class 8 Orders: +201% YoY on easy comps... but order SAAR starting to normalise (5 May 2026)

Valuation Comps: European Auto Value Chain

Prices date: May 11, 2026		Crrc.	Mkt Cap US\$ mn	Price		MS Rating	EPS			Revenue CAGR 25-27E	EBIT margin		EV/EBIT		EV/EBITDA		P/E		Dividend Yield		EV/Revenue	
				Last	Target		2025	2026E	2027E		2026E	2027E	2026E	2027E	2026E	2027E	2026E	2027E	2026E	2027E	2026E	2027E
EU Comps			508,734							2%	7%	8%	10x	7x	5x	5x	13x	25x	4.1%	4.9%	0.7x	0.7x
OEMs			251,709							0%	5%	6%	7x	5x	2x	2x	11x	38x	4.4%	5.0%	0.3x	0.3x
BMW	EUR		58,174	80.9	96.0	OW	12.4	9.9	11.2	1%	6%	7%	3x	3x	1x	1x	8x	7x	4.5%	5.1%	0.2x	0.2x
Mercedes	EUR		56,509	50.3	65.0	OW	5.3	5.8	7.9	2%	6%	7%	3x	2x	2x	1x	9x	7x	6.0%	7.1%	0.2x	0.2x
Stellantis	EUR		22,184	6.4	6.5	EW	(7.7)	(0.5)	0.0	2%	1%	2%	25x	10x	4x	3x	n.m.	341x	0.0%	0.2%	0.2x	0.2x
Renault	EUR		9,761	27.9	29.0	UW	(40.0)	6.7	6.3	-1%	4%	4%	1x	1x	1x	1x	5x	5x	6.4%	7.2%	0.1x	0.1x
Volkswagen	EUR		51,720	88.0	100.0	EW	13.3	17.7	22.0	1%	4%	5%	0x	0x	0x	0x	5x	4x	6.4%	7.9%	0.0x	0.0x
Porsche	EUR		45,610	45.0	37.0	UW	0.5	1.6	2.0	-3%	7%	8%	19x	15x	7x	7x	26x	21x	2.2%	1.8%	1.2x	1.2x
Aston Martin	GBP		649	0.5	NA	N.C.	(0.4)	(0.2)	(0.1)	13%	n.m.	n.m.	n.m.	n.m.	6x	5x	n.m.	n.m.	0.0%	0.0%	1.2x	1.1x
Volvo Car	SEK		7,103	22.5	NA	N.C.	0.1	2.9	4.4	0%	3%	5%	5x	3x	2x	1x	8x	5x	0.0%	0.5%	0.2x	0.2x
Suppliers			64,934							1%	8%	9%	12x	10x	6x	6x	19x	14x	2.6%	3.4%	0.9x	0.8x
Autoliv	USD		9,105	120.5	125.0	EW	9.6	11.0	12.2	3%	11%	11%	9x	8x	6x	6x	11x	11x	2.9%	3.2%	0.9x	0.9x
Continental	EUR		16,646	69.2	62.0	EW	(2.2)	5.5	6.8	-4%	11%	12%	9x	8x	8x	6x	13x	10x	2.8%	3.5%	1.1x	1.0x
Forvia	EUR		2,410	10.5	11.0	EW	(2.6)	1.9	2.4	0%	6%	6%	5x	4x	2x	2x	12x	4x	0.0%	3.3%	0.3x	0.3x
Schaeffler	EUR		9,769	9.2	NA	N.C.	(0.5)	0.4	0.7	4%	4%	5%	14x	10x	6x	5x	32x	15x	3.0%	3.8%	0.6x	0.6x
Gestamp	EUR		2,265	3.4	NA	N.C.	0.3	0.4	0.5	1%	5%	6%	8x	7x	3x	3x	9x	7x	2.8%	3.5%	0.4x	0.4x
Valeo S.A.	EUR		3,326	11.6	12.5	OW	1.3	1.9	2.4	1%	5%	5%	7x	6x	2x	2x	7x	6x	4.9%	6.2%	0.3x	0.3x
Brembo	EUR		3,967	10.4	NA	N.C.	0.7	0.7	0.8	5%	9%	10%	12x	10x	7x	6x	15x	13x	2.7%	3.0%	1.1x	1.0x
CIE	EUR		4,190	30.4	NA	N.C.	2.8	3.1	3.3	4%	14%	14%	9x	8x	6x	6x	10x	9x	3.7%	4.7%	1.2x	1.2x
Opmobility SE	EUR		2,650	15.9	++	++	1.3	1.5	1.7	1%	5%	5%	7x	6x	4x	3x	11x	9x	3.8%	4.2%	0.3x	0.3x
ElringKlinger	EUR		427	6.1	NA	N.C.	0.5	0.6	1.0	5%	6%	7%	9x	7x	4x	3x	9x	6x	3.2%	5.1%	0.5x	0.5x
Autoneum Holding	CHF		878	118.0	NA	N.C.	10.3	10.9	12.4	2%	6%	6%	9x	8x	5x	4x	11x	10x	3.0%	3.6%	0.5x	0.5x
Hella	EUR		9,302	71.2	NA	N.C.	0.8	1.8	2.2	1%	5%	5%	23x	19x	8x	8x	41x	32x	0.8%	1.0%	1.0x	1.0x
Tyres			51,548							0%	12%	13%	9x	8x	6x	5x	13x	11x	3.6%	4.4%	1.0x	1.0x
Continental	EUR		16,646	69.2	62.0	EW	(2.2)	5.5	6.8	-4%	11%	12%	9x	8x	8x	6x	13x	10x	2.8%	3.5%	1.1x	1.0x
Michelin	EUR		25,779	31.9	28.0	EW	3.0	3.2	3.6	0%	11%	12%	9x	8x	5x	5x	12x	10x	4.1%	5.0%	0.9x	0.9x
Nokian Tyres	EUR		1,764	10.7	NA	N.C.	(0.1)	0.4	0.7	7%	8%	10%	19x	14x	9x	7x	33x	16x	2.7%	3.6%	1.5x	1.4x
Pirelli & C. SpA	EUR		7,359	6.2	6.4	EW	0.5	0.5	0.6	2%	16%	16%	7x	7x	5x	4x	13x	11x	3.9%	4.5%	1.2x	1.1x
Trucks			131,614							6%	10%	11%	14x	10x	10x	8x	13x	10x	4.5%	5.4%	1.3x	1.2x
Daimler Truck	EUR		36,378	40.4	47.0	OW	2.6	3.8	5.1	4%	8%	9%	13x	10x	11x	8x	11x	8x	4.9%	5.2%	1.1x	1.0x
Volvo	SEK		71,443	324.2	342.0	EW	16.9	20.4	25.6	7%	11%	13%	15x	12x	12x	10x	16x	13x	4.4%	5.6%	1.7x	1.5x
Iveco	EUR		4,364	13.9	++	++	1.8	2.4	2.7	7%	7%	8%	2x	1x	1x	1x	6x	5x	4.4%	4.9%	0.1x	0.1x
Traton	EUR		19,429	33.6	34.0	UW	3.1	4.2	6.0	8%	7%	9%	13x	9x	8x	6x	8x	6x	3.7%	5.4%	0.9x	0.8x
Other			8,929							11%	7%	7%	18x	13x	11x	9x	22x	15x	5.0%	5.8%	0.9x	0.8x
Aramis	EUR		378	3.8	5.0	OW	0.2	0.1	0.2	3%	1%	1%	21x	11x	7x	5x	35x	16x	n.a.	n.a.	0.2x	0.1x
Auto1	EUR		4,572	18.7	22.4	EW	0.4	0.6	0.9	16%	2%	3%	24x	16x	18x	13x	20x	n.a.	n.a.	0.5x	0.4x	
EDAG Engineering	EUR		102	3.5	NA	N.C.	(1.3)	0.0	0.6	3%	2%	4%	26x	10x	6x	4x	n.m.	6x	0.4%	6.2%	0.4x	0.4x
Sixt	EUR		3,877	69.8	NA	N.C.	6.2	6.8	7.6	6%	13%	13%	11x	10x	5x	4x	10x	9x	5.1%	5.7%	1.5x	1.4x

++ Stock Rating, Price Target, or Estimates for this company have been removed from consideration in this report because, under applicable law and/or Morgan Stanley policy, Morgan Stanley may be precluded from issuing such information with respect to this company at this time. Source: Company data, Morgan Stanley Research estimates (E), Thomson Reuters for non covered stocks (NC)

Valuation Comps: Tyres

Prices date: May 11, 2026		Mkt Cap US\$ mn	Price		MS Rating	EPS			Revenue		EBIT margin		EV/EBIT		EV/EBITDA		P/E		Dividend Yield		EV/Revenue	
	Crrc.		Last	Target		2025	2026E	2027E	CAGR 25-27E	2026E	2027E	2026E	2027E	2026E	2027E	2026E	2027E	2026E	2027E	2026E	2027E	2026E
Tyres		134,097							3%	11%	12%	10x	9x	6x	6x	13x	11x	3.2%	3.9%	1.1x	1.0x	
Europe		51,548							0%	12%	13%	9x	8x	6x	5x	13x	11x	3.6%	4.4%	1.0x	1.0x	
Continental	EUR	16,646	69.2	62.0	EW	(2.2)	5.5	6.8	-4%	11%	12%	9x	8x	8x	6x	13x	10x	2.8%	3.5%	1.1x	1.0x	
Michelin	EUR	25,779	31.9	30.0	EW	3.0	3.2	3.6	0%	11%	12%	9x	8x	5x	5x	12x	10x	4.1%	5.0%	0.9x	0.9x	
Nokian Tyres	EUR	1,764	10.7	NA	N.C.	(0.1)	0.4	0.7	7%	8%	10%	19x	14x	9x	7x	33x	16x	2.7%	3.6%	1.5x	1.4x	
Pirelli & C. SpA	EUR	7,359	6.2	6.4	EW	0.5	0.5	0.6	2%	16%	16%	7x	7x	5x	4x	13x	11x	3.9%	4.5%	1.2x	1.1x	
North America		2,378							n.a.	4%	5%	8x	9x	5x	4x	10x	9x	0.0%	0.0%	0.4x	0.4x	
Goodyear T&R	USD	1,870	6.5	6.6	UW	0.9	0.7	1.3	-1%	5%	6%	8x	6x	4x	3x	10x	5x	0.0%	0.0%	0.4x	0.4x	
Titan International	USD	509	7.9	NA	N.C.	(0.3)	(0.1)	0.4	4%	0%	3%	n.m.	18x	10x	8x	n.m.	24x	n.a.	n.a.	0.6x	0.5x	
Japan		40,189							3%	12%	13%	8x	7x	5x	4x	11x	10x	3.7%	4.2%	0.9x	0.9x	
Bridgestone	JPY	26,463	3,298.0	3,600	EW	238.4	269	327	1%	11%	12%	8x	8x	5x	5x	12x	11x	3.8%	4.2%	0.9x	0.9x	
Sumitomo Rubber	JPY	3,420	2,043.5	2,500	EW	191.6	219	276	5%	8%	9%	7x	5x	4x	4x	9x	7x	4.2%	5.1%	0.5x	0.5x	
Yokohama Rubber	JPY	6,497	6,429.0	7,400	EW	668.6	710	820	5%	14%	15%	7x	6x	5x	5x	9x	8x	3.1%	3.7%	1.1x	1.0x	
Toyo Tire & Rubber	JPY	3,809	3,814.0	5,000	OW	460.0	470	537	5%	16%	17%	5x	5x	4x	4x	8x	8x	3.9%	4.2%	0.9x	0.8x	
China		18,750							12%	11%	12%	12x	10x	7x	6x	14x	11x	3.5%	4.0%	1.2x	1.1x	
Cheng Shin Rubber	TWD	3,315	32.1	29.5	UW	1.5	1.6	1.6	0%	8%	8%	12x	12x	6x	6x	20x	20x	4.0%	4.0%	0.9x	0.9x	
Shandong Linglong Tyre	CNY	2,851	13.4	NA	N.C.	0.9	1.0	1.4	12%	7%	8%	16x	12x	8x	7x	14x	10x	2.5%	3.1%	1.1x	1.0x	
Sailun Group	CNY	6,625	13.5	NA	N.C.	1.1	1.4	1.7	17%	12%	13%	11x	9x	7x	6x	10x	8x	3.2%	3.7%	1.3x	1.1x	
Kenda Rubber	TWD	523	17.4	NA	N.C.	0.2	0.5	n.a.	n.m.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	45x	n.a.	n.a.	n.a.	n.a.	n.a.	
Triangle Tyre	CNY	1,735	15.0	NA	N.C.	1.2	1.1	1.3	3%	10%	11%	9x	8x	7x	7x	13x	11x	n.a.	n.a.	0.9x	0.9x	
Qingdao Sentury Tire	CNY	2,555	16.4	NA	N.C.	1.1	1.5	2.0	21%	16%	18%	10x	7x	7x	6x	11x	8x	4.5%	6.0%	1.5x	1.4x	
Guizhou Tyre	CNY	1,145	5.0	NA	N.C.	n.a.	n.a.	n.a.	n.m.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	
Korea		6,751							5%	9%	9%	5x	5x	3x	3x	5x	5x	3.4%	4.4%	0.5x	0.4x	
Hankook Tire	KRW	5,151	61,100.0	75,000	OW	8,795	10,812	11,819	4%	9%	9%	5x	4x	3x	3x	6x	5x	4.2%	5.3%	0.4x	0.4x	
Kumho Tire	KRW	1,096	5,440.0	NA	N.C.	1,217.3	1,397.9	1,357.9	6%	11%	11%	6x	5x	4x	3x	4x	4x	0.0%	1.1%	0.6x	0.6x	
Nexen Tire	KRW	504	7,110.0	NA	N.C.	1,508.4	1,465.7	1,660.9	4%	6%	6%	10x	9x	4x	4x	5x	4x	2.3%	2.3%	0.6x	0.6x	
India		14,481							10%	11%	12%	19x	16x	13x	11x	24x	19x	0.8%	1.1%	2.3x	2.0x	
Apollo Tyres	INR	2,751	406.0	535	EW	20.3	28.0	32.6	9%	9%	10%	11x	9x	7x	6x	15x	13x	1.4%	2.4%	1.0x	0.9x	
JK Tyre	INR	1,239	395.7	NA	N.C.	37.3	47.2	55.0	10%	10%	10%	9x	8x	8x	6x	12x	9x	1.9%	2.1%	0.9x	0.8x	
MRF	INR	5,861	128,961.4	NA	N.C.	5,786.4	5,572.0	7,368.7	10%	9%	10%	18x	15x	11x	10x	23x	19x	0.2%	0.2%	1.6x	1.5x	
Balkrishna Industries	INR	4,631	2,181.3	2,089	UW	85.6	65.6	87.1	11%	16%	16%	28x	23x	19x	16x	34x	26x	0.9%	1.2%	4.4x	3.5x	

Source: Company data, Morgan Stanley Research estimates (E), Thomson Reuters for non covered stocks (NC)

Valuation Comps: Trucks

Prices date:	Mkt Cap		Price		MS	EPS			Revenue	EBIT margin		EVEBIT		EV/EBITDA		P/E		Dividend Yield		EV/Revenue	
May 11, 2026	Crrc.	US\$ mn	Last	Target	Rating	2025	2026E	2027E	CAGR 25-27E	2026E	2027E	2026E	2027E	2026E	2027E	2026E	2027E	2026E	2027E	2026E	2027E
Trucks		742,014							11%	17%	19%	22x	18x	18x	16x	27x	23x	1.7%	2.0%	4.1x	3.6x
Europe		131,614							6%	10%	11%	14x	10x	10x	8x	13x	10x	4.5%	5.4%	1.3x	1.2x
Daimler Truck	EUR	36,378	40.4	47.0	OW	2.6	3.8	5.1	4%	8%	9%	13x	10x	11x	8x	11x	8x	4.9%	5.2%	1.1x	1.0x
Volvo	SEK	71,443	324.2	342.0	EW	16.9	20.4	25.6	7%	11%	13%	15x	12x	12x	10x	16x	13x	4.4%	5.6%	1.7x	1.5x
Iveco	EUR	4,364	13.9	++	++	1.8	2.4	2.7	7%	7%	8%	2x	1x	1x	1x	6x	5x	4.4%	4.9%	0.1x	0.1x
Traton	EUR	19,429	33.6	34.0	UW	3.1	4.2	6.0	8%	7%	9%	13x	9x	8x	6x	8x	6x	3.7%	5.4%	0.9x	0.8x
North America		567,329							12%	20%	21%	24x	20x	21x	18x	32x	26x	1.0%	1.0%	4.9x	4.3x
PACCAR	USD	60,160	114.3	109.0	EW	5.0	5.2	6.4	6%	11%	12%	21x	16x	16x	13x	22x	18x	2.4%	2.6%	2.2x	2.0x
Cummins	USD	93,770	680	752	OW	23.8	30.1	33.9	8%	15%	16%	17x	14x	14x	12x	23x	20x	1.2%	1.2%	2.6x	2.4x
Caterpillar	USD	413,399	897	915	EW	19.0	25.5	31.2	14%	22%	23%	26x	22x	23x	20x	35x	29x	0.7%	0.7%	5.8x	5.1x
Japan		9,110							6%	7%	7%	6x	5x	4x	4x	8x	8x	4.7%	5.3%	0.4x	0.4x
Isuzu	JPY	9,110	2,142	2,300	EW	206.2	253	282	6%	7%	7%	6x	5x	4x	4x	8x	8x	4.7%	5.3%	0.4x	0.4x
China		23,476							11%	8%	8%	6x	4x	5x	4x	11x	10x	5.0%	5.8%	0.5x	0.4x
Dongfeng	HKD	10,056	9.5	NA	N.C.	NA	NA	NA	n.m.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.
Sinotruk	HKD	13,419	38.5	36.0	EW	2.5	2.9	3.4	11%	8%	8%	6x	4x	5x	4x	11x	10x	5.0%	5.8%	0.5x	0.4x
India		10,485							12%	11%	12%	19x	17x	17x	15x	25x	22x	1.7%	1.9%	2.2x	1.9x
Ashok Leyland	INR	10,485	161.6	180.0	EW	5.4	6.7	7.6	12%	11%	12%	19x	17x	17x	15x	25x	22x	1.7%	1.9%	2.2x	1.9x

Disclosure section

The information and opinions in Morgan Stanley Research were prepared or are disseminated by Morgan Stanley Europe S.E., regulated by Bundesanstalt fuer Finanzdienstleistungsaufsicht (BaFin) and/or Morgan Stanley & Co. International plc, authorized by the Prudential Regulation Authority and regulated by the Financial Conduct Authority and the Prudential Regulation Authority. Morgan Stanley & Co. International plc disseminates in the UK research that it has prepared, and which has been prepared by any of its affiliates, only to persons who (i) are investment professionals falling within Article 19(5) of the Financial Services and Markets Act 2000 (Financial Promotion) Order 2005 (as amended, the "Order"); (ii) are persons who are high net worth entities falling within Article 49(2)(a) to (d) of the Order; or (iii) are persons to whom an invitation or inducement to engage in investment activity (within the meaning of section 21 of the Financial Services and Markets Act 2000, as amended) may otherwise lawfully be communicated or caused to be communicated. As used in this disclosure section, Morgan Stanley includes RMB Morgan Stanley Proprietary Limited, Morgan Stanley Europe S.E., Morgan Stanley & Co International plc and its affiliates.

For important disclosures, stock price charts and equity rating histories regarding companies that are the subject of this report, please see the Morgan Stanley Research Disclosure Website at www.morganstanley.com/eqr/disclosures/webapp/generalresearch, or contact your investment representative or Morgan Stanley Research at 1585 Broadway, (Attention: Research Management), New York, NY, 10036 USA.

For valuation methodology and risks associated with any recommendation, rating or price target referenced in this research report, please contact the Client Support Team as follows: US/Canada +1 800 303-2495; Hong Kong +852 2848-5999; Latin America +1 718 754-5444 (U.S.); London +44 (0)20-7425-8169; Singapore +65 6834-6860; Sydney +61 (0)2-9770-1505; Tokyo +81 (0)3-6836-9000. Alternatively you may contact your investment representative or Morgan Stanley Research at 1585 Broadway, (Attention: Research Management), New York, NY 10036 USA.

Analyst Certification

The following analysts hereby certify that their views about the companies and their securities discussed in this report are accurately expressed and that they have not received and will not receive direct or indirect compensation in exchange for expressing specific recommendations or views in this report: Shaqael A Kirunda; Javier Martinez de Olcoz Cerdan.

Global Research Conflict Management Policy

Morgan Stanley Research has been published in accordance with our conflict management policy, which is available at www.morganstanley.com/institutional/research/conflictolicies. A Portuguese version of the policy can be found at www.morganstanley.com.br

Important Regulatory Disclosures on Subject Companies

As of April 30, 2026, Morgan Stanley beneficially owned 1% or more of a class of common equity securities of the following companies covered in Morgan Stanley Research: BMW, Mercedes-Benz Group AG, Renault, Stellantis.

Within the last 12 months, Morgan Stanley managed or co-managed a public offering (or 144A offering) of securities of BMW, Renault, Stellantis, Volkswagen.

Within the last 12 months, Morgan Stanley has received compensation for investment banking services from BMW, Mercedes-Benz Group AG, Renault, Stellantis, Volkswagen.

In the next 3 months, Morgan Stanley expects to receive or intends to seek compensation for investment banking services from BMW, Daimler Truck Holding AG, Mercedes-Benz Group AG, Porsche, Renault, Stellantis, Volkswagen.

Within the last 12 months, Morgan Stanley has received compensation for products and services other than investment banking services from BMW, Daimler Truck Holding AG, Mercedes-Benz Group AG, Porsche, Renault, Stellantis, Volkswagen.

Within the last 12 months, Morgan Stanley has provided or is providing investment banking services to, or has an investment banking client relationship with, the following company: BMW, Daimler Truck Holding AG, Mercedes-Benz Group AG, Porsche, Renault, Stellantis, Volkswagen.

Disclosure section (cont.)

Within the last 12 months, Morgan Stanley has either provided or is providing non-investment banking, securities-related services to and/or in the past has entered into an agreement to provide services or has a client relationship with the following company: BMW, Daimler Truck Holding AG, Mercedes-Benz Group AG, Porsche, Renault, Stellantis, Volkswagen.

The equity research analysts or strategists principally responsible for the preparation of Morgan Stanley Research have received compensation based upon various factors, including quality of research, investor client feedback, stock picking, competitive factors, firm revenues and overall investment banking revenues. Equity Research analysts' or strategists' compensation is not linked to investment banking or capital markets transactions performed by Morgan Stanley or the profitability or revenues of particular trading desks.

Morgan Stanley and its affiliates do business that relates to companies/instruments covered in Morgan Stanley Research, including market making, providing liquidity, fund management, commercial banking, extension of credit, investment services and investment banking. Morgan Stanley sells to and buys from customers the securities/instruments of companies covered in Morgan Stanley Research on a principal basis. Morgan Stanley may have a position in the debt of the Company or instruments discussed in this report. Morgan Stanley trades or may trade as principal in the debt securities (or in related derivatives) that are the subject of the debt research report.

Certain disclosures listed above are also for compliance with applicable regulations in non-US jurisdictions.

STOCK RATINGS

Morgan Stanley uses a relative rating system using terms such as Overweight, Equal-weight, Not-Rated or Underweight (see definitions below). Morgan Stanley does not assign ratings of Buy, Hold or Sell to the stocks we cover. Overweight, Equal-weight, Not-Rated and Underweight are not the equivalent of buy, hold and sell. Investors should carefully read the definitions of all ratings used in Morgan Stanley Research. In addition, since Morgan Stanley Research contains more complete information concerning the analyst's views, investors should carefully read Morgan Stanley Research, in its entirety, and not infer the contents from the rating alone. In any case, ratings (or research) should not be used or relied upon as investment advice. An investor's decision to buy or sell a stock should depend on individual circumstances (such as the investor's existing holdings) and other considerations.

Global Stock Ratings Distribution

(as of April 30, 2026)

The Stock Ratings described below apply to Morgan Stanley's Fundamental Equity Research and do not apply to Debt Research produced by the Firm.

For disclosure purposes only (in accordance with FINRA requirements), we include the category headings of Buy, Hold, and Sell alongside our ratings of Overweight, Equal-weight, Not-Rated and Underweight. Morgan Stanley does not assign ratings of Buy, Hold or Sell to the stocks we cover. Overweight, Equal-weight, Not-Rated and Underweight are not the equivalent of buy, hold, and sell but represent recommended relative weightings (see definitions below). To satisfy regulatory requirements, we correspond Overweight, our most positive stock rating, with a buy recommendation; we correspond Equal-weight and Not-Rated to hold and Underweight to sell recommendations, respectively.

STOCK RATING CATEGORY	COVERAGE UNIVERSE		INVESTMENT BANKING CLIENTS (IBC)		% OF RATING CATEGORY	OTHER MATERIAL INVESTMENT SERVICES CLIENTS (MISC)	
	COUNT	% OF TOTAL	COUNT	% OF TOTAL IBC		COUNT	% OF TOTAL OTHER MISC
Overweight/Buy	1546	42%	467	51%	30%	709	44%
Equal-weight/Hold	1568	43%	358	39%	23%	715	44%
Not-Rated/Hold	4	0%	0	0%	0%	1	0%
Underweight/Sell	555	15%	84	9%	15%	202	12%
TOTAL	3,673		909			1627	

Disclosure section (cont.)

Data include common stock and ADRs currently assigned ratings. Investment Banking Clients are companies from whom Morgan Stanley received investment banking compensation in the last 12 months. Due to rounding off of decimals, the percentages provided in the "% of total" column may not add up to exactly 100 percent.

Analyst Stock Ratings

Overweight (O). The stock's total return is expected to exceed the average total return of the analyst's industry (or industry team's) coverage universe, on a risk-adjusted basis, over the next 12-18 months.

Equal-weight (E). The stock's total return is expected to be in line with the average total return of the analyst's industry (or industry team's) coverage universe, on a risk-adjusted basis, over the next 12-18 months.

Not-Rated (NR). Currently the analyst does not have adequate conviction about the stock's total return relative to the average total return of the analyst's industry (or industry team's) coverage universe, on a risk-adjusted basis, over the next 12-18 months.

Underweight (U). The stock's total return is expected to be below the average total return of the analyst's industry (or industry team's) coverage universe, on a risk-adjusted basis, over the next 12-18 months.

Unless otherwise specified, the time frame for price targets included in Morgan Stanley Research is 12 to 18 months.

Analyst Industry Views

Attractive (A): The analyst expects the performance of his or her industry coverage universe over the next 12-18 months to be attractive vs. the relevant broad market benchmark, as indicated below.

In-Line (I): The analyst expects the performance of his or her industry coverage universe over the next 12-18 months to be in line with the relevant broad market benchmark, as indicated below.

Cautious (C): The analyst views the performance of his or her industry coverage universe over the next 12-18 months with caution vs. the relevant broad market benchmark, as indicated below.

Benchmarks for each region are as follows: North America - S&P 500; Latin America - relevant MSCI country index or MSCI Latin America Index; Europe - MSCI Europe; Japan - TOPIX; Asia - relevant MSCI country index or MSCI sub-regional index or MSCI AC Asia Pacific ex Japan Index.

Disclosure section (cont.)

Important Disclosures for Morgan Stanley Smith Barney LLC Customers

Important disclosures regarding any material conflict of interest that can reasonably be expected to have influenced Morgan Stanley Smith Barney LLC's choice of a third-party research provider or the subject company of a third-party research report, are available on the Morgan Stanley Wealth Management disclosure website at www.morganstanley.com/online/researchdisclosures. For Morgan Stanley specific disclosures, you may refer to <https://www.morganstanley.com/eqr/disclosures/webapp/generalresearch>.

Each Morgan Stanley research report is reviewed and approved on behalf of Morgan Stanley Smith Barney LLC. This review and approval is conducted by the same person who reviews the research report on behalf of Morgan Stanley. This could create a conflict of interest.

Other Important Disclosures

Morgan Stanley Research policy is to update research reports as and when the Research Analyst and Research Management deem appropriate, based on developments with the issuer, the sector, or the market that may have a material impact on the research views or opinions stated therein. In addition, certain Research publications are intended to be updated on a regular periodic basis (weekly/monthly/quarterly/annual) and will ordinarily be updated with that frequency, unless the Research Analyst and Research Management determine that a different publication schedule is appropriate based on current conditions.

Morgan Stanley is not acting as a municipal advisor and the opinions or views contained herein are not intended to be, and do not constitute, advice within the meaning of Section 975 of the Dodd-Frank Wall Street Reform and Consumer Protection Act.

Morgan Stanley produces an equity research product called a "Tactical Idea." Views contained in a "Tactical Idea" on a particular stock may be contrary to the recommendations or views expressed in research on the same stock. This may be the result of differing time horizons, methodologies, market events, or other factors. For all research available on a particular stock, please contact your sales representative or go to Matrix at <http://www.morganstanley.com/matrix>.

Morgan Stanley Research is provided to our clients through our proprietary research portal on Matrix and also distributed electronically by Morgan Stanley to clients. Certain, but not all, Morgan Stanley Research products are also made available to clients through third-party vendors or redistributed to clients through alternate electronic means as a convenience. For access to all available Morgan Stanley Research, please contact your sales representative or go to Matrix at <http://www.morganstanley.com/matrix>.

Any access and/or use of Morgan Stanley Research is subject to Morgan Stanley's Terms of Use (<http://www.morganstanley.com/terms.html>). By accessing and/or using Morgan Stanley Research, you are indicating that you have read and agree to be bound by our Terms of Use (<http://www.morganstanley.com/terms.html>). In addition you consent to Morgan Stanley processing your personal data and using cookies in accordance with our Privacy Policy and our Global Cookies Policy (http://www.morganstanley.com/privacy_pledge.html), including for the purposes of setting your preferences and to collect readership data so that we can deliver better and more personalized service and products to you. To find out more information about how Morgan Stanley processes personal data, how we use cookies and how to reject cookies see our Privacy Policy and our Global Cookies Policy (http://www.morganstanley.com/privacy_pledge.html). Please use the provided link to review the Terms and Conditions and Most Important Terms and Conditions for Morgan Stanley India Company Private Limited (https://www.morganstanley.com/assets/pdfs/about-us-global-offices/india/Terms_and_conditions.pdf) and the following link to review the audit report (https://ny.matrix.ms.com/eqr/research/webapp/researchdocs/MSICPL_Morgan_Stanley_Research_Audit_Report.pdf).

If you do not agree to our Terms of Use and/or if you do not wish to provide your consent to Morgan Stanley processing your personal data or using cookies please do not access our research.

Disclosure section (cont.)

Morgan Stanley Research does not provide individually tailored investment advice. Morgan Stanley Research has been prepared without regard to the circumstances and objectives of those who receive it. Morgan Stanley recommends that investors independently evaluate particular investments and strategies, and encourages investors to seek the advice of a financial adviser. The appropriateness of an investment or strategy will depend on an investor's circumstances and objectives. The securities, instruments, or strategies discussed in Morgan Stanley Research may not be suitable for all investors, and certain investors may not be eligible to purchase or participate in some or all of them. Morgan Stanley Research is not an offer to buy or sell or the solicitation of an offer to buy or sell any security/instrument or to participate in any particular trading strategy. The value of and income from your investments may vary because of changes in interest rates, foreign exchange rates, default rates, prepayment rates, securities/instruments prices, market indexes, operational or financial conditions of companies or other factors. There may be time limitations on the exercise of options or other rights in securities/instruments transactions. Past performance is not necessarily a guide to future performance. Estimates of future performance are based on assumptions that may not be realized. If provided, and unless otherwise stated, the closing price on the cover page is that of the primary exchange for the subject company's securities/instruments.

The fixed income research analysts, strategists or economists principally responsible for the preparation of Morgan Stanley Research have received compensation based upon various factors, including quality, accuracy and value of research, firm profitability or revenues (which include fixed income trading and capital markets profitability or revenues), client feedback and competitive factors. Fixed Income Research analysts', strategists' or economists' compensation is not linked to investment banking or capital markets transactions performed by Morgan Stanley or the profitability or revenues of particular trading desks.

The "Important Regulatory Disclosures on Subject Companies" section in Morgan Stanley Research lists all companies mentioned where Morgan Stanley owns 1% or more of a class of common equity securities of the companies. For all other companies mentioned in Morgan Stanley Research, Morgan Stanley may have an investment of less than 1% in securities/instruments or derivatives of securities/instruments of companies and may trade them in ways different from those discussed in Morgan Stanley Research. Employees of Morgan Stanley not involved in the preparation of Morgan Stanley Research may have investments in securities/instruments or derivatives of securities/instruments of companies mentioned and may trade them in ways different from those discussed in Morgan Stanley Research. Derivatives may be issued by Morgan Stanley or associated persons.

With the exception of information regarding Morgan Stanley, Morgan Stanley Research is based on public information. Morgan Stanley makes every effort to use reliable, comprehensive information, but we make no representation that it is accurate or complete. We have no obligation to tell you when opinions or information in Morgan Stanley Research change apart from when we intend to discontinue equity research coverage of a subject company. Facts and views presented in Morgan Stanley Research have not been reviewed by, and may not reflect information known to, professionals in other Morgan Stanley business areas, including investment banking personnel.

Morgan Stanley Research personnel may participate in company events such as site visits and are generally prohibited from accepting payment by the company of associated expenses unless pre-approved by authorized members of Research management.

Morgan Stanley may make investment decisions that are inconsistent with the recommendations or views in this report.

To our readers based in Taiwan or trading in Taiwan securities/instruments: Information on securities/instruments that trade in Taiwan is distributed by Morgan Stanley Taiwan Limited ("MSTL"). Such information is for your reference only. The reader should independently evaluate the investment risks and is solely responsible for their investment decisions. Morgan Stanley Research may not be distributed to the public media or quoted or used by the public media without the express written consent of Morgan Stanley. Any non-customer reader within the scope of Article 7-1 of the Taiwan Stock Exchange Recommendation Regulations accessing and/or receiving Morgan Stanley Research is not permitted to provide Morgan Stanley Research to any third party (including but not limited to related parties, affiliated companies and any other third parties) or engage in any activities regarding Morgan Stanley Research which may create or give the appearance of creating a conflict of interest. Information on securities/instruments that do not trade in Taiwan is for informational purposes only and is not to be construed as a recommendation or a solicitation to trade in such securities/instruments. MSTL may not execute transactions for clients in these securities/instruments.

Disclosure section (cont.)

Morgan Stanley is not incorporated under PRC law and the research in relation to this report is conducted outside the PRC. Morgan Stanley Research does not constitute an offer to sell or the solicitation of an offer to buy any securities in the PRC. PRC investors shall have the relevant qualifications to invest in such securities and shall be responsible for obtaining all relevant approvals, licenses, verifications and/or registrations from the relevant governmental authorities themselves. Neither this report nor any part of it is intended as, or shall constitute, provision of any consultancy or advisory service of securities investment as defined under PRC law. Such information is provided for your reference only.

Morgan Stanley Research is disseminated in Brazil by Morgan Stanley C.T.V.M. S.A. located at Av. Brigadeiro Faria Lima, 3600, 6th floor, São Paulo - SP, Brazil; and is regulated by the Comissão de Valores Mobiliários; in Mexico by Morgan Stanley México, Casa de Bolsa, S.A. de C.V which is regulated by Comisión Nacional Bancaria y de Valores. Paseo de los Tamarindos 90, Torre 1, Col. Bosques de las Lomas Floor 29, 05120 Mexico City; in Japan by Morgan Stanley MUFG Securities Co., Ltd. and, for Commodities related research reports only, Morgan Stanley Capital Group Japan Co., Ltd; in Hong Kong by Morgan Stanley Asia Limited (which accepts responsibility for its contents) and by Morgan Stanley Bank Asia Limited; in Singapore by Morgan Stanley Asia (Singapore) Pte. (Registration number 199206298Z) and/or Morgan Stanley Asia (Singapore) Securities Pte Ltd (Registration number 200008434H), regulated by the Monetary Authority of Singapore (which accepts legal responsibility for its contents and should be contacted with respect to any matters arising from, or in connection with, Morgan Stanley Research) and by Morgan Stanley Bank Asia Limited, Singapore Branch (Registration number T14FC0118J); in Australia to "wholesale clients" within the meaning of the Australian Corporations Act by Morgan Stanley Australia Limited A.B.N. 67 003 734 576, holder of Australian financial services license No. 233742, which accepts responsibility for its contents; in Australia to "wholesale clients" and "retail clients" within the meaning of the Australian Corporations Act by Morgan Stanley Wealth Management Australia Pty Ltd (A.B.N. 19 009 145 555, holder of Australian financial services license No. 240813, which accepts responsibility for its contents; in Korea by Morgan Stanley & Co International plc, Seoul Branch; in India by Morgan Stanley India Company Private Limited having Corporate Identification No (CIN) U22990MH1998PTC115305, regulated by the Securities and Exchange Board of India ("SEBI") and holder of licenses as a Research Analyst (SEBI Registration No. INH000001105); Stock Broker (SEBI Stock Broker Registration No. INZ000244438), Merchant Banker (SEBI Registration No. INM000011203), and depository participant with National Securities Depository Limited (SEBI Registration No. IN-DP-NSDL-567-2021) having registered office at Altimus, Level 39 & 40, Pandurang Budhkar Marg, Worli, Mumbai 400018, India; Telephone no. +91-22-61181000; Compliance Officer Details: Mr. Tejarshi Hardas, Tel. No.: +91-22-61181000 or Email: tejarshi.hardas@morganstanley.com; Grievance officer details: Mr. Tejarshi Hardas, Tel. No.: +91-22-61181000 or Email: msic-compliance@morganstanley.com. Morgan Stanley India Company Private Limited (MSICPL) may use AI tools in providing research services. All recommendations contained herein are made by the duly qualified research analysts; in Canada by Morgan Stanley Canada Limited; in Germany and the European Economic Area where required by Morgan Stanley Europe S.E., authorised and regulated by Bundesanstalt fuer Finanzdienstleistungsaufsicht (BaFin) under the reference number 149169; in the US by Morgan Stanley & Co. LLC, which accepts responsibility for its contents. Morgan Stanley & Co. International plc, authorized by the Prudential Regulation Authority and regulated by the Financial Conduct Authority and the Prudential Regulation Authority, disseminates in the UK research that it has prepared, and research which has been prepared by any of its affiliates, only to persons who (i) are investment professionals falling within Article 19(5) of the Financial Services and Markets Act 2000 (Financial Promotion) Order 2005 (as amended, the "Order"); (ii) are persons who are high net worth entities falling within Article 49(2)(a) to (d) of the Order; or (iii) are persons to whom an invitation or inducement to engage in investment activity (within the meaning of section 21 of the Financial Services and Markets Act 2000, as amended) may otherwise lawfully be communicated or caused to be communicated. RMB Morgan Stanley Proprietary Limited is a member of the JSE Limited and A2X (Pty) Ltd. RMB Morgan Stanley Proprietary Limited is a joint venture owned equally by Morgan Stanley International Holdings Inc. and RMB Investment Advisory (Proprietary) Limited, which is wholly owned by FirstRand Limited. The information in Morgan Stanley Research is being disseminated by Morgan Stanley Saudi Arabia, regulated by the Capital Market Authority in the Kingdom of Saudi Arabia, and is directed at Sophisticated investors only.

The information in Morgan Stanley Research is being communicated by Morgan Stanley & Co. International plc (DIFC Branch), regulated by the Dubai Financial Services Authority (the DFSA) or by Morgan Stanley & Co. International plc (ADGM Branch), regulated by the Financial Services Regulatory Authority Abu Dhabi (the FSRA), and is directed at Professional Clients only, as defined by the DFSA or the FSRA, respectively. The financial products or financial services to which this research relates will only be made available to a customer who we are satisfied meets the regulatory criteria of a Professional Client. A distribution of the different MS Research ratings or recommendations, in percentage terms for Investments in each sector covered, is available upon request from your sales representative.

Disclosure section (cont.)

The information in Morgan Stanley Research is being communicated by Morgan Stanley & Co. International plc (QFC Branch), regulated by the Qatar Financial Centre Regulatory Authority (the QFCRA), and is directed at business customers and market counterparties only and is not intended for Retail Customers as defined by the QFCRA.

As required by the Capital Markets Board of Turkey, investment information, comments and recommendations stated here, are not within the scope of investment advisory activity. Investment advisory service is provided exclusively to persons based on their risk and income preferences by the authorized firms. Comments and recommendations stated here are general in nature. These opinions may not fit to your financial status, risk and return preferences. For this reason, to make an investment decision by relying solely to this information stated here may not bring about outcomes that fit your expectations.

The following companies do business in countries which are generally subject to comprehensive sanctions programs administered or enforced by the U.S. Department of the Treasury's Office of Foreign Assets Control ("OFAC") and by other countries and multi-national bodies: Renault.

The trademarks and service marks contained in Morgan Stanley Research are the property of their respective owners. Third-party data providers make no warranties or representations relating to the accuracy, completeness, or timeliness of the data they provide and shall not have liability for any damages relating to such data. The Global Industry Classification Standard (GICS) was developed by and is the exclusive property of MSCI and S&P.

Morgan Stanley Research, or any portion thereof may not be reprinted, sold or redistributed without the written consent of Morgan Stanley.

Indicators and trackers referenced in Morgan Stanley Research may not be used as, or treated as, a benchmark under Regulation EU 2016/1011, or any other similar framework.

The issuers and/or fixed income products recommended or discussed in certain fixed income research reports may not be continuously followed. Accordingly, investors should regard those fixed income research reports as providing stand-alone analysis and should not expect continuing analysis or additional reports relating to such issuers and/or individual fixed income products.

Morgan Stanley may hold, from time to time, material financial and commercial interests regarding the company subject to the Research report.

Registration granted by SEBI and certification from the National Institute of Securities Markets (NISM) in no way guarantee performance of the intermediary or provide any assurance of returns to investors. Investment in securities market are subject to market risks. Read all the related documents carefully before investing.

Disclosure section

The Americas 1585 Broadway New York, NY 10036-8293 United States +1 212 761 4000	Europe 20 Bank Street, Canary Wharf London E14 4AD United Kingdom +44 (0)20 7425 8000	Japan 1-9-7 Otemachi, Chiyoda-ku Tokyo 100-8104 Japan +81 (0) 3 6836 5000	Asia/Pacific 1 Austin Road West Kowloon Hong Kong +852 2848 5200
---	--	--	---